

Consolidated Financial Highlights

(₹ in crore)

PARTICULARS	FY 2021-22	FY 2022-23	FY 2023-24	FY 2024-25	FY 2025-26
FINANCIAL HIGHLIGHTS					
Capital & Reserves and Surplus	97,134	112,254	129,892	157,395	181,113
Advances	304,474	359,107	430,352	486,166	565,768
Investments*	115,907	139,359	175,302	202,899	197,344
Total Assets	546,498	620,430	767,667	879,774	1,003,353
Gross NPA	7,334	6,419	6,003	7,112	7,046
Net NPA	2,149	1,479	1,567	1,752	1,730
Net Profit	12,089	14,925	18,213	19,113 [#]	19,103 [^]
KEY FINANCIAL INDICATORS					
Net Interest Margin ("NIM")**	4.69%	5.36%	5.31%	4.97%	4.63%
Return on Assets ("RoA")	2.36%	2.62%	2.66%	2.36% [#]	2.06% [^]
Return on Equity ("RoE")	13.42%	14.36%	15.08%	13.12% [#]	11.28% [^]
Gross NPA Ratio	2.37%	1.76%	1.38%	1.45%	1.23%
Net NPA Ratio	0.71%	0.41%	0.36%	0.36%	0.31%
Capital Adequacy Ratio	23.68%	23.25%	21.82%	23.31%	22.97%
CET 1	22.70%	22.27%	20.72%	22.34%	22.08%
Basic Earnings Per Share ("EPS") ^{###} (₹)	12.15	14.99	18.29	22.26 ^{^^}	19.40
Book Value Per Share ^{###} (₹)	97.38	112.51	130.68	158.33	182.09
MARKET RELATED RATIOS					
Market Price Per Share ^{###} (₹)	350.77	346.57	357.10	434.24	353.40
Market Capitalisation	348,080	344,240	354,943	431,683	351,508
Price to Book Ratio	3.60	3.08	2.73	2.74	1.94
Price to Earnings Ratio	28.87	23.12	19.52	19.51	18.22

Note: Prior period amounts have been reclassified for consistency with the current year presentation

*Excludes Policyholders' investments | [#]Net Profit, Return on Assets and Return on Equity excludes gain of ₹3,013.46 crore on divestment of stake in Zurich Kotak General Insurance Company (India) Limited | [^]Net Profit, Return on Assets and Return on Equity excludes gain of ₹185.16 crore on divestment of stake in Infina Finance Private Limited | ^{**}Excluding dividend and interest on income tax refunds | ^{###}Computed based on sub-division of 1 equity share of Face value of ₹5 per share into 5 equity shares of Face value of ₹1 each with effect from 14th January, 2026 | ^{^^}Includes gain of ₹3,013.46 crore on divestment of stake in Zurich Kotak General Insurance Company (India) Limited

Consolidation at a Glance

(₹ in crore)

	2025-26		2024-25		31 st March, 2026	31 st March, 2025
	Profit before Tax	Profit after Tax	Profit before Tax	Profit after Tax	Capital & Reserves and Surplus	Capital & Reserves and Surplus
Kotak Mahindra Bank Limited	18,585.72	14,007.70	21,584.11	16,450.08	135,198.59	117,145.62
Subsidiaries						
Kotak Mahindra Prime Limited	1,342.09	1,007.59	1,356.86	1,015.47	11,159.45	10,195.53
Kotak Mahindra Investments Limited	570.64	428.48	674.51	501.25	4,252.17	3,841.65
Kotak Infrastructure Debt Fund Limited	60.26	60.26	52.91	53.20	632.88	572.62
Kotak Securities Limited	2,183.92	1,641.90	2,175.23	1,640.46	11,596.81	10,012.04
Kotak Mahindra Capital Company Limited	1,724.10	1,444.28	460.53	360.63	3,716.95	1,630.20
Kotak Mahindra Life Insurance Company Limited	1,089.66	628.46	1,174.99	769.47	6,738.11	6,403.07
Zurich Kotak General Insurance Company (India) Limited (Previously known as Kotak Mahindra General Insurance Company Limited (till 17 th June, 2024)	-	-	(20.56)	(20.56)	-	-
Kotak Mahindra Asset Management Company Limited	1,167.38	880.59	1,035.12	795.71	3,723.94	2,938.71
Kotak Mahindra Trustee Company Limited	262.52	201.29	235.28	180.79	967.94	766.64
Kotak Alternate Asset Managers Limited	382.17	292.31	179.65	139.31	1,481.96	1,187.44
Kotak Mahindra Trusteeship Services Limited	10.94	8.35	7.80	5.84	49.19	40.84
Kotak Mahindra (International) Limited	52.30	33.91	96.13	93.34	1,283.80	1,124.84
Kotak Mahindra (UK) Limited	53.35	37.06	80.58	57.84	670.28	570.03
Kotak Mahindra, Inc.	0.83	0.74	7.41	5.32	120.00	107.44
Kotak Mahindra Asset Management (Singapore) Pte. Limited	96.49	82.93	109.94	98.08	616.38	474.98
Kotak Mahindra Financial Services Limited	0.41	0.41	0.40	0.40	4.36	3.53
Kotak Mahindra Pension Fund Limited	(1.56)	(2.14)	1.93	1.93	57.03	59.17
BSS Sonata Microcredit Limited (Formerly known as BSS Microfinance Limited)	(88.17)	(73.15)	(99.34)	(73.67)	1,265.25	936.32
Sonata Finance Private Limited	-	-	17.27	12.66	-	402.07
IVY Product Intermediaries Limited	0.35	0.32	0.36	0.25	7.26	6.93
Total	27,493.40	20,681.29	29,131.11	22,087.80	183,542.35	158,419.67
Add: Associates		107.27		180.25	450.16	1,767.59
Less: Dividend, Inter company and other adjustment		1,500.67		142.06	2,879.76	2,792.18
Consolidated Profit After Tax/Capital & Reserves and Surplus		19,287.89		22,125.99	181,112.75	157,395.08
Consolidated Basic Earnings per Share (₹) (Post-Split)		19.40		22.26		
Consolidated Book Value per Share (₹) (Post-Split)					182.09	158.33



Independent Auditors' Report

To the Members of Kotak Mahindra Bank Limited

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

OPINION

1. We have audited the accompanying Consolidated Financial Statements of **Kotak Mahindra Bank Limited** (the 'Bank or Parent'), its subsidiaries (the Bank and its subsidiaries together referred to as the 'Group'), and its associates, which comprise the Consolidated Balance Sheet as at 31 March 2026, the Consolidated Profit and Loss account, the Consolidated Cash Flow Statement for the year ended 31 March 2026, and notes to the Consolidated Financial Statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as the 'Consolidated Financial Statements').
2. In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors on separate financial statements and the other financial information of subsidiaries and associates, the aforesaid Consolidated Financial Statements give the information required by the Banking Regulation Act, 1949 and Companies Act, 2013 (the 'Act'), and the circulars, guidelines and directions issued by Reserve Bank of India (the 'RBI') from time to time (the 'RBI guidelines'), in the manner so required for banking companies and give a true and fair view, in conformity with the Accounting Standards prescribed under section 133 of the Act, read with the Companies (Accounting Standards) Rules, 2021 as applicable to banks and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group and its associates as at 31 March 2026, and their consolidated profit, and their consolidated cash flows for the year ended 31 March 2026.

BASIS FOR OPINION

3. We conducted our audit in accordance with the Standards on Auditing ('SAs') specified under section 143(10) of the Act. Our responsibilities under those SAs are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group and its associates in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act, and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained along with the consideration of audit reports of the other auditors referred to in the "Other Matters" section below is sufficient and appropriate to provide a basis for our opinion on the Consolidated Financial Statements.

KEY AUDIT MATTERS

4. Key audit matters are those matters that, in our professional judgment, and based on the consideration of the reports of the other auditors on separate financial statements and other financial information of the subsidiaries and the associates were of most significance in our audit of the Consolidated Financial Statements of the current year. These matters were addressed in the context of our audit of the Consolidated Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the key audit matters to be communicated in our report.

Identification of and Provisioning against Non-Performing Assets ("NPAs"):

Total Loans and Advances (Net of Provision) as at March 31, 2026: ₹496,009.16 crore

Provision for NPAs as at March 31, 2026: ₹4,755.30 crore

Refer Schedule 9, Schedule 17(C)(2) and Schedule 18A, note 4(i) of Standalone Financial Statements

Key audit matter	How our audit addressed the key audit matter
The Bank is required to comply with the Reserve Bank of India ("RBI") (Commercial Banks – Income Recognition, Asset Classification and Provisioning) Directions, 2025 (the 'IRAC norms') and amendments thereto ("RBI guidelines") which prescribes the norms for identification and classification of Non-performing Assets ('NPAs') and the minimum provision required for such assets.	Our audit approach included testing the design, operating effectiveness of internal controls and substantive audit procedures in respect of income recognition, asset classification and provisioning pertaining to advances. In particular: • We have evaluated and understood the Bank's internal control system in adhering to the RBI guidelines;

Key audit matter	How our audit addressed the key audit matter
The Bank is also required to apply its judgement to determine the identification and provision required against NPAs considering various quantitative as well as qualitative factors. As the identification of and provisioning against NPAs requires considerable level of management estimation, application of various regulatory requirements and its significance to the overall audit due to stakeholder and regulatory focus, we have identified this as a key audit matter.	• We have analysed and understood key IT systems/applications used and tested the design and implementation and operational effectiveness of relevant controls in relation to income recognition, asset classification, viz., standard, sub-standard, doubtful and loss with reference to RBI guidelines and provisioning pertaining to advances; and • We test checked advances to examine the validity and accuracy of the recorded amounts, impairment provision for NPAs and compliance with IRAC norms of RBI guidelines.

Information Technology ('IT') Systems and Controls impacting Financial Reporting

Key Audit Matter	How our audit addressed the key audit matter
As the Bank operates on core banking solution across its branches and asset centres, the reliability and security of Information technology ("IT") systems plays a key role in the business operations. Since large volume of transactions are processed daily, the IT controls are required to ensure that applications process data as expected and that changes are made in an appropriate manner. IT infrastructure is critical for smooth functioning and accurate accounting and financial reporting process. Due to the pervasive nature and complexity of the IT environment, we have ascertained key IT systems used in financial reporting process and its related controls as a key audit matter.	In assessing the controls over the IT systems of the Bank, we involved our technology specialists to understand the IT control environment, IT infrastructure and IT systems. We conducted an assessment and identified key IT systems that are critical for accounting and financial reporting process and are relevant for our audit and tested their internal controls. In particular: • We obtained an understanding of the Bank's IT control environment and key changes during the audit period that may be relevant to the audit; • We tested the design, implementation and operating effectiveness of the Bank's General IT controls over the key IT systems that are critical to accounting and financial reporting. This included evaluation of Bank's controls for user access management, program change management, database management, network operations, incident management and other IT operations performed by the Bank during the period of audit; • We tested key automated business cycle controls and system generated reports relevant to the audit; and • We also tested compensating controls and performed alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the financial statements.

5. The following Key Audit Matters were included in the audit report dated 29 April 2026 containing an unmodified audit opinion on the special purpose financial statements of Kotak Mahindra Investments Limited (KMIL), a subsidiary of the Bank issued by Varma & Varma, an independent firm of Chartered Accountants, reproduced by us as under:

Key Audit Matters	How our audit addressed the key audit matters
Assessment of the impact of the decision taken with respect to the future conduct of KMIL's Business As Described in Note 36(a) to the financial Statements of KMIL, pursuant to the Reserve Bank of India (Commercial Banks - Undertaking of Financial Services) Directions, 2025 and in the interest of group simplification and operational synergy, the Parent Bank communicated to KMIL on March 23, 2026, that its business activities will be undertaken departmentally within the Parent Bank from April 1, 2026. The Board of Directors, at its meeting on March 24, 2026, approved cessation of new loan sanctions from that date while continuing to service its existing facilities.	Our Procedure included the following: • Compared the key assumptions underlying the cash flow projections under various scenarios, including scheduled repayment profiles, prepayment estimates, available lines of credit as well as estimates of operating costs.



Key Audit Matters	How our audit addressed the key audit matters
KMIL's ability to continue to meet its financial obligations is dependent upon the adequacy of collections from its existing loan portfolio to service its borrowings and other liabilities as they fall due, as well as under the various options being evaluated to implement the above decision. In view of the significance of this development to the financial statements and the judgment involved in management's assessment of its impact on the financial statements, including KMIL's ability to continue as a going concern, we have identified this assessment as a key audit matter. Identification and provision on non-performing advances (NPA) Advances constitute significant portion of KMIL's total assets. They are, inter-alia, governed by income recognition, asset classification and provision (IRAC) norms and other circulars and directives issued by the Reserve Bank of India ("RBI") from time to time which provides guidelines related to classification of Advances into performing and non-performing Advances (NPA). KMIL is also required to apply its judgement to determine the identification and provision required against NPAs by applying quantitative as well as qualitative factors. The provisioning for identified NPAs is estimated based on ageing and classification of NPAs, recovery estimates, value of security and other qualitative factors and is subject to the minimum provisioning norms specified by RBI. KMIL has detailed its accounting policy in this regard as disclosed in the Significant accounting policies disclosed in the Financial Statements. Significant judgements and estimates for NPA identification and provision could give rise to material misstatements on: • Completeness and timing of recognition of non-performing assets in accordance with criteria as per IRAC norms; • Measurement of the provision for non-performing assets based on loan exposure, ageing and classification of the loan, realizable value of security; • Appropriate reversal of unrealised income on the NPAs. Considering the materiality involved, nature of the transactions, regulatory requirements, existing business environment, estimation/judgement involved in valuation of securities, we have determined this as Key Audit Matter.	• Assessed KMIL's borrowing profile, including the maturity schedule of its outstanding liabilities, to evaluate whether projected inflows are sufficient to meet debt service and other obligations over the assessment period. • Assessed the adequacy of disclosures in the Financial Statements in this regard. Our procedures included the following: • Reviewing account statements and other related information of the borrowers selected based on quantitative and qualitative risk factors. • Test checked advances to examine the validity of the recorded amounts, loan documentation, provision for non-performing assets and compliance with income recognition, asset classification and provisioning pertaining to advances in terms of applicable RBI guidelines. • For non-performing advances identified, based on factors including stressed sectors and account materiality, tested the asset classification dates, reversal of unrealised interest, value of available security and provision as per IRAC norms • Recomputed the provision for NPA after considering the key input factors and compared our measurement outcome to that prepared by management.

6. The following Key Audit Matter was included in the audit report dated 29 April 2026 containing an unmodified audit opinion on the special purpose financial statements of Kotak Securities Limited (KSL), a subsidiary of the Bank issued by one of the joint auditor, an independent firm of Chartered Accountants reproduced by us as under:

Key Audit Matter	How our audit addressed the key audit matter
Key Information Technology (IT) systems used in financial reporting process KSL's operational and financial processes are dependent on IT systems due to large volume of transactions that are processed daily. KSL uses Oracle Fusion system as the General Ledger for overall financial reporting, which is interfaced with other systems that process transactions, which impacts significant account balances. KSL relies on automated processes and controls for recording of its transactions and accordingly, our audit was focused on key IT systems and controls due to the pervasive impact on the Special Purpose Financial Statements.	Principal audit procedures performed included the following: We involved our IT specialists to obtain an understanding of KSL's IT related control environment. Furthermore, we conducted a risk assessment and identified IT applications, databases and operating systems that are relevant to our audit. For the key IT systems relevant to financial reporting, our areas of audit focus included Access Security (including controls over privileged access), Program Change controls and Network Operations. In particular: • We obtained an understanding of KSL's IT environment and key changes if any during the audit period that may be relevant to the audit; • We tested the design, implementation and operative effectiveness of the General IT controls over the key IT systems that are critical to financial reporting. This included evaluation of KSL's controls to ensure segregation of duties and access rights being provisioned/modified based on duly approved requests, access for exit cases being revoked in a timely manner and access of all users being re-certified during the period of audit. Further, controls related to program change were evaluated to verify whether the changes were approved, tested in an environment that was segregated from production and moved to production by appropriate users; • We tested key automated business cycle controls, related interfaces and logics for system generated reports relevant to the audit for evaluating completeness and accuracy; • We also tested the controls over network segmentation, restriction of remote access to KSL's network, controls over firewall configurations and mechanisms implemented by KSL to prevent, detect and respond to network security incidents; and we tested compensating controls or performed alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the Special Purpose Financial Statements.

7. The following Key Audit Matter was included in the audit report dated 29 April 2026 containing an unmodified audit opinion on the special purpose financial statements of Kotak Mahindra Prime Limited (KMPL), a subsidiary of the Bank, issued by joint auditors Borkar & Muzumdar and Singhi & Co., an independent firm of Chartered Accountants reproduced by us as under:

Key Audit Matter	How our audit addressed the key audit matter
Information Technology (IT) System and Controls KMPL's key financial accounting and reporting process are highly dependent on the automated controls over KMPL's information system such that there exists a risk that gaps in the IT general control environment could result in a misstatement of the financial accounting and reporting records. Accordingly, we have considered the same as a key audit matter.	Our Audit Approach: With the assistance of our IT specialists, we obtained an understanding of KMPL's IT applications, databases and operating systems relevant to financial reporting and the control environment.



Key Audit Matter	How our audit addressed the key audit matter
	Our audit approach was a combination of test of internal controls and substantive procedures on the areas of the IT infrastructure, which majorly focused access security (including controls over privileged access), program change controls, database management and network operations. In particular, our activity included the following: General IT Controls Design, Observation and Operation: - understood the changes made in the IT environment during the year and ascertained its effect on the financial statements controls and accounts. - Tested key controls operating over the information technology in relation to financial accounting and reporting systems, including system access and system change management, program development and computer operations. User Access Controls Operation: - Obtained management's evaluation of the access rights granted to applications relevant to financial accounting and reporting systems and tested resolution of a sample of expectations. - Further, we assessed the operating effectiveness of controls over granting, removal and appropriateness of access rights. Application Controls: - We tested the design and operating effectiveness of automated controls critical to financial accounting and reporting. - We evaluated the design and operating effectiveness of compensating controls and, where necessary, expanded the scope of our substantive audit procedures to ensure adequate coverage. - Our tests also included testing of the compensating controls or alternate procedures to assess whether there were any unaddressed IT risks that would materiality impact the Financial Statements. - Considered the reports issued by the professional consultants with respect to Information Systems (IS) Audit and IT Infrastructure of KMPL and of certain applications at group level relevant for KMPL.

INFORMATION OTHER THAN THE FINANCIAL STATEMENTS AND AUDITORS' REPORT THEREON

8. The Bank's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report but does not include the Consolidated Financial Statements and our auditors' report thereon. The Annual Report is expected to be made available to us after the date of this auditors' report.

Our opinion on the Consolidated Financial Statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

RESPONSIBILITIES OF MANAGEMENT AND BOARD OF DIRECTORS' FOR THE CONSOLIDATED FINANCIAL STATEMENTS

9. The accompanying Consolidated Financial Statements have been approved by the Bank's Board of Directors. The Bank's Board of Directors are responsible for the matters stated in section 134(5) of the Act with respect to the preparation and presentation of these Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Group including its associates, in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act read with the Companies (Accounting Standard) Rules, 2021 as applicable to banks, provisions of section 29 of the Banking Regulation Act, 1949 and the RBI guidelines. The respective Board of Directors of the Bank and the subsidiary companies included in the Group and its associate companies are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act, the Banking Regulation Act, 1949 and the RBI guidelines for safeguarding of the assets of the Group and of its associates and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; selection of the appropriate accounting software for ensuring compliance with applicable laws and regulations including those related to retention of audit logs; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Financial Statements by the Management and Directors of the Bank, as aforesaid.
10. In preparing the Consolidated Financial Statements, the respective Board of Directors of the companies included in the Group and of its associates are responsible for assessing the ability of the respective companies included in the Group and of its associates, to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the companies included in the Group and its associates or to cease operations, or has no realistic alternative but to do so.
11. The respective Board of Directors of the companies included in the Group and of its associates are also responsible for overseeing the financial reporting process of the subsidiary companies included in the Group and of its associates.

AUDITORS' RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

12. Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.
13. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
 - Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
 - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Bank has adequate internal financial controls with reference to Consolidated Financial Statements and the operating effectiveness of such controls;
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management;
 - Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group and its associates to cease to continue as a going concern;
 - Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation;
 - Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group and its associates, to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of financial statement of such entities included in the Consolidated Financial Statements, of which we are the independent auditors. For the other entities included in the Consolidated Financial Statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider



quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

14. We communicate with those charged with governance of the Bank and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
15. We also provide those charged with governance of the Bank with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
16. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER MATTERS

17. We did not audit the financial statements of 12 subsidiaries, whose financial statements reflect total assets of ₹74,146.59 crores (before consolidation adjustments) and net assets of ₹23,495.50 crores (before consolidation adjustments) as at 31 March 2026, total revenues of ₹9,591.17 crores (before consolidation adjustments) and net cash out flows amounting to ₹165.30 crores for the year ended on that date, as considered in the Consolidated Financial Statements. The Consolidated Financial Statements also include the Group's share of net profit of ₹190.84 crores for the year ended 31 March 2026 in respect of 2 associates (including Infina Finance Private Limited up to 23 March 2026) whose financial statements have not been audited by us. These financial statements have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and associates, and our report in terms of sub-section (3) of section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, and associates, is based solely on the reports of the other auditors.

Further, of these subsidiaries, 5 subsidiaries are located outside India, whose annual financial statements have been prepared in accordance with accounting principles generally accepted in their respective countries, and which have been audited by other auditors under the respective auditing standards used by the component auditors, as applicable in their respective countries. The Bank's management has converted the financial statements of such subsidiaries from accounting principles generally accepted in their respective countries to accounting principles generally accepted in India. An Independent firm of Chartered Accountants appointed by the Bank's management in India have audited these conversion adjustments made by the Bank's management. Our opinion, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, is based on the audit reports of other auditors and the conversion adjustments prepared by the management of the Bank and audited by the Independent firm of Chartered Accountants appointed by the Bank's management in India.

Our opinion above on the Consolidated Financial Statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done by and the reports of the other auditors.

18. Further, 5 subsidiary companies whose financial statement reflects total assets of ₹48,447.47 crores (before consolidation adjustments) and net assets of ₹18,110.16 crores (before consolidation adjustments) as at 31 March 2026, total revenues of ₹9,142.10 crores (before consolidation adjustments) and net cash flows of ₹5,692.84 crores for the year ended 31 March 2026, as considered in the Consolidated Financial Statements, which have been audited by one of the joint auditors of the Bank, whose reports have been furnished to us by the Parent's management, and accordingly opinion of M M NISSIM & CO LLP, the other joint auditors of the Bank on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiary companies, and our report in terms of sub-section (3) of section 143 of the Act, in so far as it relates to the aforesaid subsidiary companies, is based solely on the reports of the auditors of subsidiary companies.

Our opinion is not modified in respect of this matter.

19. Further, 1 subsidiary company whose financial statement reflects total assets of ₹106,099.20 crores (before consolidation adjustments) and net assets of ₹6,738.11 crores (before consolidation adjustments) as at 31 March 2026, total revenues of ₹26,011.37 crores (before consolidation adjustments) and net cash flows of ₹434.94 crores for the year ended 31 March 2026, and 1 associate company whose financial statement includes net loss after tax of ₹83.57 crores (before consolidation adjustments) for the year ended 31 March 2026, as considered in the Consolidated Financial Statements, which have been audited by, one of the joint auditors of the Bank along with other joint auditor of the subsidiary and associate company respectively, whose reports have been furnished to us by the Parent's management, and accordingly opinion of Deloitte Haskins & Sells, the other joint auditors of the Bank on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of this subsidiary and associate company, and our report in terms of sub-section (3) of section 143 of the Act, in so far as it relates to the aforesaid subsidiary and associate company, is based solely on the reports of the auditors of subsidiary and associate company.

Our opinion is not modified in respect of this matter.

20. The following other matter paragraph has been included in the audit report of Kotak Mahindra Life Insurance Company Limited ('KLIFE') the subsidiary of the Bank, issued by one of the joint auditors of the Bank along with other joint auditor of KLIFE vide their report dated 28 April 2026:

“The actuarial valuation of liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2026 is the responsibility of the Company’s Appointed Actuary (the “Appointed Actuary”). The actuarial valuation of the liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2026 has been duly certified by the Appointed Actuary and in his opinion, the actuarial liabilities have been calculated in accordance with generally accepted actuarial principles, the requirements of the Insurance Act, 1938, Insurance Act (Amendment), 2015, relevant Regulations and the Actuarial Practice Standards and Guidance Notes of the Institute of Actuaries of India. We have relied upon the Appointed Actuary’s certificate in this regard during our audit of the valuation of liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2026, as contained in the financial statements of the Company. Our opinion is not modified in respect of this matter.”

Our opinion is not modified in respect of this matter.

21. The Consolidated Financial Statements of the Bank for the year ended 31 March 2025 were jointly audited by Deloitte Haskins & Sells and KKC & Associates LLP under the Act and the Banking Regulation Act, 1949, who vide their report dated 3 May 2025 expressed an unmodified opinion on those audited Consolidated Financial Statements. Accordingly, M M NISSIM & CO LLP does not express any opinion on the figures reported in the Consolidated Financial Statements for the corresponding year ended 31 March 2025.

Our opinion is not modified in respect of this matter.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

22. The Consolidated Balance Sheet and the Consolidated Profit and Loss Account have been drawn up in accordance with the provisions of section 29 of the Banking Regulation Act, 1949 and section 133 of the Act and the relevant rules issued thereunder.
23. In our opinion and to the best of our information and according to the explanations given to us, the provisions of Section 197 of the Act are not applicable to the Bank by virtue of Section 35B(2A) of the Banking Regulation Act, 1949. Accordingly, the reporting under Section 197(16) of the Act regarding payment/ provision for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act, is not applicable.

Based on the consideration of audit reports of the statutory auditors of 11 subsidiary companies and 1 associate company, the remuneration paid to their directors during the year ended 31 March 2026 were in accordance with the provisions of section 197 of the Act.

Further, based on the consideration of audit reports of the statutory auditors of 1 subsidiary company and 1 associate company, the remuneration paid to their directors during the year ended 31 March 2026 were in accordance with the provisions of section 197 of the Act, read with section 34A of the Insurance Act, 1938.

Further, based on the consideration of audit reports of the statutory auditors of 1 subsidiary company for the year ended 31 March 2026, and 1 associate company for the period ended 23 March 2026, the provisions of section 197 read with Schedule V of the Act, were not applicable.

24. Further, as required by section 143 (3) of the Act, based on our audit and on the consideration of the reports of the other auditors on the separate financial statements of the subsidiaries and associates referred to in the Other Matters section above, we report, to the extent applicable, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid Consolidated Financial Statements;
 - b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid Consolidated Financial Statements have been kept so far as it appears from our examination of those books and the reports of the other auditors; except for the matters stated in paragraph 24(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).
 - c) The Consolidated Balance Sheet, the Consolidated Profit and Loss Account, and the Consolidated Cash Flow Statement dealt with by this report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements;
 - d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Accounting Standards specified under section 133 of the Act read with the Companies (Accounting Standard) Rules, 2021, to the extent they are not inconsistent with the accounting policies prescribed by RBI.
 - e) On the basis of the written representations received from the directors of the Bank and taken on record by the Board of Directors of the Bank and the reports of the statutory auditors of its subsidiary companies and associate companies incorporated in India, none of the directors of the Group companies and its associate companies incorporated in India, are disqualified as on 31 March 2026 from being appointed as a director in terms of section 164(2) of the Act;
 - f) With respect to the maintenance of accounts and other matters connected therewith, reference is made to our remarks in paragraph 24(b) above on reporting under Section 143(3)(b) and paragraph 24(h)(vi) below on reporting under Rule 11(g) of the Rules.
 - g) With respect to the adequacy of the internal financial controls with reference to the Consolidated Financial Statements of the Bank, its subsidiary and its associate companies incorporated in India and the operating effectiveness of such controls, refer to our separate report in ‘Annexure A’; and
 - h) With respect to the other matters to be included in the Auditors’ Report in accordance with rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of audit reports of other auditors on separate financial statements of such subsidiaries, associates, as noted in the “Other Matters” paragraph:



- i. The Consolidated Financial Statements disclose the impact of pending litigations as at 31 March 2026 on the consolidated financial position of the Group, and its associates as detailed in Refer - Schedule 12.I, Schedule 17-Note 2(X) and Schedule 17-Note 9 to the Consolidated Financial Statements;
- ii. Provision has been made in the Consolidated Financial Statements as at 31 March 2026, as required under the applicable law or the Accounting Standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts as at March 31, 2026 as detailed in Refer Schedule 12.II, Schedule 17 Note 2(G), Schedule 17-Note 2(X) and Schedule 17-Note 7 and Note 9 to the Consolidated Financial Statements in respect of such items as it relates to the Schedule 17 - Note 18 to the Consolidated Financial Statements in respect of the Group's share of net profit of its associates;
- iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Bank, and its subsidiary companies, and associate companies incorporated in India, as applicable, during the year ended 31 March 2026.
- iv.
 - a. The respective Managements of the Bank, subsidiaries and its associates which are companies incorporated in India whose financial statements have been audited under the Act have represented to us, and the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and belief, other than as disclosed in Schedule 17 - Note 24, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Bank or any of such subsidiaries and associates to or in any other person(s) or entity(ies), including foreign entities ('Intermediaries'), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Bank or any of such subsidiaries and associates ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
 - b. The respective Managements of the Bank, its subsidiaries and associate which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and belief, other than as disclosed in Schedule 17 - Note 24, no funds (which are material either individually or in the aggregate) have been received by the Company or any of such subsidiaries and associates from any person(s) or entity(ies), including foreign entities ('Funding Parties'), with the understanding, whether recorded in writing or otherwise, that the Bank or any of such subsidiaries and associates shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - c. Based on the audit procedures, that which we have has been considered reasonable and appropriate in the circumstances, performed by us and those performed by the auditors of the subsidiaries and associates which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditors' notice that has caused us or the other auditors to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material misstatement.
- v. The dividend declared and paid during the year by the Bank and its subsidiaries and associates is in compliance with Section 123 of the Act.
- vi. Based on our examination, which included test checks, and that performed by respective auditors of the subsidiaries and associates, which are incorporated in India whose financial statements have been audited under the Act, except for one instance in a subsidiary for four accounting software where audit trail has not been enabled at database level to log any direct changes and for one instance in one associate in respect of Treasury software, where the database level records user identification and timestamps but is limited in its ability to capture "what data has changed", and was not enabled throughout the year; the Bank, its subsidiaries and associates have used accounting software for maintaining books of account for the financial year ended 31 March 2026 which have a feature of recording audit trail and that has operated throughout the year for all relevant transactions recorded in the accounting software. Further, during the course of audit, other than the aforesaid instances of audit trail not maintained, we and respective other auditors, whose reports have been furnished to us by the Management of the Bank, have not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved as per as the statutory requirements for record retention, since enabled.

For Deloitte Haskins & Sells
Chartered Accountants
(Firm Registration No: 117365W)

G. K. Subramaniam
Partner
Membership Number. 109839
UDIN: 26109839OSXBMQ2919

Place: Mumbai
Date: 2 May 2026

For M M NISSIM & CO LLP
Chartered Accountants
(Firm Registration No. 107122W/W100672)

Sanjay Khemani
Partner
Membership Number. 044577
UDIN: 26044577FKUFIB7876

Place: Mumbai
Date: 2 May 2026

ANNEXURE A TO THE INDEPENDENT AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS OF KOTAK MAHINDRA BANK LIMITED FOR THE YEAR ENDED 31 MARCH 2026

REFERRED TO IN PARAGRAPH 24(G) UNDER 'REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS' SECTION OF OUR REPORT OF EVEN DATE

Independent Auditors' Report on the Internal Financial Controls with reference to the aforesaid Consolidated Financial Statements Under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')

1. In conjunction with our audit of the Consolidated Financial Statements of Kotak Mahindra Bank Limited ('the Bank') and its subsidiaries (the Bank and its subsidiaries together referred to as 'the Group'), and its associates as at and for the year ended 31 March 2026, we have audited the internal financial controls with reference to Consolidated Financial Statements of the Bank, its subsidiary companies and its associate companies, which are companies incorporated in India, as at that date.

Responsibilities of Management and Those Charged with Governance for Internal Financial Controls

2. The respective Board of Directors of the Bank, its subsidiary companies and its associate companies, to whom reporting under clause (i) of sub-section 143 of the Act in respect of adequacy of the internal control with reference to financial statements is applicable, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting ('the Guidance Note') issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act, the Banking Regulation Act, 1949 and the RBI guidelines.

Auditors' Responsibility for the Audit of the Internal Financial Controls with Reference to Consolidated Financial Statements

3. Our responsibility is to express an opinion on the internal financial controls with reference to Consolidated Financial Statements of the Bank, its subsidiary companies and its associate companies, which are companies incorporated in India, based on our audit. We conducted our audit in accordance with the Guidance Note issued by the ICAI and the Standards on Auditing ('SAs') issued by the ICAI and prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those SAs and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Consolidated Financial Statements were established and maintained and if such controls operated effectively in all material respects.
4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to Consolidated Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Consolidated Financial Statements includes obtaining an understanding of such internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the "Other Matters" paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to the Consolidated Financial Statements.

Meaning of Internal Financial Controls with Reference to the Consolidated Financial Statements

6. A Bank's internal financial controls with reference to the Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Bank's internal financial controls with reference to Consolidated Financial Statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Bank; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Bank are being made only in accordance with authorisations of management and directors of the Bank; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Bank's assets that could have a material effect on the Consolidated Financial Statements.



Inherent Limitations of Internal Financial Controls with Reference to the Consolidated Financial Statements

7. Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Consolidated Financial Statements to future periods are subject to the risk that the internal financial controls with reference to Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion and based on the consideration of the reports of the other auditors on internal financial controls with reference to Consolidated Financial Statements of the subsidiary companies and associate companies, which are companies incorporated in India, have in all material respects, adequate internal financial controls with reference to Consolidated Financial Statements and such controls were operating effectively as at 31 March 2026, based on the internal control over financial reporting criteria established by the Group considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

9. Our aforesaid reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to the Consolidated Financial Statements in so far as it relates to 7 subsidiary companies and 1 associate company, which are companies incorporated in India, is based on the corresponding reports of the auditors of such companies incorporated in India.

Our opinion is not modified in respect of this matter.

10. The following other matter paragraph has been included in the Annexure 'A' to the audit report of Kotak Mahindra Life Insurance Company Limited ('KLIFE') the subsidiary of the Bank, issued by one of the joint auditors along with other joint auditor of KLIFE vide their report dated 28 April 2026:

"The actuarial valuation of liabilities for life policies in force and for policies in respect of which premium has been discontinued but liability exists as at 31 March 2026 is required to be certified by Appointed Actuary as per the regulations and has been relied upon by us, as mentioned in para 4 and 13 of our audit report on the financial statements for the year ended 31 March 2026. Accordingly, our opinion on the internal financial control over financial reporting does not include reporting on the operating effectiveness of the management's internal controls over the valuation and accuracy of the aforesaid actuarial valuation. Our opinion is not modified in respect of this matter."

Our opinion above is not modified in respect of this matter.

For **Deloitte Haskins & Sells**
Chartered Accountants
(Firm Registration No: 117365W)

G. K. Subramaniam
Partner
Membership Number. 109839
UDIN: 26109839OSXBMQ2919

Place: Mumbai
Date: 2 May 2026

For **M M NISSIM & CO LLP**
Chartered Accountants
(Firm Registration No. 107122W/W100672)

Sanjay Khemani
Partner
Membership Number. 044577
UDIN: 26044577FKUFIB7876

Place: Mumbai
Date: 2 May 2026

Consolidated Balance Sheet

as at 31st March, 2026

(₹ in thousands)

	Schedule	As at 31 st March, 2026	As at 31 st March, 2025
CAPITAL AND LIABILITIES			
Capital	1	9,946,465	9,941,115
Employees' Stock Options/Units (Grants) Outstanding		1,131,215	942,677
Reserves and Surplus	2	1,801,181,029	1,564,009,706
Deposits	3	5,669,403,265	4,947,074,752
Borrowings	4	953,935,315	976,220,344
Policyholders' Funds		961,683,428	851,210,618
Other Liabilities and Provisions	5	636,247,193	448,344,158
Total		10,033,527,910	8,797,743,370
ASSETS			
Cash and Balances with Reserve Bank of India	6	512,817,365	417,483,508
Balances with Banks and Money at Call and Short Notice	7	508,093,671	373,134,027
Investments	8	2,906,328,066	2,842,549,990
Advances	9	5,657,678,786	4,861,655,200
Fixed Assets	10	28,528,046	28,108,003
Other Assets	11	410,604,409	265,335,075
Goodwill on Consolidation		9,477,567	9,477,567
Total		10,033,527,910	8,797,743,370
Contingent Liabilities	12	9,897,914,181	11,271,592,571
Bills for Collection		684,737,496	526,908,188
Significant Accounting Policies and Notes to Accounts forming part of the Consolidated Financial Statements	17		
The schedules referred to above form an integral part of this Consolidated Balance Sheet			

As per our report of even date attached.

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration No. 117365W

G. K. Subramaniam
Partner
Membership No.109839

For **M M NISSIM & CO LLP**
Chartered Accountants
Firm Registration No. 107122W/W100672

Sanjay Khemani
Partner
Membership No. 044577

Mumbai
2nd May, 2026

For and on behalf of the Board of Directors

C S Rajan
Chairman
DIN: 00126063

Jaideep Hansraj
Whole-time Director
(Executive Director)
DIN: 02234625

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550

Ashu Suyash
Independent Director
DIN: 00494515

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430



Consolidated Profit and Loss Account

for the year ended 31st March, 2026

(₹ in thousands)

	Schedule	For the year ended 31 st March, 2026	For the year ended 31 st March, 2025
I. INCOME			
Interest Earned	13	697,812,121	656,688,252
Other Income	14	381,663,754	412,334,116
Total		1,079,475,875	1,069,022,368
II. EXPENDITURE			
Interest Expended	15	296,199,788	282,709,127
Operating Expenses	16	484,344,960	457,830,592
Provisions and Contingencies (Refer Note 7.A-Schedule 17)		107,124,871	109,025,273
Total		887,669,619	849,564,992
III. PROFIT			
Net Profit for the year		191,806,256	219,457,376
Add: Share in profit / (loss) of Associates		1,072,669	1,802,514
Consolidated Profit for the year attributable to the Group		192,878,925	221,259,890
Add : Balance in Profit and Loss Account brought forward from previous year (Refer Schedule 2 (XVI))		900,374,562	750,043,044
Total		1,093,253,487	971,302,934
IV. APPROPRIATIONS			
Transfer to Statutory Reserve		35,019,300	41,125,200
Transfer to Special Reserve u/s 45 IC of RBI Act, 1934		3,087,531	3,006,764
Transfer to Special Reserve u/s 36(1)(viii) of Income Tax Act, 1961		4,371,000	1,500,000
Transfer to Debenture Redemption Reserve		150,000	175,000
Transfer to Capital Reserve		10,945,001	20,652,700
Transfer to General Reserve		-	1,611
Transfer to Investment Fluctuation Reserve Account		-	5,000,000
Dividend		4,970,975	3,976,240
Balance carried over to Balance Sheet		1,034,709,680	895,865,419
Total		1,093,253,487	971,302,934
V. EARNINGS PER SHARE (Face value of ₹1/-)			
Basic (₹)		19.40	22.26
Diluted (₹)		19.39	22.26
(Refer Note 10 & 27- Schedule 17)			
Significant Accounting Policies and Notes to Accounts forming part of the Consolidated Financial Statements	17		
The schedules referred to above form an integral part of this Consolidated Profit and Loss Account			

As per our report of even date attached.

For and on behalf of the Board of Directors

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration No. 117365W

C S Rajan
Chairman
DIN: 00126063

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550

G. K. Subramaniam
Partner
Membership No.109839

Jaideep Hansraj
Whole-time Director
(Executive Director)
DIN: 02234625

Ashu Suyash
Independent Director
DIN: 00494515

For **M M NISSIM & CO LLP**
Chartered Accountants
Firm Registration No. 107122W/W100672

Sanjay Khemani
Partner
Membership No. 044577

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430

Mumbai
2nd May, 2026

Consolidated Cash Flow Statement

for the year ended 31st March, 2026

(₹ in thousands)

	Year Ended 31 st March, 2026	Year Ended 31 st March, 2025
CASH FLOW FROM OPERATING ACTIVITIES		
Net Profit before share in profit/(loss) of Associates	191,806,256	219,457,376
Add: Provision for tax	68,120,998	70,432,918
Net Profit before taxes	259,927,254	289,890,294
Adjustments for :-		
Employee Stock Options/units Expense	668,166	366,850
Depreciation on Group's property	10,319,164	9,409,087
Provision for Diminution/(Write back) in the value of Investments	(680,544)	936,479
(Profit)/Loss on revaluation of Investments (net)	32,206,742	1,927,938
Profit on sale of investment in associate/subsidiary	(3,677,887)	(38,034,000)
Profit on sale of Investments (net)	(37,598,197)	(47,302,723)
Amortisation of Premium/Discount on Investments	996,245	151,698
Provision for Non Performing Assets, Standard Assets and Other Provisions	39,684,417	37,655,876
Profit on sale of Fixed assets	17,876	(458,046)
	301,863,236	254,543,453
Adjustments for :-		
Decrease/(Increase) in Investments-Available for Sale, Held for Trading and Stock-in-Trade	152,204,159	(6,855,669)
Increase in Advances	(831,478,661)	(593,964,822)
Increase in Other Assets	(145,988,069)	(51,509,361)
Increase in Deposits	722,328,513	494,387,139
Increase in Policyholders' Funds	110,472,810	117,454,649
Increase in Other Liabilities and Provisions	172,196,456	18,489,034
Sub-total	179,735,208	(21,999,030)
Direct Taxes Paid	(64,333,320)	(63,387,093)
NET CASH FLOW FROM/(USED IN) OPERATING ACTIVITIES (A)	417,265,124	169,157,330
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of Fixed assets	(10,579,681)	(12,128,454)
Sale of Fixed assets	219,458	647,585
Proceeds from Sale of Shares in Associates/Subsidiary (net of expenses)	12,778,117	40,730,802
Increase in Other Investments (including investments in HTM securities)	(167,609,250)	(281,970,757)
NET CASH FLOW FROM/(USED IN) INVESTING ACTIVITIES (B)	(165,191,356)	(252,720,824)
CASH FLOW FROM FINANCING ACTIVITIES		
Dividend paid	(4,970,975)	(3,976,240)
Money received on issue of Equity Shares/exercise of stock options	1,871,725	464,007
Increase/(Decrease) in borrowings	(22,285,029)	225,164,282
NET CASH FLOW FROM/(USED IN) FINANCING ACTIVITIES (C)	(25,384,279)	221,652,049
Increase in Foreign Currency Translation Reserve (D)	3,604,012	697,552
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS (A + B + C + D)	230,293,501	138,786,107
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR (Refer Note below)	790,617,535	652,063,874
Less: Reduction due to deconsolidation of subsidiary during the year	-	(232,446)
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR (Refer Note below)	1,020,911,036	790,617,535



Consolidated Cash Flow Statement

for the year ended 31st March, 2026

(₹ in thousands)

	Year Ended 31 st March, 2026	Year Ended 31 st March, 2025
Note:		
Cash in hand (As per Schedule 6 I)	16,917,683	17,424,803
Balance with RBI in Current Account (As per Schedule 6 II (i))	170,499,682	197,788,705
Balance with RBI in Other Account (As per Schedule 6 II (ii))	325,400,000	202,270,000
Balance with banks in India in Current Account (As per Schedule 7 I (i) (a))	6,103,822	4,930,913
Balance with banks in India in Other Deposit Accounts (As per Schedule 7 I (i) (b))	149,397,564	108,884,165
Money at call and short notice in India with Banks (As per Schedule 7 I (ii) (a))	-	-
Money at call and short notice in India with Other Agencies (As per Schedule 7 I (ii) (b))	204,133,123	78,832,798
Balance with banks Outside India:		
(i) In Current Account (As per Schedule 7 II (i))	64,490,549	61,863,125
(ii) In Other Deposit Accounts (As per Schedule 7 II (ii))	83,968,613	118,623,026
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	1,020,911,036	790,617,535

As per our report of even date attached.

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration No. 117365W

G. K. Subramaniam
Partner
Membership No.109839

For **M M NISSIM & CO LLP**
Chartered Accountants
Firm Registration No. 107122W/W100672

Sanjay Khemani
Partner
Membership No. 044577

Mumbai
2nd May, 2026

For and on behalf of the Board of Directors

C S Rajan
Chairman
DIN: 00126063

Jaideep Hansraj
Whole-time Director
(Executive Director)
DIN: 02234625

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550

Ashu Suyash
Independent Director
DIN: 00494515

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430

Schedules

forming part of Consolidated Balance Sheet as at 31st March, 2026

SCHEDULE 1 - CAPITAL

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
Authorised Capital		
14,000,000,000 Equity Shares of ₹1/- each	14,000,000	14,000,000
(31 st March, 2025: 2,800,000,000 Equity Shares of ₹5/- each)		
1,000,000,000 (31 st March, 2025: 1,000,000,000) Perpetual Non Cumulative Preference Shares of ₹5/- each	5,000,000	5,000,000
	19,000,000	19,000,000
Issued, Subscribed and Paid-up Capital		
9,946,464,950 Equity Shares of ₹1/- each (31 st March, 2025: 1,988,222,993 Equity Shares of ₹5/- each) fully paid-up (Refer Note 27-Schedule 17)	9,946,465	9,941,115
Total	9,946,465	9,941,115

SCHEDULE 2 - RESERVES AND SURPLUS

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. Statutory Reserve		
Opening Balance	223,897,183	182,771,983
Add: Transfer from Profit and Loss Account	35,019,300	41,125,200
Total	258,916,483	223,897,183
II. Capital Reserve		
Opening Balance	24,326,485	3,531,886
Add: Transfer from Profit and Loss Account	10,945,001	20,652,700
Add: Transfer from AFS Reserve	3,684,277	141,899
Total	38,955,763	24,326,485
III. General Reserve		
Opening Balance	23,809,281	6,749,708
Add: Increase/(Decrease) during the year (Refer Note 29-Schedule 17)	-	8,519,658
Add: Amount transferred on Employee's Stock Options (Grant) Outstanding lapsed	33,762	156,983
Add: Transfer from Profit and Loss Account	-	1,611
Add: Transfer from Debenture Redemption Reserve	195,000	65,000
Add: Transfer from Investment Reserve Account	-	8,316,321
Total	24,038,043	23,809,281
IV. Securities Premium Account		
Opening Balance	255,848,962	255,329,595
Add: Received during the year	2,312,437	519,367
Total	258,161,399	255,848,962
V. Special Reserve under Section 45 IC of the RBI Act, 1934		
Opening Balance	26,031,875	23,472,611
Add: Transfer from Profit and Loss Account	3,087,531	3,006,764
Less: Transfer to Profit and Loss Account	-	(447,500)
Total	29,119,406	26,031,875
VI. Capital Reserve on Consolidation		
Opening Balance	1,475,671	1,475,671
Total	1,475,671	1,475,671
VII. Foreign Currency Translation Reserve (Refer Note 2(G)(vi) and (xii)-Schedule 17)		
Opening Balance	6,137,745	5,440,193
Add: Increase/(Decrease) during the year	3,604,012	697,552
Total	9,741,757	6,137,745



(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
VIII. Investment Reserve Account		
Opening Balance	-	8,316,321
Add: Transfer from Profit and Loss Account	-	-
Less: Transfer to General Reserve	-	(8,316,321)
Total	-	-
IX. Special Reserve under Section 36(1)(viii) of the Income Tax Act, 1961		
Opening Balance	11,692,000	10,192,000
Add: Transfer from Profit and Loss Account	4,371,000	1,500,000
Total	16,063,000	11,692,000
X. Investment Fluctuation Reserve		
Opening Balance	40,000,000	35,000,000
Add: Transfer from Profit and Loss Account	-	5,000,000
Total	40,000,000	40,000,000
XI. Capital Redemption Reserve		
Opening Balance	5,101,800	5,101,800
Add: Transfer from Profit and Loss Account	-	-
Total	5,101,800	5,101,800
XII. Amalgamation Reserve		
Opening Balance	1,224,046	1,224,046
Total	1,224,046	1,224,046
XIII. Investment Allowance (Utilised) Reserve		
Opening Balance	500	500
Total	500	500
XIV. Debenture Redemption Reserve		
Opening Balance	445,000	335,000
Add: Transfer from Profit and Loss Account	150,000	175,000
Less: Transfer to General Reserve	(195,000)	(65,000)
Total	400,000	445,000
XV. Available for Sale Reserve*		
Opening Balance	43,644,596	-
Add: Increase during the year (Refer Note 29-Schedule 17)	43,309,045	43,786,495
Less: Transfer to Capital Reserve	(3,684,277)	(141,899)
Total	83,269,364	43,644,596
(*) on revaluation of Available for Sale category of investments.		
XVI. Balance in the Profit and Loss Account	1,034,709,680	895,865,419
Add: Increase during the year**	4,117	4,061,643
Add: Transfer from Special Reserve under Section 45 IC of the RBI Act, 1934	-	447,500
	1,034,713,797	900,374,562
(**) Increase due to discontinuation of Kotak General Insurance Limited from consolidation during the previous year. (Refer Note 25-Schedule 17)		
Total (I to XVI)	1,801,181,029	1,564,009,706

SCHEDULE 3 - DEPOSITS

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
A.		
I. Demand Deposits		
i. From Banks	7,358,656	4,098,529
ii. From Others	982,053,286	806,958,832
Total	989,411,942	811,057,361

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
II. Savings Bank Deposits	1,460,759,161	1,315,552,776
III. Term Deposits		
i. From Banks	81,322,601	66,919,525
ii. From Others	3,137,909,561	2,753,545,090
Total	3,219,232,162	2,820,464,615
Total Deposits* (I to III)	5,669,403,265	4,947,074,752
B.		
I. Deposits of Branches in India	5,627,647,541	4,921,099,683
II. Deposits of Branches Outside India	41,755,724	25,975,069
Total Deposits (I + II)	5,669,403,265	4,947,074,752

*Amount of deposits against which lien is marked in Total Deposits is ₹35,309.58 crore (previous year ₹29,875.41 crore)

SCHEDULE 4 - BORROWINGS

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. Borrowings in India		
(i) Reserve Bank of India	-	108,710,000
(ii) Other Banks	300,407,125	124,852,238
(iii) Other Institutions and Agencies (Refer Note 12-Schedule 17)	565,386,170	671,010,859
Total	865,793,295	904,573,097
II. Borrowings outside India		
Banks and Other Institutions	88,142,020	71,647,247
Total	88,142,020	71,647,247
Total Borrowings (I + II)	953,935,315	976,220,344
Secured Borrowings (other than CBLO and Repo Borrowings included in I above)	416,881,092	351,229,882

SCHEDULE 5 - OTHER LIABILITIES AND PROVISIONS

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. Bills Payable	43,895,087	36,395,992
II. Interest Accrued	35,282,194	36,650,891
III. Provision for tax (net of advance tax and tax deducted at source)	22,916,006	17,838,041
IV. Standard Asset provision	27,014,134	22,217,902
V. Derivative Liabilities	161,355,903	69,009,992
VI. Others (including provisions) (Refer Note 3, 6, 7B, 20 and 23 (a)-Schedule 17)	345,783,869	266,231,340
Total	636,247,193	448,344,158

SCHEDULE 6 - CASH AND BALANCES WITH RESERVE BANK OF INDIA

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. Cash in hand (including foreign currency notes)	16,917,683	17,424,803
II. Balances with RBI		
(i) in Current Account	170,499,682	197,788,705
(ii) in Other Account	325,400,000	202,270,000
Total	512,817,365	417,483,508

**SCHEDULE 7 - BALANCES WITH BANKS AND MONEY AT CALL AND SHORT NOTICE**

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. In India		
(i) Balances with Banks		
(a) In Current Accounts	6,103,822	4,930,913
(b) In Other Deposit Accounts (Refer Note 4-Schedule 17)	149,397,564	108,884,165
Total	155,501,386	113,815,078
(ii) Money at Call and Short Notice		
(a) With Banks	-	-
(b) With Other Agencies	204,133,123	78,832,798
Total	204,133,123	78,832,798
Total (i + ii)	359,634,509	192,647,876
II. Outside India		
(i) In Current Accounts	64,490,549	61,863,125
(ii) In Other Deposit Accounts	83,968,613	118,623,026
(iii) Money at call and short notice	-	-
Total (i + ii + iii)	148,459,162	180,486,151
Total (I + II)	508,093,671	373,134,027

SCHEDULE 8 - INVESTMENTS

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. Investments in India in (Refer Note 5 & 29 - Schedule 17)		
i. Government Securities	1,745,910,226	1,786,378,121
ii. Other approved Securities	-	-
iii. Shares	376,256,870	311,361,744
iv. Debentures and Bonds	367,424,773	327,267,976
v. Subsidiaries and Joint Ventures (Refer Note 1(a)-Schedule 17)	10,000	10,000
vi. Associates*	11,129,421	24,731,367
vii. Others [Units, Certificate of Deposits (CD), Commercial Paper (CP), Security Receipts, Pass Through Certificates (PTC), Alternate Asset and Other similar funds]	401,392,933	384,742,307
Total	2,902,124,223	2,834,491,515
II. Investments Outside India in		
i. Government Securities	2,976,237	2,546,709
ii. Shares	423,332	413,546
iii. Debentures and Bonds	337,286	4,922,484
iv. Others [Venture, Private Equity and other similar funds]	466,988	175,736
Total	4,203,843	8,058,475
Total Investments (I + II)	2,906,328,066	2,842,549,990
*Investment in Associates		
Equity Investment in Associates	6,629,475	7,057,081
Less: Capital reserve on Consolidation (Share of pre-acquisition profits)	1,651	1,651
Cost of Investment in Associates	6,627,824	7,055,430
Add: Post-acquisition profit/(loss) and Reserve of Associates (Equity method)	4,501,597	17,675,937
Total	11,129,421	24,731,367

SCHEDULE 9 - ADVANCES

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
A. (i) Bills purchased and discounted [#]	90,555,922	55,296,796
(ii) Cash Credits, Overdrafts and Loans repayable on demand[^]	1,718,387,332	1,414,319,469
(iii) Term Loans[@]	3,848,735,532	3,392,038,935
Total	5,657,678,786	4,861,655,200
[#] Bills purchased and discounted is net of bills rediscounted ₹3,147.03 crore (previous year ₹2,760.15 crore)		
[^] net of borrowings under Inter Bank Participatory certificates of ₹43.75 crore (Previous Year ₹ Nil)		
[@] net of borrowings under Inter Bank Participatory certificates of ₹15,055.03 crore (Previous Year ₹14,996.90 crore)		
B. (i) Secured by tangible assets [*]	4,642,317,692	3,898,315,251
(ii) Covered by Bank/Government guarantees	6,608,150	15,448,793
(iii) Unsecured	1,008,752,944	947,891,156
Total	5,657,678,786	4,861,655,200
[*] including advances secured against book debts		
C. I Advances in India		
(i) Priority Sector	2,355,327,050	1,948,052,268
(ii) Public Sector	18,482,618	24,545,864
(iii) Banks	5,103,022	8,718
(iv) Others	3,167,033,944	2,807,823,401
Total	5,545,946,634	4,780,430,251
C. II Advances outside India		
(i) Due from banks	-	-
(ii) Due from others		
a) Bills purchased and discounted	8,706,312	-
b) Syndicated and term loans	103,025,840	81,224,949
c) Others	-	-
Total	111,732,152	81,224,949
Grand Total (C.I and C.II)	5,657,678,786	4,861,655,200

SCHEDULE 10 - FIXED ASSETS

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
A. Premises (Including Land)		
Gross Block		
At cost on 31 st March of the preceding year	11,195,896	11,326,696
Add: Additions/Exchange Gain/(Loss) during the year	16,969	-
Less: Deductions during the year	-	130,800
Total	11,212,865	11,195,896
Depreciation		
As at 31 st March of the preceding year	2,863,461	2,733,633
Add: Charge/Exchange Gain/(Loss) for the year	187,120	185,659
Less: Deductions during the year	-	55,831
Depreciation to date	3,050,581	2,863,461
Net Block	8,162,284	8,332,435



(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
B. Other Fixed Assets (Including Furniture and Fixtures)		
Gross Block		
At cost on 31 st March of the preceding year	62,883,120	52,689,152
Add: Additions/Exchange Gain/(Loss) during the year	10,959,572	12,220,026
Less: Deductions during the year*	3,780,160	2,026,058
Total	70,062,532	62,883,120
Depreciation		
As at 31 st March of the preceding year	43,107,552	35,657,137
Add: Charge/Exchange Gain/(Loss) for the year	10,137,796	9,223,433
Less: Deductions during the year*	3,548,578	1,773,018
Depreciation to date	49,696,770	43,107,552
Net Block (Refer Note 21 – Schedule 17)	20,365,762	19,775,568
Total (A) + (B)	28,528,046	28,108,003

*As at 31st March, 2025 includes cost and accumulated depreciation pertaining to Kotak General Insurance Limited (Refer Note 25–Schedule 17).

SCHEDULE 11 - OTHER ASSETS

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. Interest accrued	77,604,003	74,340,439
II. Advance tax (net of provision for tax)	775,191	1,725,456
III. Stationery and stamps	252,028	195,250
VI. Derivative Asset	190,393,492	76,006,915
VII. Others* (Refer Note 3, 20 and 23 (b) - Schedule 17)	141,579,695	113,067,015
Total	410,604,409	265,335,075

* Includes Deposits placed with NABARD/ SIDBI ₹1,391.74 crore (Previous year ₹2,050.97 crore)

SCHEDULE 12 - CONTINGENT LIABILITIES

(₹ in thousands)

	As at 31 st March, 2026	As at 31 st March, 2025
I. Claims not acknowledged as debts	10,809,766	10,322,462
II. Liability on account of outstanding forward exchange contracts	6,679,862,874	8,741,277,097
III. Guarantees on behalf of constituents		
i) In India	582,474,879	397,106,608
ii) Outside India	384,137	6,992,012
IV. Acceptances, Endorsements and Other Obligations	284,606,938	210,469,144
V. Other items for which the Group is contingently liable:		
i) Liability in respect of interest rate, currency swaps and forward rate agreements	2,104,903,115	1,713,944,165
ii) Liability in respect of other derivative contracts	150,779,580	104,473,027
iii) Capital commitments not provided	39,972,510	40,401,117
iv) Bills Rediscounted	31,470,333	27,601,500
v) Underwriting Commitments	6,608,100	13,580,300
vi) Unclaimed Customer balances transferred to RBI DEAF Scheme	6,041,949	5,425,139
Total	9,897,914,181	11,271,592,571

Schedules

forming part of Consolidated Profit and Loss Account for the year ended 31st March, 2026

SCHEDULE 13 - INTEREST EARNED

(₹ in thousands)

	For the year ended 31 st March, 2026	For the year ended 31 st March, 2025
I. Interest/discount on advances/bills	503,809,246	473,010,087
II. Income on investments	165,611,530	159,903,168
III. Interest on balances with RBI and other inter-bank funds	21,437,490	18,141,184
IV. Others	6,953,855	5,633,813
Total	697,812,121	656,688,252

SCHEDULE 14 - OTHER INCOME

(₹ in thousands)

	For the year ended 31 st March, 2026	For the year ended 31 st March, 2025
I. Commission, exchange and brokerage	130,428,055	124,632,748
II. Profit on sale of Investments (net) (Refer Note 25 - Schedule 17)	41,437,077	85,564,095
III. Profit/(Loss) on revaluation of investments (net)	(32,206,742)	(1,927,938)
IV. Profit on sale of building and other assets (net)	(17,876)	458,046
V. Profit on exchange on transactions (net) (including derivatives)	26,559,717	15,288,372
VI. Premium on Insurance business	210,331,064	182,208,693
VII. Profit on recoveries of non-performing assets acquired	2,943,958	3,989,614
VIII. Miscellaneous Income (Refer Note 23 (c)-Schedule 17)	2,188,501	2,120,486
Total	381,663,754	412,334,116

SCHEDULE 15 - INTEREST EXPENDED

(₹ in thousands)

	For the year ended 31 st March, 2026	For the year ended 31 st March, 2025
I. Interest on Deposits	235,776,677	224,341,255
II. Interest on RBI/Inter-Bank Borrowings	26,780,123	13,867,355
III. Others (Refer Note 13-Schedule 17)	33,642,988	44,500,517
Total	296,199,788	282,709,127

SCHEDULE 16 - OPERATING EXPENSES

(₹ in thousands)

	For the year ended 31 st March, 2026	For the year ended 31 st March, 2025
I. Payments to and provision for employees (Refer Note 3 and 11-Schedule 17)	129,637,983	119,635,966
II. Rent, taxes and lighting (Refer Note 15-Schedule 17)	12,600,686	12,027,226
III. Printing and Stationery	1,856,649	1,670,948
IV. Advertisement, Publicity and Promotion	12,467,165	12,436,933
V. Depreciation on Group's property	10,319,164	9,409,087
VI. Directors' fees, allowances and expenses	174,101	164,148
VII. Auditors' fees and expenses		
Statutory Audit fees	147,075	134,102
Other Matters	14,037	18,510
VIII. Law Charges	543,181	446,976
IX. Postage, telephones etc.	6,082,617	5,901,514
X. Repairs and maintenance	19,135,807	17,388,481
XI. Insurance	6,482,150	5,600,831
XII. Policyholders' reserve cost	112,195,524	115,600,290
XIII. Claims and benefits paid pertaining to insurance business	88,692,106	84,613,331
XIV. Other Expenditure (Refer Note 23 (d)-Schedule 17)	83,996,715	72,782,249
Total	484,344,960	457,830,592



SCHEDULE 17 – SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. GENERAL:

OVERVIEW

Kotak Mahindra Bank Limited ('the Bank' or 'KMBL'), together with its subsidiaries (collectively, 'the Group') and its associates, is a diversified financial services group providing a wide range of banking and financial services including Consumer Banking, Commercial Banking, Treasury and Corporate Banking, Investment Banking, Stock Broking, Vehicle Finance, Advisory Services, Asset Management, and Life Insurance. The Bank set up and commenced operations in May 2016, at its International Financial Services Centre Banking Unit ('IBU') in Gujarat International Finance Tec ('GIFT') City, Gujarat. The Bank has commenced operations in October 2019 at its first overseas branch at the Dubai International Financial Centre ('DIFC'), Dubai, UAE.

BASIS OF CONSOLIDATION

The consolidated financial statements of the Group are prepared in accordance with Accounting Standard 21 (AS-21), "Consolidated Financial Statements". Investment in Associates are accounted by the Group under the equity method in accordance with Accounting Standard 23 (AS-23), "Accounting for Investments in Associates in Consolidated Financial Statements" specified under Section 133 and the relevant provisions of the Companies Act, 2013 read with the Companies (Accounting Standards) Rules, 2021 in so far as they apply to the Group as amended from time to time.

The Bank consolidates entities in which it holds, directly or indirectly through subsidiaries, more than 50% of the voting rights or where it exercises control, on a line by line basis by adding together like items of assets, liabilities, income and expenses in accordance with AS-21. The Goodwill or Capital Reserve on consolidation represents the difference between the Group's share in the net worth of the subsidiary and the cost of acquisition at the time of making investment in the subsidiary. Intragroup balances, intragroup transactions and resulting unrealised profits, if any, are eliminated in full. Unrealised losses resulting from intragroup transactions are also eliminated unless cost cannot be recovered. Goodwill on consolidation is not amortised. Assessment is done at each balance sheet date as to whether there is any indication that goodwill may be impaired.

Minority interest representing the part of net results of operations and of the net assets of subsidiary attributable to interests not owned directly or indirectly through subsidiaries is presented separately from liabilities and the equity. Further, the Group accounts for investments in entities where it holds 20% to 50% of the voting rights or exercises significant influence by the equity method of accounting in accordance with AS-23. The financial statements of the subsidiaries and associates used in consolidation are drawn up to the same reporting date as that of the holding Company i.e. 31st March, 2026. The Bank does not consolidate entities where the significant influence/control is intended to be temporary or entities which operate under severe long-term restrictions that impair their ability to transfer funds to parent/investing entity or where the objective of control is not to obtain economic benefit from their activities.

a. The list of subsidiaries is as under:

Name of the Subsidiary	Country of Origin	% Shareholding of Group (31 st March, 2026)	% Shareholding of Group (31 st March, 2025)
Kotak Mahindra Prime Limited	India	100.00	100.00
Kotak Securities Limited	India	100.00	100.00
Kotak Mahindra Capital Company Limited	India	100.00	100.00
Kotak Mahindra Life Insurance Company Limited	India	100.00	100.00
Kotak Mahindra Investments Limited	India	100.00	100.00
Kotak Mahindra Asset Management Company Limited	India	100.00	100.00
Kotak Mahindra Trustee Company Limited	India	100.00	100.00
Kotak Mahindra (International) Limited	Mauritius	100.00	100.00
Kotak Mahindra (UK) Limited	UK	100.00	100.00
Kotak Mahindra, Inc.	USA	100.00	100.00
Kotak Alternate Asset Managers Limited (formerly known as Kotak Investment Advisors Limited)	India	100.00	100.00
Kotak Mahindra Trusteeship Services Limited	India	100.00	100.00
Kotak Infrastructure Debt Fund Limited	India	100.00	100.00
Kotak Mahindra Pension Fund Limited	India	100.00	100.00

Name of the Subsidiary	Country of Origin	% Shareholding of Group (31 st March, 2026)	% Shareholding of Group (31 st March, 2025)
Kotak Mahindra Financial Services Limited	UAE	100.00	100.00
Kotak Mahindra Asset Management (Singapore) PTE. Limited	Singapore	100.00	100.00
IVY Product Intermediaries Limited	India	100.00	100.00
BSS Sonata Microcredit Limited (Formerly known as BSS Microfinance Limited) (*)	India	100.00	100.00
Sonata Finance Private Limited (*)	India	-	100.00

(*) The National Company Law Tribunal (NCLT) has approved the Scheme of Amalgamation ("Scheme") of Sonata Finance Private Limited ("Sonata") with BSS Microfinance Limited ("BSS"), both, wholly-owned subsidiaries of the Bank, on a going concern basis, under the provisions of Sections 230 to 232 of the Companies Act, 2013 and the rules made thereunder. The scheme has been made effective on and from 11th October, 2025 with appointed date of 1st April, 2025. Consequently, Sonata has merged with BSS with effect from 11th October, 2025. Pursuant to the implementation of the Scheme, the name of BSS Microfinance Limited has been changed to BSS Sonata Microcredit Limited as approved by the Registrar of Companies, and the amalgamated entity operates under the new name with effect from 21st November, 2025. The resultant merger has no impact on the consolidated financial statements of the Bank, as both the entities were wholly-owned subsidiaries of the Bank.

Kotak Karma Foundation ("the Foundation") incorporated under Section 8 of the Companies Act, 2013, is a wholly owned subsidiary of the Bank for setting up a Centre of Excellence (CoE) for furtherance of part of its Corporate Social Responsibility (CSR) Initiatives. Being a Section 8 Company and as per terms of articles, the Foundation operates with restrictions to transfer funds to the Bank, hence in accordance with the requirements of Accounting Standard 21 on "Consolidated Financial Statements", the Company is excluded from consolidation.

- b. As per AS-23, the Consolidated Financial Statements incorporate the audited results of the following associates except as indicated.**

Name of the Associate	Country of Origin	% Shareholding of Group (31 st March, 2026)	% Shareholding of Group (31 st March, 2025)
Infina Finance Private Limited (till 23 rd March, 2026) (Refer Note 25 of Schedule 17)	India	19.00	49.99
Phoenix ARC Limited (Formerly Phoenix ARC Private Limited)	India	49.90	49.90
Zurich Kotak General Insurance Company (India) Limited (formerly Kotak Mahindra General Insurance Company Limited) (w.e.f. 18 th June, 2024) (Refer Note 25 of Schedule 17)	India	30.00	30.00

2. ACCOUNTING METHODOLOGY AND SIGNIFICANT ACCOUNTING POLICIES:

A. ACCOUNTING METHODOLOGY

The Consolidated Financial Statements have been prepared on historical cost basis of accounting. The Group adopts the accrual method of accounting and historical cost convention unless stated otherwise. The Group has prepared these consolidated financial statements to comply in all material respects with the Accounting Standards notified under Section 133 and the relevant provisions of the Companies Act, 2013 read with the Companies (Accounting Standards) Rules, 2021 in so far as they apply to the Group and the guidelines issued by the Reserve Bank of India (RBI), Insurance Regulatory and Development Authority of India (IRDAI) from time to time as applicable and the generally accepted accounting principles prevailing in India.

The financial statements of Indian subsidiaries (excluding insurance companies) and associates (excluding insurance companies) are prepared as per Indian Accounting Standards in accordance with the Companies (Indian Accounting Standards) Rules, 2015. The financial statements of subsidiaries located outside India are prepared in accordance with accounting principles generally accepted in their respective countries. However, for the purpose of preparation of the consolidated financial results, the results of subsidiaries and associates are prepared in accordance with Generally Accepted Accounting Principles in India ('GAAP') specified under Section 133 and relevant provision of Companies Act, 2013 read with Companies Accounting Standard Rules, 2021 and the guidelines,



circulars and directions issued by the RBI to the extent applicable. In case the accounting policies followed by consolidating entities are different from those followed by Bank, the same have been disclosed separately.

B. USE OF ESTIMATES

The preparation of financial statements requires the management to make estimates and assumptions in the reported amounts of assets and liabilities (including contingent liabilities) as at the date of the financial statements and the reported income and expenses during the reporting period. Management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Actual results could differ from these estimates. Any revision in the accounting estimates is recognised prospectively in the current and future periods.

C. REVENUE RECOGNITION

a. Lending/Investing:

- i. Interest income is recognised on accrual basis.
- ii. Interest income on investments in Pass-Through-Certificates (PTCs) and loans bought out through the direct assignment route is recognised at their effective interest rate.
- iii. Service charges, fees and commission income are recognised when due, where the Group is reasonably certain of ultimate collection. The guarantee commission and letter of credit commission are recognised over the period of the guarantee and letter of credit respectively. Syndication/arranger fee is recognised as income as per the terms of engagement.
- iv. Bank recognizes interest income on Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits over tenure of the instrument on a straight line basis and subsidiaries recognize on constant periodic rate of return. Interest income on other discounted instruments is recognised over the tenure of the instruments so as to provide a constant periodic rate of return.
- v. Upon an asset becoming non-performing assets (NPAs) the income accrued gets reversed, and is recognised only on realisation, as per the RBI guidelines. Penal interest/charges is recognised as income on realisation other than on running accounts where it is recognised to the extent of limits available in the account.
- vi. Gain on account of securitisation of assets is amortised over the life of the securities issued in accordance with the guidelines issued by the RBI. Loss on account of securitisation of assets is recognised immediately in profit and loss account.
- vii. Gain on account of assignment of assets on bilateral basis is recognised based on the difference between the book value of the assigned assets and sale consideration received.
- viii. Dividend income is accounted on an accrual basis when the right to receive the dividend is established.
- ix. In respect of non-performing assets acquired from other Banks/FIs and NBFCs, collections in excess of the consideration paid at each asset level or portfolio level is treated as income in accordance with the RBI guidelines and clarifications.
- x. Fees received on sale of Priority Sector Lending Certificates is amortised over the period of the certificate and considered as Miscellaneous Income, while fees paid for purchase is also amortised over the period of the certificate and is recognised as expense under other expenses in accordance with the guidelines issued by the RBI.

b. Investment Banking:

- i. Issue management fees and placement fees, underwriting commission, referral fees and financial advisory fees are accounted on completion of milestones specified in the contract.

c. Life Insurance:

- i. Premium including rider (net of GST) is recognised as income when it is due from policyholders except on unit linked policies, where the premium is recognised when associated units are created.
- ii. In accordance with the terms of insurance policies, uncollected premium on lapsed policies is not recognised as income until revived.
- iii. Top Up/Lump sum contributions are accounted as a part of the single premium.

- iv. Income from unit linked policies, which include fund management fees, policy administration charges, mortality charges and other charges, if any, are recovered from the linked fund in accordance with the terms and conditions of the insurance contracts and is accounted for as income when due.
- v. Reinsurance premium ceded is accounted on due basis at the time when related premium income is accounted in accordance with the terms and conditions of the relevant treaties with the reinsurer. Profit commission on reinsurance ceded is accounted as income in the year of final determination of profit. Profit commission on reinsurance ceded is netted off against premium ceded on reinsurance.
- vi. Interest on policy reinstatement is accounted for on receipt basis.

d. General Insurance:

- i. Interest income is recognised on accrual basis. Accretion of discount and amortisation of premium relating to debt securities is recognised over the maturity period of such securities on a constant yield.
- ii. Premium net of indirect tax (including reinsurance accepted) is recognised on commencement of the risk. In case of policies where payments are received in installment, the revenue is recognised at the time of receipt of installment. Premium earnings are recognised over the period of the policy or period of risk. Any revisions in premium amount are recognised in the year in which they occur and over the remaining period of the policy. Any subsequent cancellations of policies are recognised in the period in which they occur.
- iii. Commission on reinsurance ceded is recognised as income on ceding of reinsurance premium. Profit commission under reinsurance treaties, wherever applicable, is recognised in the year of final determination of the profits and as intimated by the reinsurer.
- iv. Proportional Reinsurance premium ceded is accounted on due basis at the time when related premium income is accounted for. Non-proportional reinsurance cost is accounted as per terms of the reinsurance arrangements. Any revisions in reinsurance premium ceded are recognised in the period in which it occur. On cancellation of policies, related reinsurance premium ceded are recognised in the same period in which it occur. Reinsurance inward acceptances are accounted for on the basis of reinsurance slips, accepted from the reinsurer.
- v. In respect of policies booked where risk inception date is subsequent to the balance sheet date, the premium collected is presented in balance sheet as premium received in advance.
- vi. Premium deficiency is recognised when sum of expected claim cost, related expenses and maintenance cost (related to claims handling) exceed related reserve for unexpired risk. It is recognised on an annual basis and at segment level for the insurance company viz., fire, marine and miscellaneous. Premium deficiency reserve is estimated and certified by the appointed actuary.

e. Broking:

- i. Placement and other fee based income are accounted for on the basis of the progress of the assignment.
- ii. Brokerage Income (net of indirect tax):
 - On primary market subscription/mobilisation is accounted on receipt of intimation of allotment.
 - On secondary market transaction is recognised upon completion of brokerage services to customers.
- iii. Depository Fees (net of indirect tax), is recognised on accrual basis and as per terms agreed with the customers. Other charges recovered from secondary broking customers are recognised upon completion of services.
- iv. Securities lending or borrowing fees are recognised on pro-rata basis over the tenure of the contract.

f. Asset Management and Advisory Services:

- i. Investment management fees are recognised on rendering of services and are dependent on the net asset value and expenses as recorded by the schemes of the funds.
- ii. Management fee (net of indirect tax) from venture funds, private equity funds and other similar funds is recognised on accrual basis at the rates specified in the investment management agreement from the date of initial closing of funds under management. Advisory fees (net of indirect tax) is recognised on accrual basis as per the terms of contract.



- iii. Revenue from rendering of investment advisory business is recognised on a straight line basis over the period when services are rendered, which is in accordance with the terms of the mandate letters entered between the company and the high net worth individual client.
- iv. Portfolio advisory service fees are recognised on accrual basis in accordance with the terms of agreement.
- v. Portfolio management service fees are recognised on accrual basis in accordance with the terms of agreement between the Company and the respective clients.
- vi. Income on account of distribution from venture capital funds/alternate investment fund is recognised on the receipt of the distribution letter or when right to receive is established.
- vii. The Group receives fees for providing research to clients and records the income at the time services are provided.

D. FIXED ASSETS (PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS)

Property, Plant and Equipment and Intangible assets have been stated at cost less accumulated depreciation and amortisation and adjusted for impairment, if any. Cost includes cost of purchase inclusive of freight, duties and other incidental expenses and all expenditure like site preparation, installation costs and professional fees incurred on the asset before it is ready to put to use. Subsequent expenditure incurred on assets put to use is capitalised only when it increases the future benefit/functioning capability from/of such assets. Gain or loss arising from the retirement or disposal of a Property, Plant and Equipment and Intangible asset are determined as the difference between the net disposal proceeds and the carrying amount of assets and recognised as income or expense in the profit and loss account. Profit on sale of premises of the Bank, net of taxes and transfer to statutory reserve is appropriated to capital reserve as per the RBI guidelines.

DEPRECIATION/AMORTISATION

Depreciation/amortisation is provided on a pro-rata basis on a straight line method over the estimated useful life of the assets at rates which are equal to or higher than the rates prescribed under Schedule II of the Companies Act, 2013 in order to reflect the actual usage of the assets. The estimated useful lives of assets based on technical evaluation by management are as follows:

Asset Type	Useful life in years
Premises	58
Leasehold land	Over the lease period
Improvement to leasehold premises	Over the period of lease subject to a maximum of 6 years
Office equipments (High capacity chillers, Transformers, UPS, DG set, Fire Suppression, HVAC, PAC & Elevators)	10
Office equipments (other than above)	5
Computers	3
Furniture and Fixtures	6
Motor Vehicles	4
ATMs	5
Software (including development) expenditure	3
Goodwill (Other than on consolidation)	5
Membership Card of the Bombay Stock Exchange Limited	20
Asset Management Rights	5

Used assets purchased are depreciated over the residual useful life from the date of purchase.

Assets costing less than ₹5,000 are fully depreciated in the year of purchase.

E. EMPLOYEE BENEFITS

i. Defined Benefit Plans:

Gratuity:

The Group provides for gratuity covering employees in accordance with the Code on Social Security, 2020, service regulations and service awards as the case may be. The Group's liability is actuarially determined using projected unit credit method at the balance sheet date. The Bank and seven of its subsidiaries make contributions to a gratuity fund administered by trustees and managed by Life Insurance companies. In other subsidiaries gratuity obligation is wholly unfunded. The contribution made to the trusts is recognised as planned assets.

Pension:

In respect of pension payable to certain employees of erstwhile ING Vysya Bank Limited (eIVBL) under Indian Banks' Association (IBA) structure, the Bank contributes 10% of basic salary to a pension fund and the difference between the contribution and the amount actuarially determined by an independent actuary is trued up based on actuarial valuation conducted as at the balance sheet date. The pension fund is managed by a Life Insurance company. The present value of the Bank's defined pension obligation is determined using the projected unit credit method as at the balance sheet date.

Employees covered by the pension plan are not eligible for employer's contribution under the provident fund plan.

The contribution made to the pension fund is recognised as planned assets.

The defined benefit obligation recognised in the balance sheet represents the present value of the defined benefit obligation as reduced by the fair value of the plan assets.

Actuarial gains or losses in respect of all defined benefit plans are recognised immediately in the profit and loss account in the year in which they are incurred.

ii. Defined Contribution Plans:

Provident Fund:

Contribution as required by the statute made to the government provident fund or to a fund set up by the Bank and administered by a board of trustees is debited to the profit and loss account when an employee renders the related service. The Group has no further obligations.

Superannuation Fund:

The Group makes contributions in respect of eligible employees, subject to a maximum of ₹0.01 crore per employee per annum to a fund administered by trustees and managed by Life Insurance companies. The Group recognises such contributions as an expense in the year when an employee renders the related service. The Group has no further obligations.

New Pension Scheme:

The Group contributes up to 10% of eligible employees' salary per annum, to the New Pension Fund administered by a Pension Fund Regulatory and Development Authority (PFRDA) appointed pension fund manager. The Group recognises such contributions as an expense in the year when an employee renders the related service.

DIFC Employee Workplace Savings Scheme (DEWS):

The Bank's branch in DIFC contributes up to 8.33% of eligible branch employees' salary per annum to the DIFC Employee Workplace Savings Scheme (DEWS). The Bank recognises such contributions as an expense in the year when an employee renders the related service. The Bank has no further obligation.

iii. Compensated Absences: Other Long-Term Employee Benefits:

The Group accrues the liability for compensated absences based on the actuarial valuation as at the balance sheet date conducted by an independent actuary, which includes assumptions about demographics, early retirement, salary increases, interest rates and leave utilisation. The net present value of the Group's obligation is determined using the projected unit credit method as at the balance sheet date. Actuarial gains or losses are recognised in the profit and loss account in the year in which they arise.

iv. Other Employee Benefits:

As per the Group policy, employees are eligible for an award after completion of a specified number of years of service with the Group. The obligation is measured at the balance sheet date on the basis of an actuarial valuation using the projected unit credit method.

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees is recognised during the period when the employee renders the service. These benefits include performance incentives.



F. INVESTMENTS

For the Bank & Subsidiaries (excluding insurance subsidiary) ("the Group"):

1. Classification:

In accordance with Reserve Bank of India (Commercial Banks–Classification, Valuation and Operation of Investment Portfolio) Directions, 2025 issued on 28th November, 2025, the Group classifies its entire investment portfolio (except investments in its own subsidiaries and associates) under three categories, viz., Held to Maturity ('HTM'), Available for Sale ('AFS') and Fair Value through Profit and Loss ('FVTPL'). Held for Trading ('HFT') is a separate investment sub-category within FVTPL.

Under each of these categories, investments are further classified under six groups–Government Securities, Other Approved Securities, Shares, Debentures and Bonds, Investments in Subsidiaries and Other Investments for the purposes of disclosure in the Balance Sheet.

The Bank follows 'Settlement Date' accounting for recording purchase and sale transactions in securities, except in the case of equity shares by Bank where 'Trade Date' accounting is followed. The subsidiaries follow 'Trade Date' accounting for recording purchase and sale transactions in securities.

Basis of classification:

The Group classifies its investments as subsequently measured at either HTM, AFS or FVTPL based on the business model for managing the investments and the contractual cash flow characteristics of the investments.

Business model assessment:

The Group makes an assessment of the objective of a business model in which an investment is held such that it best reflects the way the business is managed and is consistent with information provided to management. The information considered includes:

- The objectives for the portfolio, in particular, management's strategy of focusing on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the investments to the duration of the liabilities that are funding those investments or realising cash flows through the sale of the investments;
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Group's stated objective for managing the investments is achieved and how cash flows are realised; and
- The risks that affect the performance of the business model, the investments held within that business model and how those risks are managed.

Assessment whether contractual cashflows are solely payments of Principal and Interest

For the purposes of this assessment, 'principal' is defined as the fair value of the investment on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- Reset terms;
- Contingent events that would change the amount and timing of cash flows;
- Leverage features;
- Prepayment and extension terms;
- Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- Features that modify consideration of the time value of money–e.g. periodical reset of interest rates.

Investments at HTM

An investment is classified at HTM only if both of the following conditions are met:

- It is held with the objective to collect the contractual cash flows; and
- The contractual terms of the investment give rise to cash flows that are Solely Payments of Principal and Interest ('SPPI' criterion) on principal outstanding on the specified dates.

Investments at AFS

An investment is classified at AFS only if both of the following conditions are met:

- It is acquired with an objective that is achieved by both collecting contractual cash flows and selling investment; and
- The contractual terms of the investment meet SPPI criteria.

For equity instruments not held with the objective of trading, the Group has an option on initial recognition to classify such instruments under AFS. The Group makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

Investments at FVTPL

Any investment, which does not meet the criteria for categorisation as at HTM or as AFS, is classified at FVTPL.

Investments at HFT

HFT is a separate investment sub-category within FVTPL consisting of instruments that meet the specifications for HFT instruments or are held with the intention of trading or short-term gains is classified under HFT as set out in the RBI Circular dated 28th November, 2025.

Investments in subsidiaries and associates

All investments in subsidiaries and associates are held in a distinct category for such investments separate from the other investment categories (viz. HTM, AFS and FVTPL)

2. Acquisition Cost:

The cost of investments is determined on "first-in, first-out" ('FIFO') basis by Bank and on "weighted average cost" basis by subsidiaries.

Broken period interest paid to seller is not capitalised but treated as an item of expenditure under Profit and Loss Account in respect of investment in securities by Bank. The transaction costs including brokerage, commission, etc. paid at the time of acquisition of investments is recognised in Profit and Loss Account by Bank. In case of subsidiaries the broken period interest and transaction costs including brokerage, commission etc. paid at the time of acquisition of investments is capitalised.

3. Disposal of Investments:

• *Investments classified as AFS*

- **Debt Instruments:** Upon sale or maturity, the accumulated gain/loss in the AFS Reserve is transferred from the AFS Reserve and recognised in the Profit and Loss Account.
- **Equity Instruments:** Any gain or loss on sale is transferred from AFS Reserve to the Capital Reserve by Group.

• *Investments classified as FVTPL/HFT*

Any gain or loss on sale of investments is recognised in the Profit and Loss Account.

• *Investments in subsidiaries and associates*

Profit or loss on sale of investments is recognised in the Profit and Loss Account and profit, if any, on sale of investments is appropriated to the Capital Reserve Account after adjustments for tax and transfer to Statutory Reserve.

- *Investments classified as HTM* – Profit on sale or redemption of investments is recognised in the profit and loss account and is appropriated to capital reserve after adjustments for tax and transfer to statutory reserve by Bank. Loss on sale or redemption is recognised in the profit and loss account.



4. Short Sale:

The Bank undertakes short sale transactions in central government dated securities in accordance with the RBI guidelines. The short position is categorised under HFT category and netted off from investments in the balance sheet. The short position is marked to market and loss, if any, is charged to the profit and loss account while gain, if any, is ignored. Gain or loss on settlement of the short position is recognised in the profit and loss account.

5. Valuation:

The valuation of investments is performed in accordance with the RBI guidelines as follows:

- a. *Investments classified as HTM* – These are carried at cost and not Marked-to-Market ('MTM') after initial recognition. Any discount or premium on acquisition of debt instruments is amortised over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortised is reflected as a part of interest earned in the Profit and Loss Account.
- b. *Investments classified as AFS* – These are fair valued on a quarterly basis. The valuation gains and losses are aggregated, and the net appreciation or depreciation directly gets credited or debited to AFS reserve (net of effect of applicable taxes). Any discount or premium on acquisition of debt instruments is amortised over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortised is reflected as a part of interest earned in the Profit and Loss Account.
- c. *Investments classified as FVTPL/HFT* – These are fair valued and the net gain or loss arising on such valuation is directly credited/debited to the Profit and Loss Account. Securities that are classified under the HFT sub-category within FVTPL are fair valued on daily basis, whereas other securities in FVTPL are fair valued on a quarterly basis. Any discount or premium on acquisition of debt instruments is amortised over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortised is reflected as a part of interest earned in the Profit and loss Account.
- d. *Investments in subsidiaries and associates* – All investments in subsidiaries and associates are held at acquisition cost. Any discount or premium on the acquisition of debt instruments of subsidiaries and associates are amortised over the remaining life of the instrument using straight-line method ('SLM') by Bank and Effective Interest Rate method ('EIR') by subsidiaries. The discount or premium amortised is reflected as a part of interest earned in the Profit and Loss Account. The Group assesses these investments for impairment and provides for the same, in accordance with RBI Directions.
- e. The fair value of the quoted securities are the prices declared by the Financial Benchmarks India Private Limited. ('FBIL'). For securities whose prices are not published by FBIL, the fair value of the quoted securities is based upon quoted price as available from the trades/quotes on recognised stock exchanges, reporting platforms or trading platforms authorised by RBI or Securities and Exchange Board of India ('SEBI') or prices declared by the Fixed Income Money Market and Derivatives Association of India ('FIMMDA').
- f. Non INR India linked bonds and debentures are valued at prices published by counterparty quotes.
- g. Treasury bills, exchange funded bills, commercial paper and certificate of deposits being discounted instruments, are valued at carrying cost.
- h. Market value of units of mutual funds is based on the latest net asset value declared by the mutual fund.
- i. Market value of investments where current quotations are not available are determined as per the norms prescribed by the RBI as under:
 - In case of unquoted bonds, debentures, Pass Through Certificates (PTCs) and preference shares where interest/dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the Yield to maturity for Government Securities as published by FIMMDA/FBIL and suitably marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each categories and credit ratings along with residual maturity issued by FIMMDA/FBIL is adopted for this purpose.

- Equity shares held by Bank, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the company's latest balance sheet. The date as on which the latest balance sheet is drawn up shall not precede the date of valuation by more than 18 months. In case the latest balance sheet is not available, the shares are valued at ₹1 per investee company. In case of subsidiaries, unlisted equity shares are fair valued using an appropriate valuation technique. Valuation techniques commonly used by market participants are applied.
 - Security receipts are valued as per the NAV obtained from the issuing Asset Reconstruction Company/ Securitisation Company or cost, whichever is lower.
 - Units of Alternate Investment Funds (AIF) are valued at the NAV published by the AIFs. If AIF fails to carry out and disclose valuation of its investments by an independent valuer as per the frequency mandated by the SEBI regulations, the value of units shall be treated as ₹1. If the AIF is not registered under the applicable SEBI regulations and the latest disclosed valuation of its investments by an independent valuer is not available for a period beyond 18 months, the investment shall be valued at ₹1 per unit. Further, the Bank and NBFCs provides for investments in Alternate Investments Funds (AIFs) in linewith RBI directions dated 28th November, 2025.
- j. Non-performing investments (NPIs) are identified and provision is made thereon based on the RBI guidelines. Subsequent, MTM gains on NPIs are ignored. NPIs are segregated from rest of the portfolio and are not considered for netting valuation gains and losses. Interest on non-performing investments is not recognised in the profit and loss account until received. The Bank classifies Security Receipts whose tenure has exceeded 8 years, as NPI.
- k. *Repurchase and reverse repurchase transactions* – Securities sold under agreements to repurchase (Repos) and securities purchased under agreements to resell (Reverse Repos) are accounted as collateralised borrowing and lending transactions respectively. The difference between the consideration amount of the first leg and the second leg of the repo is recognised as interest income or interest expense over the period of the transaction.

Day 1 Gain/Loss on Initial Recognition

All investments are measured at fair value on initial recognition.

Unless facts and circumstances suggest that the fair value is materially different from the acquisition cost, it is presumed that the acquisition cost is the fair value. Situations where the presumption is tested include:

- The transaction is between related parties.
- The transaction is done outside the principal market for that class of securities.
- The transaction is taking place under duress where one party is forced to accept the price in the transaction.

The Bank does not expect day 1 gain/loss in case of investments which are executed through trading platforms like Recognised Stock Exchange or through online investment platforms whereby the prices are determined in an orderly transaction between market participants on the measurement date. Day 1 gain/loss is tested when transactions are conducted outside the principal market or transactions are done with related parties.

Where the securities are quoted or the fair value can be determined based on market observable inputs (such as yield curve, spread, etc.) any day 1 gain/loss is recognised in the Profit and Loss Account.

Any day 1 loss arising from Level 3 investments is recognised immediately in the Profit and Loss Account.

Any day 1 gains arising from Level 3 investments is deferred. In the case of debt instruments, the day 1 gain is amortised on a straight-line basis up to the maturity date, while for unquoted equity instruments, the gain is set aside as a liability until the security is listed or derecognised.



Fair Value Hierarchy:

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants on the measurement date.

The management uses its judgment in selecting an appropriate valuation technique for financial instruments not quoted in an active market. Valuation techniques commonly used by market participants are applied.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible.

Fair values are categorised into different levels (Level 1, Level 2, or Level 3) in a fair value hierarchy based on the inputs used in the valuation techniques. The levels are described as follows:

Level 1: The inputs used for valuation of financial instruments are quoted prices (unadjusted) in active markets for identical instruments that the Group can access at the measurement date.

Level 2: The valuation of financial instruments is based on inputs, other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: The valuation of financial instruments is based on unobservable inputs i.e. not based on observable market data.

Transition Date Accounting on 1st April, 2024

In line with the RBI Circular dated 12th September, 2023, the fair value as on 31st March, 2024 was the revised carrying value of investments. Further, the difference between the fair value as on 31st March, 2024 and previous carrying value has been adjusted in the Revenue/General Reserve except that in case of Equity shares in AFS book, the same is adjusted to the AFS Reserve.

For the Life Insurance Company:

- a. Investments are recorded at cost on trade date which includes brokerage, transfer charges, transaction taxes as applicable, etc. but excludes pre-acquisition interest, if any and indirect tax on brokerage where input tax credit is being claimed.
- b. Bonus entitlements are recognised as investments on the 'ex-bonus date'. Rights entitlements are recognised as investments on the 'ex-rights date'.
- c. Gain/Loss on transfer or sale of securities is the difference between the transfer or sale price and the net amortised cost /carrying value which is computed on a weighted average basis as on the date of transfer or sale. Sale consideration for the purpose of realised gain/loss is net of brokerage and taxes, if any.

Valuation-Shareholders' Investments and Non-Linked Policy-Holders' Investments

- d. All debt securities are classified as "HTM" for the purpose of valuation and are accordingly recorded at historical cost (excluding interest paid, if any). Debt securities including government securities are stated at net amortised cost. Money market instruments are valued at historical cost subject to accretion of discount. The premium or discount, if any, on purchase of debt securities is amortised or accreted over the period to maturity on an internal rate of return basis.
- e. Listed equity shares as at the balance sheet dates are stated at fair value being the quoted closing price on National Stock Exchange Limited (NSE). If an equity share is not listed or traded on NSE, then closing share price on BSE (formerly known as Bombay Stock Exchange) is used. Unlisted shares or shares awaiting listing are stated at historical cost subject to provision for diminution, if any. In case of Infrastructure Investment Trusts (InvIT), where market quote is not available for the last 30 days, the units shall be valued as per the latest NAV (not more than 6 months old) of the units published by the trust. All redeemable unlisted preference shares are classified as held to maturity and stated at historical cost.

In case of diminution in the value of investment as at the balance sheet date which is other than temporary, the amount of such diminution is recognised as an expense in the profit and loss account to the extent of difference between the remeasured fair value of the investment and its acquisition cost as reduced by any previous impairment loss recognised in profit and loss account. Any reversal of impairment loss is recognised in the profit and loss account.

- f. Investments in mutual funds are valued at the latest NAV of the funds in which they are invested. Investments in Alternative Investment Funds are valued at the latest NAV.

The investment in Additional Tier 1 Bonds are valued at an applicable market yield rates provided by Credit Rating Information Services of India Limited (CRISIL) on the basis of CRISIL Bond Valuer.

- g. Unrealised gains due to change in the fair value of the investments is taken to a fair value change account and is adjusted in the carrying value of investment. The unrealised loss due to change in the fair value of investments, other than due to reversal of the gains recognised in fair value change account, is recognised in the profit and loss account. The gain or loss on sale of investments includes the accumulated changes in the fair value change account.
- h. Real estate investment property represents building held for investment purpose to earn rental income or for capital appreciation and is not occupied. Such investment property is initially valued at cost including any direct attributable cost. Investment in the real estate investment property is valued at historical cost plus revaluation, if any. Revaluation of the investment property is done at least once in three years. Any change in the carrying amount of the investment property is accounted to revaluation reserve forming part of "Reserves and Surplus". Impairment loss, if any, exceeding revaluation reserve is recognised as expense in the profit and loss account. Rental income on such investment property is recognised on an accrual basis.

Unlisted units of Real Estate Investment Trusts (REIT) awaiting listing are stated at historical cost subject to provision for diminution, if any. Investment in units of REIT are valued at market value (last quoted price should not be later than 30 days). Where market quote is not available for the last 30 days, the units shall be valued as per the latest NAV (not more than 6 months old) of the units published by the trust.

- i. Certain guaranteed products offered by the Life Insurance subsidiary assure the policy holders a fixed rate of return for premiums to be received in the future and the Life Insurance subsidiary is exposed to interest rate risk on account of re-investment of interest & principal maturities at future date & guarantee risk on premiums from already written policies. The Life Insurance subsidiary is following hedge accounting for all derivative transactions.

For derivatives which are designated as a cash flow hedge in a hedging relationship, hedge effectiveness is ascertained at the time of inception of the hedge and periodically.

- The portion of fair value gain/loss on interest rate derivative that is determined to be an effective hedge is recognised directly in policyholders' funds.
- The ineffective portion of the change in fair value of such instruments is recognised in profit and loss account in the period in which they arise.
- If the hedging relationship ceases to be effective or it becomes probable that the expected forecasted transaction will no longer occur, hedge accounting is discontinued and the cumulative gains or losses that were recognised earlier in balance sheet shall be reclassified to the profit and loss account in the same period or periods during which the hedged forecasted cash flows affect the profit and loss account.

Recognition of Derivatives in Balance Sheet

- Initial Recognition: All derivatives are initially recognised in the Balance sheet at their fair value, which usually represents their cost.
- Subsequent Recognition: All derivatives are subsequently re-measured at their fair value, with change in fair value is recognised as per hedge accounting principles. All derivatives are carried as assets when the fair values are positive and as liabilities when the fair values are negative.



- j. All assets where the interest and/or instalment of principal repayment remain overdue for more than 90 days at the balance sheet date are classified as NPA and provided for in the manner required by the IRDAI regulations in this regard.

Valuation–Unit Linked Business

- k. All Government securities, except treasury bills, held in linked business are valued at prices obtained from CRISIL. Debt securities other than government securities are valued on the basis of CRISIL bond valuer. The discount on purchase of treasury bills, certificate of deposit, commercial papers and triparty repo is accreted over the period to maturity on an internal rate of return basis. Listed shares and Exchange Traded Funds (ETF) are valued at fair value, being the last quoted closing price on the NSE (In case of securities not listed on NSE, the last quoted closing price on the BSE is used). Equity shares awaiting listing are stated at historical cost subject to provision for diminution, if any, in the value of such investments. Such diminution is determined separately for each individual investment. Unrealised gains and losses are recognised in the profit and loss account.
- l. Mutual fund units are valued at the latest NAV of the fund in which they are invested.
- m. All unlisted redeemable preference shares are considered as held to maturity and stated at historical cost.
- n. Transfer of investments (other than debt securities) from Shareholders' fund to the Policyholders' fund is at book value or market price, whichever is lower. Transfer of debt securities from Shareholders' to Policyholders' fund is transacted at the lower of net amortised cost or market value. Transfers of investments between unit-linked funds are done at prevailing market price.

For General Insurance Company:

- a. Investments are recorded at cost and include brokerage, transfer charges, stamps etc., and exclude pre acquisition interest, if any.
- b. Debt securities and non-convertible preference shares are considered as 'HTM' and stated at historical cost adjusted for amortisation of premium or accretion of discount determined on constant yield to maturity basis over the holding/ maturity period.
- c. Mutual fund units are stated at their NAV as at the balance sheet date. Any unrealised gain/loss is accounted for under fair value change account and is included in the carrying value of investment. In case of any net mark to market loss, the additional provision to the extent of the loss in fair value change account on the balance sheet date is recognised in profit and loss account.
- d. Gain/loss on transfer or sale of securities is the difference between the transfer or sale price and the net amortised cost/ carrying value which is computed on a Weighted average cost basis as on the date of transfer or sale. Sale consideration for the purpose of realised gain/loss is net of brokerage and taxes, if any.
- e. The realised gain or loss on mutual funds is the difference between sale consideration and carrying cost as on the date of sale, determined on a weighted average cost basis. Any unrealised gain or loss in respect of mutual funds are recognised in 'fair value change account' in balance sheet and are included in the carrying value of investment.

G. FOREIGN CURRENCY AND DERIVATIVE TRANSACTIONS

For the Bank:

- i. Foreign currency monetary assets and liabilities are translated as at the balance sheet date at rates notified by the Foreign Exchange Dealers' Association of India (FEDAI) and the resultant gain or loss is accounted in the profit and loss account.
- ii. Income and expenditure items are translated at the rates of exchange prevailing on the date of the transaction except for representative office (which are integral in nature) expenses, which are translated at the monthly average rate of exchange.

- iii. Outstanding forward (other than deposit and placement swaps) and spot foreign exchange contracts outstanding at the balance sheet date are revalued at rates notified by FEDAI for specified maturities and at the interpolated rates of interim maturities. In case of forward contracts of greater maturities where exchange rates are not notified by FEDAI are revalued at the forward exchange rates implied by the swap curves in respective currencies. The forward profits or losses on the forward contracts are discounted using discount rates and the resulting profits or losses are recognised in the profit and loss account as per the regulations stipulated by the RBI.
- iv. Foreign exchange swaps “linked” to foreign currency deposits and placements are translated at the prevailing spot rate at the time of swap. The premium or discount on the swap arising out of the difference in the exchange rate of the swap date and the maturity date of the underlying forward contract is amortised over the period of the swap and the same is recognised in the profit and loss account.
- v. Contingent liabilities on account of letters of credit, bank guarantees and acceptances and endorsements outstanding as at the balance sheet date denominated in foreign currencies and other foreign exchange contracts are translated at year-end rates notified by FEDAI.
- vi. The financial statements of IBU and DIFC branch which are in the nature of non-integral overseas operations are translated on the following basis: (a) Income and expenses are converted at the average rate of exchange during the year and (b) All assets and liabilities are translated at closing rate as at Balance sheet date. The exchange difference arising out of year end translation is debited or credited as “Foreign Currency Translation Reserve” forming part of “Reserves and Surplus”.
- vii. Notional amounts of derivative transactions comprising of swaps, futures and options are disclosed as off balance sheet exposures. The Bank recognises all derivative contracts (other than those designated as hedges) at fair value, on the date on which the derivative contracts are entered into and are re-measured at fair value as at the balance sheet date. Derivatives are classified as assets when the fair value is positive (positive marked to market) or as liabilities when the fair value is negative (negative marked to market). Changes in the fair value of derivatives other than those designated as hedges are recognised in the profit and loss account.
- viii. Outstanding derivative transactions designated as “Hedges” are accounted in accordance with hedging instrument on an accrual basis over the life of the underlying instrument. Option premium paid or received is recognised in the profit and loss account on expiry of the option. Option contracts are marked to market on every reporting date.

For Other Entities:

- ix. On initial recognition, all foreign currency transactions are recorded by applying to the foreign currency amount exchange rate between the reporting currency and the foreign currency at the date of the transaction.
- x. Monetary assets and liabilities denominated in foreign currencies are reported using the closing rate of exchange as at the balance sheet date.
- xi. Exchange differences arising on settlement of the transaction and on account of restatement of monetary assets and liabilities are recognised in the profit and loss account. In case of items which are covered by forward exchange contracts entered to hedge the foreign currency risk, the difference between the year-end rate and the rate on the date of the contract is recognised as exchange difference in the profit and loss account and the premium paid or received on forward exchange contracts is amortised as expense or income over the life of the contract. Any profit or loss on cancellation or renewal of such a forward exchange contract is recognised in the profit and loss account.
- xii. The financial statements of all subsidiaries incorporated outside India which are in the nature of non-integral foreign operations are translated on the following basis: (a) Income and expenses are converted at the average rate of exchange applicable for the year and (b) All assets and liabilities are translated at the closing rate as at the balance sheet date. The exchange difference arising out of year end translation is debited or credited as “Foreign Currency Translation Reserve” forming part of “Reserves and Surplus”.

On the disposal/partial disposal of a non-integral foreign operation, the cumulative/proportionate amount of the exchange differences which has been accumulated in the foreign currency translation reserve and which relates to that operation are recognised as income or expenses in the same period in which gain or loss on disposal is recognised.



Currency/Interest Rate Derivatives/Equity Index/Equity Futures, Equity Index/Equity Options, Embedded Derivatives/ Other Derivatives (Not Designated as Hedges):

- xiii. Outstanding derivative contracts, including embedded derivatives, are measured at fair value as at each balance sheet date. Fair value of derivatives is determined using quoted market prices in an actively traded market, for the instrument, wherever available, as the best evidence of fair value. In the absence of quoted market prices in an actively traded market, a valuation technique is used to determine the fair value. In most cases the valuation techniques use observable market data as input parameters in order to ensure reliability of the fair value measure.
- xiv. Initial Margin-Derivative Instrument representing the initial margin paid and/or additional margin paid over and above the initial margin, for entering into contracts for equity index/stock futures and equity index/stock options/other derivatives, which are released on final settlement/squaring-up of the underlying contracts, are disclosed under Other Assets. "Deposit for Marked to Market Margin-Derivative Instrument" representing the deposit paid in respect of marked to market margin is disclosed under other assets.
- xv. On final settlement or squaring up of contracts for equity index/stock futures/other derivatives, the realised profit or loss after adjusting the unrealised loss already accounted, if any, is recognised in the profit and loss account and shown as profit on exchange transactions (net) (including derivatives).
- xvi. On settlement or squaring up of equity index/stock options/other derivatives before expiry, the premium prevailing in option contracts on that date is recognised in the profit and loss account.
- xvii. When more than one contract in respect of the relevant series of equity index/stock futures or equity index/stock options/ other derivatives contract to which the squared-up contract pertains is outstanding at the time of the squaring-up of the contract, the contract price of the contract so squared-up is determined using the weighted average cost method for calculating the profit or loss on squaring-up.

H. ADVANCES

Classification:

- i. Advances are classified as performing and non-performing advances (NPAs) based on the RBI guidelines and are stated net of bills rediscounted, inter-bank participation with risk, specific provisions, interest in suspense and claims received from Export Credit Guarantee Corporation (ECGC) and Emergency Credit Line Guarantee Scheme (ECLGS) with respect to non-performing advances, provisions for funded interest term loan and provisions in lieu of diminution in the fair value of restructured assets. Also, NPAs are classified into sub-standard, doubtful and loss as required by the RBI guidelines. Interest on NPAs remaining uncollected is transferred to an interest suspense account and not recognised in the profit and loss account until received.
- ii. Amounts paid for acquiring non-performing assets from other Banks and NBFCs are considered as advances. Actual collections received on such non-performing assets are compared with the cash flows estimated while purchasing the asset to ascertain over dues. If such over dues are in excess of 90 days, the Group classifies such assets into sub-standard, doubtful or loss as required by the RBI guidelines on purchase of non-performing assets.
- iii. The Bank transfers advances through inter-bank participation with and without risk. In accordance with the RBI guidelines, in the case of participation with risk, the aggregate amount of the participation issued by the Bank is reduced from advances and where the Bank is participating, the aggregate amount of the participation is classified under advances. In the case of participation without risk, the aggregate amount of participation issued by the Bank is classified under borrowings and where the Bank is participating, the aggregate amount of participation is shown under advances.

For Bank and NBFC subsidiaries-Provisioning:

- iv. Provision for non-performing assets comprising sub-standard, doubtful and loss assets is made in accordance with the RBI guidelines. In addition, the Bank and its NBFC subsidiaries consider accelerated specific provisioning that is based on past experience, evaluation of security and other related factors. Specific loan loss provisions in respect of non-performing advances are charged to the profit and loss account. Any recoveries made in case of NPAs written off are recognised in the profit and loss account. The Bank classifies its advances and overdue from crystallised derivatives including those at overseas branches into performing and non performing in accordance with guidelines issued by the RBI.
- v. The Bank and its NBFC subsidiaries consider a restructured account as one where the Bank, for economic or legal reasons relating to the borrower's financial difficulty, grants to the borrower concessions that they would not otherwise consider. Restructuring would normally involve modification of terms of the advance/securities, which would generally include, among others, alteration of repayment period/repayable amount/the amount of installments/rate of interest (due to reasons

other than competitive reasons). Restructured accounts are classified as such only upon approval and implementation of the restructuring package. Necessary provision for diminution in the fair value of a restructured account is made.

In respect of borrowers restructured under the Resolution Framework-1.0 and Resolution Framework 2.0 for COVID-19 related stress, the Bank and its NBFC subsidiaries holds provisions higher than the provisions as required by the RBI guidelines.

In accordance with the RBI guidelines, the Bank and its NBFC subsidiaries create general provision on standard assets including credit exposures computed as per the current marked to market values of interest rate and foreign exchange derivative contracts, and metal gold loans at levels stipulated by the RBI from time to time. The Bank also creates additional standard asset provision for overseas step down subsidiaries of Indian corporates and standard assets provision at higher than the prescribed rates in respect of advances to stressed sectors as per the framework approved by Board of Directors. In case of frauds, the Bank and its NBFC subsidiaries makes provision for amounts it is liable for in accordance with the guidelines issued by the RBI. A general provision on the entire amount outstanding from borrowers who had an overdue on 29th February, 2020 and to whom moratorium was given is made by Bank and its NBFC subsidiaries. Further to provisions required as per the asset classification status, provisions are held by Bank for individual country exposure (except for home country) as per the RBI guidelines. Exposure is classified in the seven risk categories as mentioned in the Export Credit Guarantee Corporation of India Limited (ECGC) guidelines and provisioning is done for that country if the net funded exposure is one percent or more of the Bank's total assets based on the rates laid down by the RBI.

Provisions for Unhedged Foreign Currency Exposure of borrowers are made by the Bank as per the RBI guidelines.

For Other Entities:

- vi. Receivables/Sundry Debtors (included in Schedule 11–Other assets) are stated at original invoice amount less provision for any uncollectible amounts. An estimate for doubtful debts is made when collection of the full amount is no longer probable. Bad debts are written off when there is no possibility of recovery.

I. STRUCTURED LIABILITIES

The Group has issued structured liabilities wherein the return on these liabilities is linked to non-interest benchmarks. Such structured liabilities have an embedded derivative which is the non-interest related return component. The embedded derivative is separated from the host contract and accounted separately {Refer Note 2 (G)(xiii)}.

The resultant debt component of such structured liabilities is recognised in the balance sheet under borrowings and is measured at amortised cost on a yield to maturity basis.

J. LIABILITY FOR POLICIES

- i Provision is made for policy liabilities in respect of all "in force" policies and "lapsed policies" that are likely to be revived in future based on actuarial valuation done by the appointed actuary in accordance with generally accepted actuarial practices, requirements of IRDAI and the Institute of Actuaries of India.
- ii Liabilities in respect of funds arising from discontinued policies are shown as 'Policyholders' Funds'.
- iii Linked liabilities comprise of unit liability representing fund value of policies and are shown as 'Policyholders' Funds'.

K. ACTUARIAL METHOD–LIFE INSURANCE

- i Actuarial method and assumptions: The actuarial liabilities have been calculated by the appointed actuary in accordance with generally accepted actuarial principles, the requirements of the Insurance Act, relevant regulations issued by IRDAI and the Actuarial Practice Standard and Guidance notes of the Institute of Actuaries of India. In respect of unit linked policies, a unit reserve equal to the value of units as at the balance sheet date and an additional non-unit reserve calculated on gross premium prospective valuation method is created. The method adopted for par policies (accumulation contracts) is the value of the accumulated fund and an additional non-unit reserve calculated on gross premium prospective valuation method. In respect of individual conventional business/Group business where premiums are guaranteed for more than one year, gross premium prospective method is used. Additional reserve on lapsed unit-linked policies is created and shown as 'Policyholders' Funds'.
- ii The assumptions used in the gross premium valuation are based on best estimates together with appropriate margins for adverse deviations from experience. The principal assumptions are interest, inflation, return to policyholders' accounts, lapses, expenses, mortality and morbidity.



- iii Reserves for group life one year renewable policies are calculated as the risk premium for the unexpired term with an allowance for expenses and a margin for adverse deviations. The actuarial liability for Group fund based is equal to account value as at valuation date plus a non-unit reserve to provide for expenses and mortality benefits.
- iv Reserve for freeloop cancellation is held to meet any premium refunds from policy freeloop cancellations. The reserve held is equal to assumed probability of freeloop cancellations.
- v The Life Insurance subsidiary reinsures mortality with an optimum level of retention on guaranteed premiums bases, with financially strong reinsurers. They also carry out resilience test on balance sheet and its impact on solvency margin.

L. RESERVE FOR UNEXPIRED RISK-GENERAL INSURANCE

Reserve for unexpired risk is recognised net of reinsurance ceded and represents premium written that is attributable and to be allocated to succeeding accounting periods for risks to be borne by the Group under contractual obligations over a contract period basis or period of risk, whichever is applicable. As per circular vide IRDA/F&A/CIR/CPM/056/03/2016 dated 4th April, 2016 such reserves are calculated on a pro-rata basis under 1/365 basis subject to 100% for marine hull business, on all unexpired policies at balance sheet date.

M. DISCOUNTED INSTRUMENTS

The liability is recognised at face value at the time of issuance of discounted instruments, less unexpired discount. The discount on the issue is amortised over the tenure of the instrument.

N. ACQUISITION COSTS OF INSURANCE CONTRACTS

Acquisition costs such as commission and medical fees are costs that vary with and are primarily related to the acquisition of new and renewal insurance contracts. Such costs are recognised in the year in which they are incurred.

O. SECURITIES LENDING AND BORROWING

The broking subsidiary enters into security lending and borrowing transaction which is accounted as below:

- a. Initial margin and/or additional margin paid over and above the initial margin, for entering into contracts for equity shares which are released on final settlement/squaring-up of the underlying contracts, are disclosed under other assets.
- b. On final settlement or squaring up of contracts for equity shares the realised profit or loss after adjusting the unrealised profit or loss already accounted, if any, is recognised in the profit and loss account.

P. BULLION

The Bank imports bullion including precious metal bars on a consignment basis for selling to its wholesale customers. The difference between the sale price to customers and actual price quoted by supplier is reflected under other income.

The Bank also borrows and lends gold, which is treated as borrowings or lending as the case may be in accordance with the RBI guidelines and the interest paid or received is classified as interest expense or income and is accounted on an accrual basis.

Q. TAXES ON INCOME

The income tax expense comprises current tax and deferred tax. Current tax is measured at the amount expected to be paid in India in respect of taxable income for the year in accordance with the Income Tax Act, 1961 enacted in India. Tax expenses relating to overseas subsidiaries are determined in accordance with the tax laws applicable in countries where such subsidiaries are domiciled.

Deferred tax assets and liabilities are recognised for the future tax consequences of timing differences being the difference between the taxable income and the accounting income that originate in one period and are capable of reversal in one or more subsequent period.

Deferred tax assets on account of timing differences are recognised only to the extent there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised. In case of carry forward losses and unabsorbed depreciation, under tax laws, all the deferred tax assets are recognised only to the extent there is virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax assets can be realised.

Deferred tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted at the balance sheet date. Changes in deferred tax assets/liabilities on account of changes in enacted tax rates are given effect to in the profit and loss account in the period of the change. The carrying amount of deferred tax assets are reviewed at each balance sheet date. The Group writes-down the carrying amount of a deferred tax asset to the extent that it is no longer reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which deferred tax asset can be realised.

Deferred tax assets and deferred tax liabilities are off set when there is legally enforceable right to set-off assets against liabilities representing current tax and where the deferred tax assets and deferred tax liabilities relate to taxes on income levied by the same governing taxation laws. Deferred tax assets and deferred tax liabilities across various entities are not set off against each other as the Group does not have a legal right to do so.

R. SEGMENT REPORTING

In accordance with guidelines issued by the RBI and Accounting Standard 17 (AS-17) on “Segment Reporting”; the Group’s business has been segregated into the following segments whose principal activities are as under:

Segment	Principal activity
Corporate/Wholesale Banking	Wholesale borrowings and lending and other related services to the corporate sector which are not included in Retail Banking.
Retail Banking	Comprises of:
Digital Banking	Business involving digital banking products acquired by Digital Banking Unit including existing digital banking products as identified by the Management in accordance with the instructions of the RBI vide its circular dated 7 th April, 2022.
Other Retail Banking	Includes (other than covered under Digital Banking above):
	1. Lending Commercial vehicle finance, personal loans, home loans, agriculture finance, other loans /services and exposures which fulfil the four criteria for retail exposures laid down in RBI (Commercial Banks-Prudential Norms on Capital Adequacy) Directions, 2025.
	2. Branch Banking Retail borrowings covering savings, current and term deposit accounts and Branch Banking network and services including distribution of financial products.
	3. Credit Cards Receivables/loans relating to credit card business.
Treasury, BMU and Corporate centre	Money market, forex market, derivatives and investments and primary dealership of Government securities and Balance Sheet Management unit (BMU) responsible for Asset Liability Management and Corporate Centre which primarily comprises of support functions.
Vehicle Financing	Retail vehicle finance and wholesale trade finance to auto dealers from its Subsidiary Company.
Other Lending Activities	Securitisation and other loans/services not included under Retail Banking and Corporate/Wholesale Banking from its Subsidiary Companies.
Broking	Brokerage income on market transactions done on behalf of clients, interest on delayed payments, distribution of financial products from its Subsidiary Company.
Advisory and Transactional Services	Providing financial advisory and transactional services such as mergers and acquisition advice, equity/debt issue management services and Business Correspondent services from its Subsidiary Companies.
Asset Management	Management of funds and investments on behalf of clients and investment distribution from its Subsidiary Companies.
Insurance	Life and General Insurance (till 17 th June, 2024) business of its Subsidiary Companies.



A transfer pricing mechanism between segments has been established by Asset Liability Committee (ALCO) for allocation of interest cost to its segments based on borrowing costs, maturity profile of assets/liabilities etc. and which is disclosed as part of segment revenue.

Segment revenues consist of earnings from external customers and inter-segment revenue as stated above. Segment expenses consist of interest expenses including those allocated, operating expenses and provisions.

Segment results are net of segment revenue and segment expenses including interdivisional items.

Segment assets include assets related to segments and exclude tax related assets. Segment liabilities include liabilities related to the segment excluding net worth, minority interest and employees' stock option (grants outstanding).

Since the business operations of the Group are primarily concentrated in India, the Group is considered to operate only in the domestic segment.

S. EMPLOYEE SHARE BASED PAYMENTS

Equity-Settled:

The Equity Option Schemes ('ESOP') provide grant of options & the Performance Linked Restricted Stock Unit Scheme ('PRSU') provide for grant of Restricted Stock Units (units) to the employees of the Group to acquire equity of the Bank. These options/units once granted shall vest as per the vesting schedule and that are to be exercised within a specified period.

RBI, vide its clarification dated 30th August, 2021 on Guidelines on Compensation of Whole Time Directors/Chief Executive Officers/ Material Risk Takers and Control Function Staff, advised Banks that the fair value of share-linked instruments on the date of grant should be recognised as an expense for all instruments granted after the accounting period ending 31st March, 2021.

In accordance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 and the Guidance Note on "Accounting for Employee Share-based payments" issued by The Institute of Chartered Accountants of India, the cost of equity-settled options granted on or before 31st March, 2021 were measured using the intrinsic value method. The intrinsic value was the excess, if any, of the fair market price of the share over the exercise price of the option as per the option plan. The fair market price was the latest available closing price, preceding the date of grant of the option, on the stock exchange on which the shares of the Bank are listed.

In accordance with the RBI guidance, for all options granted after 31st March, 2021 the fair value of the option/units is estimated on the date of grant using Black-Scholes model and is recognised as deferred employee compensation with a credit to Employee's Stock Option (Grant) Outstanding/PRSU Grant Outstanding account respectively.

The deferred employee compensation cost is amortised on a straight-line basis over the vesting period of the option. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the number of equity instruments that are outstanding.

The options/units that do not vest because of failure to satisfy vesting conditions are reversed by a credit to employee compensation expense in "Payment to and provision for employee". In respect of the options which expire unexercised the balance standing to the credit of Employee's Stock Option (Grant) Outstanding account is transferred to General Reserve.

Cash-Settled:

The cost of cash-settled transactions, stock appreciation rights (SARs) having grant date on or before 31st March, 2021 was measured initially using intrinsic value method at the grant date taking into account the terms and conditions upon which the instruments were granted. Similar to Equity settled options, SARs granted after 31st March, 2021 are measured on fair value basis.

The intrinsic/fair value is amortised on a straight-line basis over the vesting period with a recognition of corresponding liability. This liability is remeasured at each balance sheet date up to and including the vesting date with changes in intrinsic/fair value recognised in the profit and loss account in 'Payments to and provision for employees'. The SARs that do not vest because of failure to satisfy vesting conditions are reversed by a credit to employee compensation expense, equal to the amortised cost in respect of the lapsed portion.

T. CLAIMS/BENEFITS

In respect of Life Insurance subsidiary, benefits paid comprise of policy death benefit, maturity, surrenders, survival benefits, discontinuance and other policy related claims and change in the outstanding provision for claims at the year end. Claims by death and surrender are accounted when intimated. Survival benefits are accounted when due. Maturity claims are accounted on the date of maturity. Amounts recoverable from reinsurers are accounted for in the same period as the related claim. Repudiated claims disputed before judicial authorities are provided for, based on the best judgment of the management considering the facts and evidence in respect of each such claim. Withdrawals under unit-linked policies are accounted in respective schemes when the associated units are cancelled. Death claim benefit includes specific claim settlement costs wherever applicable.

In respect of General Insurance entity, claims incurred includes claims paid net of reinsurance recovery and salvage value retained by the insured, change in loss reserve during the period, change in claims incurred but not reported (IBNR) & change in claims incurred but not enough reported (IBNER). Claims incurred also include survey fees, legal fees and other expenses directly attributable to claim cost. Claims are recognised as and when intimation of it is received and provision is determined (net of reinsurance recovery) by the management on the best estimate of claims likely to be paid based on survey reports, based on information received from various sources and from past experience.

Any subsequent information may result in revision of likely amount of final claim payment and accordingly provision for outstanding claims gets restated.

Estimated liability for IBNR and IBNER has been estimated by the appointed actuary in compliance with the relevant regulations and guidelines issued by IRDAI and the same is duly certified by the appointed actuary.

U. LOSS ON SALE OF ADVANCES TO ASSET RECONSTRUCTION COMPANY

Loss on sale of Advances sold to Asset Reconstruction Company is recognised immediately in the profit and loss account.

V. SECURITISATION AND TRANSFER OF LOAN EXPOSURE

The Bank has not entered into any securitisation transactions nor does it have any securitisation receivables during the period covered by the financial statements.

Securitisation transactions shall be accounted for in accordance with the Reserve Bank of India (Commercial Banks–Securitisation Transactions) Directions, 2025 dated 28th November, 2025.

The Bank invests in instruments of other SPVs (PTCs/SRs) which are classified and disclosed under Investments.

In accordance with the RBI guidelines, on transfer of loan exposure, any profit or loss arising post transfer of loans, which is realised, is accounted for and reflected in the Profit and Loss Account for the accounting period during which the transfer is completed. Loans acquired are carried at acquisition cost and the premium paid/discount received is amortised based on straight line method basis repayment received.

W. LEASES

As Lessee:

Leases where all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Operating lease payments are recognised as an expense in the profit and loss account on a straight-line basis over the lease term.

As Lessor:

Leases where the Group has substantially retained all the risks and rewards of ownership are classified as operating leases and included in fixed assets. Lease income is recognised in the profit and loss account on a straight-line basis over the lease term.

Initial direct costs in respect of operating leases such as legal costs, brokerage costs, etc. are recognised as expense immediately in the profit and loss account.

In respect of leases of tangible assets where the Group has substantially transferred all the risks and rewards incidental to legal ownership, such leases are classified as finance leases. Such assets are recognised as a receivable at an amount equal to the net investment in the lease. The lease payment is apportioned between finance income and the repayment of principle i.e. the net investment in the lease.



X. ACCOUNTING FOR PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

The Group has assessed its obligations arising in the normal course of business, including pending litigations, proceedings pending with tax authorities and other contracts including derivative and long term contracts. In accordance with Accounting Standard-29 on 'Provisions, Contingent Liabilities and Contingent Assets', the Group recognises a provision for material foreseeable losses when it has a present obligation as a result of a past event and it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are measured based on best estimate of the expenditure required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

In cases where the available information indicates that the loss on the contingency is reasonably possible but the amount of loss cannot be reasonably estimated, a disclosure to this effect is made as contingent liabilities in the financial statements. The Group does not expect the outcome of these contingencies to have a materially adverse effect on its financial results. Contingent assets are neither recognised nor disclosed in the financial statements.

The Bank estimates the liability for credit card reward points and cost per point using actuarial valuation conducted by an independent actuary, which includes assumptions such as mortality, redemption and spends.

Y. SCHEME EXPENSES

New fund offer expenses and other expenses not chargeable to schemes, in accordance with applicable circulars and guidelines issued by SEBI and Association of Mutual Funds in India (AMFI) are borne by the Asset management company of the Group.

Z. CONTRIBUTION TO POOL-FOR GENERAL INSURANCE ENTITY

TERRORISM RISK INSURANCE POOL

In accordance with the requirements of IRDAI, the General Insurance Entity, together with other insurance companies, participated in the Terrorism Pool. This Pool is managed by General Insurance Corporation of India (GIC). In accordance with the terms of the agreement, GIC retro cedes, to the Group, terrorism premium to the extent of shares agreed to be borne by the Group in the risk which is recorded as reinsurance accepted. Such Insurance accepted is recorded based on quarterly confirmation received from GIC. Reinsurance accepted on account of Terrorism Pool is recorded based on statement received from GIC.

The entire amount of reinsurance accepted for the current year on this account, net of claims and expenses up to the above date, is carried forward to the subsequent accounting period as changes in unearned premium for subsequent risks, if any, to be borne by the Group.

MARINE CARGO FOR EXCLUDED TERRITORIES POOL (MCET POOL)

With the need for covering loss against shipment of fertilizers and other commodities, while under transit in marine cargo against Russia, Ukraine, Belarus (referred as 'excluded territories'), the Company together with other insurance company, participated in Marine Cargo Pool for Excluded Territories (referred as MCET Pool) which is managed by General Insurance Corporation of India (GIC Re). In accordance with the terms of the agreement, the Company accepts retrocession risk as per shares specified in the Schedule of agreement, which is recorded as reinsurance accepted. Such Insurance accepted is recorded based on quarterly confirmation received from GIC Re. Accordingly, reinsurance accepted on account of MCET Pool has been recorded in accordance with the latest statement received from GIC Re.

The entire amount of reinsurance accepted for the current year on this account has been carried forward to the subsequent accounting period as Changes in unearned premium under Insurance Contract Liabilities for subsequent risks, if any, to be borne by the company.

AA. CONTRIBUTION TO SOLATIUM FUND

As per the requirements of IRDAI, the General Insurance Entity provides for contribution to solatium fund at 0.10% on the gross direct premium of motor third party policies.

AB. SHARE ISSUE EXPENSES

Share issue expenses are adjusted from securities premium account as permitted by section 52 of the Companies Act, 2013.

AC. EARNINGS PER SHARE

Basic earnings per share are calculated by dividing the net profit or loss for the year attributable to equity shareholders (after deducting attributable taxes) by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year is adjusted for events of bonus issue and stock split.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares. Diluted earnings per share reflect the potential dilution that could occur if securities or other contracts to issue equity shares were exercised or converted during the year.

AD. IMPAIRMENT

The carrying amount of assets are reviewed at each balance sheet date if there is any indication of impairment based on internal/ external factors. Impairment loss, if any, is recognised in the profit and loss account to the extent carrying amount of assets exceeds their estimated recoverable amount.

AE. CASH AND CASH EQUIVALENTS

Cash and cash equivalents in the balance sheet comprise Cash in hand (including cash with ATM vendors), Balances with Reserve Bank of India and Balances with Banks and Money at Call and Short Notice (including the effect of changes in exchange rates on cash and cash equivalents in foreign currency).

AF. ACCOUNTING FOR DIVIDEND

As per AS 4 (Revised), with effect from April 2016, the Bank is not required to provide for dividend proposed/declared after the Balance Sheet date. The same shall be appropriated from next year amount available for appropriation.

AG. UNCLAIMED AMOUNT OF POLICYHOLDERS

The unclaimed amount of policyholders is governed by the IRDAI Master circular no. IRDA/F&A/CIR/Misc/282/11/2020 dated 17th November, 2020, and Investment Regulations, 2016 read with circular no. IRDA/Life/CIR/Misc/41/02/2024 as amended from time to time. The Company maintains a single segregated fund to manage all unclaimed amounts.

Unclaimed amount of policyholders' liability is determined on the basis of NAV of the units outstanding as at the valuation date.

Income on unclaimed amount of policyholders is accreted to the unclaimed fund and is accounted for on an accrual basis, net of fund management charges.

The amounts remaining unclaimed for a period of 120 months as on 30th September every year, are transferred to the Senior Citizens' Welfare Fund (SCWF) on or before 1st March of that financial year.



NOTES TO ACCOUNTS

3. EMPLOYEE BENEFITS

- a. The Group has recognised the following amounts in the profit and loss account towards contributions to provident fund and other funds.

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2026	31 st March, 2025
Provident Fund	495.84	463.74
Superannuation Fund	1.53	1.49
New Pension Fund	40.28	21.92
DIFC Employee Workplace Savings Scheme (DEWS)	1.07	0.79

b. Gratuity

The gratuity plan provides a lumpsum payment to vested employees at retirement or on termination of employment based on respective employee's salary and years of employment with the Group subject to a maximum of ₹0.20 crore. There is no ceiling on gratuity payable to directors and certain categories of employees subject to service regulations and service awards.

Reconciliation of opening and closing balance of the present value of the defined benefit obligation for gratuity benefits is given below.

(₹ in crore)

Particulars	As at 31 st March, 2026		As at 31 st March, 2025	
	Funded	Unfunded	Funded	Unfunded
Change in benefit obligations				
Liability as at the beginning of the year	869.29	4.89	748.31	13.96
Transfer from Unfunded to Funded	-	-	-	-
Current Service cost	162.44	0.83	135.77	1.52
Interest cost	62.22	0.34	56.73	0.45
Actuarial (gain)/loss on obligations	5.62	0.13	41.89	0.48
Past Service cost	99.96	0.50	-	-
Addition due to acquisition	-	-	-	-
Liabilities assumed on acquisition/(settled on divestiture)	(0.02)	0.01	0.14	(10.71)
Benefits paid	(141.65)	(0.49)	(113.55)	(0.81)
Liability as at the end of the year	1,057.86	6.21	869.29	4.89
Change in plan assets				
Fair value of plan assets as at the beginning of the year	854.89	-	805.83	-
Expected return on plan assets	57.62	-	56.86	-
Actuarial Gain/(loss)	(69.40)	-	21.51	-
Addition due to amalgamation	-	-	-	-
Benefits paid	(141.65)	(0.49)	(113.55)	(0.81)
Employer contributions	305.72	0.49	84.24	0.81
Fair value of plan assets as at the end of the year	1,007.18	-	854.89	-

Reconciliation of Present Value of the Obligation and the Fair Value of the Plan Assets

(₹ in crore)

Particulars	As at 31 st March, 2026		As at 31 st March, 2025	
	Funded	Unfunded	Funded	Unfunded
Fair value of plan assets as at the end of the year	1,007.18	-	854.89	-
Liability as at the end of the year	1,057.86	6.21	869.29	4.89
Net Asset/(Liability) included in "Others" under "Other Assets"/"Other Liabilities"	(50.68)	(6.21)	(14.40)	(4.89)
Expenses recognised for the year				
Current service cost	162.44	0.83	135.77	1.52
Interest cost	62.22	0.34	56.73	0.45

(₹ in crore)

Particulars	As at 31 st March, 2026		As at 31 st March, 2025	
	Funded	Unfunded	Funded	Unfunded
Expected return on plan assets	(57.62)	-	(56.86)	-
Actuarial (gain)/loss	75.02	0.13	20.38	0.48
Past Service Cost	99.96	0.50	-	-
Effect of the limit in Para 59(b)	-	-	-	-
Net gratuity expense recognised in Schedule 16.I	342.02	1.80	156.02	2.45
Actual return on plan assets	(11.77)	-	78.37	-

Reconciliation of the Liability Recognised in the Balance Sheet

(₹ in crore)

Particulars	As at 31 st March, 2026		As at 31 st March, 2025	
	Funded	Unfunded	Funded	Unfunded
Net (Asset)/Liability as at the beginning of the year	14.40	4.89	(57.52)	13.96
Transfer from Unfunded to Funded	-	-	-	-
Expense recognised	342.02	1.80	156.02	2.45
Liabilities assumed on acquisition/(settled on divestiture)	(0.02)	0.01	0.14	(10.71)
Employer contributions	(305.72)	(0.49)	(84.24)	(0.81)
Effect of the limit in Para 59(b)	-	-	-	-
Net (Asset)/Liability included in “Others” under “Other Assets” or “Other Liabilities”	50.68	6.21	14.40	4.89

Investment Details of Plan Assets

The plan assets are invested in insurer managed funds. Major categories of plan assets as a percentage of fair value of total plan assets:

Particulars	As at 31 st March, 2026 %	As at 31 st March, 2025 %
Equity shares	47.90	51.05
Government securities	18.76	23.70
Bonds, debentures and other fixed income instruments	19.98	17.74
LIC managed funds [#]	0.25	2.49
Money market instruments and other assets	13.11	5.02
Total	100.00	100.00

[#] The plan assets are invested in a fund managed by Life Insurance Corporation of India. In the absence of detailed information regarding plan assets of the fund, the composition of each major category of plan assets, the percentage or amount for each category of the fair value of plan assets has not been disclosed.

Actuarial assumptions used

Particulars	As at 31 st March, 2026 %	As at 31 st March, 2025 %
Discount rate	6.15% to 7.20% p.a.	6.37% to 6.62% p.a.
Salary escalation rate	5.50% p.a. - IBA 6.50% to 7.00% p.a. - Others	5.50% p.a. - IBA 7.00% to 9.00% p.a. - Others
Expected rate of return on plan assets	6.15% to 7.50% p.a.	6.37% to 7.50% p.a.

The estimates of future salary increase, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors.

Expected rate of return on plan assets is based on expectation of the average long term rate of return expected on investments of the Fund during the estimated term of the obligations.



Experience Adjustments

Amounts for the current and previous four years are as follows:

(₹ in crore)

Gratuity	Year ended 31 st March,				
	2026	2025	2024	2023	2022
Defined benefit obligation	1,064.07	874.18	762.27	667.77	651.68
Plan assets	1,007.18	854.89	805.83	630.61	704.80
Surplus/(deficit)	(56.89)	(19.29)	43.56	(37.16)	53.12
Experience adjustments on plan liabilities	17.52	21.67	19.61	8.68	28.32
Experience adjustments on plan assets	(69.39)	21.51	77.64	(47.93)	38.56

The Group expects to contribute ₹89.58 crore to gratuity fund in financial year 2026-27.

The above information is as certified by the actuaries of the respective companies and relied upon by the auditors.

c. Pension

Pension liability relates to employees of eIVBL.

Reconciliation of opening and closing balance of the present value of the defined benefit obligation for pension benefits is given below.

(₹ in crore)

Particulars	As at 31 st March, 2026 Funded	As at 31 st March, 2025 Funded
Change in benefit obligations		
Liability as at the beginning of the year	2,266.47	2,111.67
Transfer of Liability	-	-
Current Service cost	57.67	63.81
Interest cost	159.23	148.83
Actuarial (gain)/loss on obligations	30.11	137.74
Past Service cost	-	-
Benefits paid	(103.78)	(195.58)
Liability as at the end of the year	2,409.70	2,266.47
Change in plan assets		
Fair value of plan assets as at the beginning of the year	2,184.45	1,879.31
Expected return on plan assets	152.48	136.87
Actuarial Gain/(loss)	18.61	16.36
Benefits paid	(103.78)	(195.58)
Employer contributions	91.50	347.49
Fair value of plan assets as at the end of the year	2,343.26	2,184.45

Reconciliation of Present Value of the Obligation and the Fair Value of the Plan Assets

(₹ in crore)

Particulars	As at 31 st March, 2026 Funded	As at 31 st March, 2025 Funded
Fair value of plan assets as at the end of the year	2,343.26	2,184.45
Liability as at the end of the year	2,409.70	2,266.47
Net Asset/(Liability) included in "Others" under "Other Assets" or "Other Liabilities"	(66.44)	(82.02)
Expenses recognised for the year		
Current service cost	57.67	63.81
Interest cost	159.23	148.83
Expected return on plan assets	(152.48)	(136.87)

(₹ in crore)

Particulars	As at 31 st March, 2026	As at 31 st March, 2025
	Funded	Funded
Actuarial (gain)/loss	11.50	121.38
Effect of the limit in Para 59(b)	-	-
Net pension expense recognised in Schedule 16.I	75.92	197.15
Actual return on plan assets	171.10	153.23

Reconciliation of the Liability Recognised in the Balance Sheet

(₹ in crore)

Particulars	As at 31 st March, 2026	As at 31 st March, 2025
	Funded	Funded
Net (Asset)/Liability as at the beginning of the year	82.02	232.36
Expense recognised	75.92	197.15
Employer contributions	(91.50)	(347.49)
Effect of the limit in Para 59(b)	-	-
Net (Asset)/Liability included in "Others" under "Other Assets" or "Other Liabilities"	66.44	82.02

Investment Details of Plan Assets

The plan assets are invested in a fund managed by Life Insurance Corporation of India. In the absence of detailed information regarding plan assets of the fund, the composition of each major category of plan assets, the percentage or amount for each category to the fair value of plan assets has not been disclosed.

Actuarial Assumptions Used

Particulars	As at 31 st March, 2026	As at 31 st March, 2025
Discount rate	7.22% p.a.	6.65% p.a.
Salary escalation rate	5.50% p.a.	5.50% p.a.
Expected rate of return on plan assets	7.50% p.a.	7.50% p.a.
Inflation	10.00% p.a.	10.00% p.a.

The estimates of future salary increase, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors like settlement with employee unions.

Expected rate of return on plan assets is based on expectation of the average long term rate of return expected on investments of the Fund during the estimated term of the obligations.

Experience Adjustments

Amounts for the current year and previous years are as follows:

(₹ in crore)

Pension	Year ended 31 st March,				
	2026	2025	2024	2023	2022
Defined benefit obligation	2,409.70	2,266.47	2,111.67	1,912.65	1,909.31
Plan assets	2,343.26	2,184.45	1,879.31	1,873.26	1,953.43
Surplus/(deficit)	(66.44)	(82.02)	(232.36)	(39.39)	44.12
Experience adjustments on plan liabilities	(39.65)	28.75	133.49	140.78	248.33
Experience adjustments on plan assets	18.61	16.36	13.37	11.27	34.13

The Bank expects to contribute ₹220.80 crore to pension fund in financial year 2026-2027.



d. Compensated Absences

The actuarially determined liability for compensated absences (accumulated leave) of the employees of the Group is given below:

(₹ in crore)

Particulars	As at 31 st March, 2026	As at 31 st March, 2025
Total actuarial liability	197.69	200.67
Assumptions:		
Discount rate	6.15% to 7.20%, 4.32% (DIFC) p.a.	6.37% to 6.62%, 4.18% (DIFC) p.a.
Salary escalation rate	5.50% p.a. - IBA 6.50% to 7% p.a. - Others and 3% (DIFC) p.a.	5.50% p.a. - IBA 7.00% to 9% p.a. - Others and 3% (DIFC) p.a.

e. Long Service Award

The actuarially determined liability in respect of Long Service Award of the employees of the Group is given below:

(₹ in crore)

Particulars	As at 31 st March, 2026	As at 31 st March, 2025
Total actuarial liability	19.84	17.09
Assumptions:		
Discount rate	6.60% to 7.05% p.a	6.55% to 6.63% p.a

f. Note on Labour code

The Government of India has consolidated multiple existing labour legislations into a unified framework comprising four Labour Codes collectively referred to as the 'New Labour Codes' on 21st November, 2025. Accordingly, the Group has assessed the impact of these changes and based on certain estimates and actuarial valuation, has recognised an incremental provision ₹128.08 crore under 'Employees cost' in the results during the quarter ended 31st December, 2025, considering information available. This provision for the year ended 31st March, 2026 is ₹125.75 crore. The above impact estimates will be further re-assessed and finalised based on the final rules and industry practices.

4. DEPOSIT UNDER LIEN

Balance with Banks in other deposit accounts include ₹14,360.58 crore (previous year ₹9,445.86 crore) which are under lien.

5. SECURITIES PLEDGED AND ENCUMBERED

- Investments include Government Securities with face value of ₹10,212.05 crore (previous year ₹36,381.85 crore) pledged and encumbered for availment of fund transfer facility, clearing facility, margin requirements and with the RBI for liquidity adjustment facility (LAF).
- Investments pledged with National Securities Clearing Corporation Limited towards exposure in derivatives segment as at 31st March, 2026 ₹473.15 crore (previous year ₹436.92 crore).
- Investments pledged with Clearing Corporation of India Limited and Stock Exchange towards margin requirements as at 31st March, 2026 ₹333.81 crore (previous year ₹323.94 crore).

- "Others" in Other Liabilities and Provisions (Schedule 5) include the following items of provisions in respect of contingencies and other provisions, which have been recognised in the accounts in respect of obligations arising from past event, the settlement of which is expected to result in an outflow embodying economic benefits.

a) Provision for Credit Card and Debit Card Reward Points

The following table sets forth, for the periods indicated, movement in actuarially determined provision for credit card and debit card account reward points:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2026	31 st March, 2025
Opening provision for reward points	135.99	124.12
Provision for reward points made during the year	187.83	267.42
Utilisation/write-back of provision for reward points	(202.90)	(255.55)
Closing provision for reward points*	120.92	135.99

* This amount will be utilised towards redemption of the credit card and debit card accounts reward points.

b) Legal:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2026	31 st March, 2025
Opening Provision	37.85	36.59
Add: Addition during the year	17.79	3.64
Less: Reduction during the year	(15.69)	(2.38)
Closing Provision	39.95	37.85

c) Fraud and Other Provisions:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2026	31 st March, 2025
Opening Provision	35.40	46.96
Add: Addition during the year	160.45	16.36
Less: Reduction during the year	(14.74)	(27.92)
Closing Provision	181.11	35.40

7. A. PROVISIONS AND CONTINGENCIES:

Breakup of "Provisions and Contingencies" shown under the head Expenditure in Profit and Loss Account:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2026	31 st March, 2025
Provision for Taxation (Refer Note 8 below)	6,812.10	7,043.29
Provision for Non-performing Assets (including write-offs and net of recoveries)	3,545.51	3,582.11
Provision for Standard Assets	477.36	160.56
General Provision-COVID-19 Deferment Cases	(64.40)	(52.83)
Provision for Unhedged Foreign Currency Exposure	(12.12)	23.43
Provision for Diminution in value of Investments ⁵	(68.05)	93.65
Other Provision and Contingencies	22.09	52.32
Total	10,712.49	10,902.53

⁵ Includes provision of ₹ (71.66) crore (Previous year ₹46.90 crore) on applicable Alternate Investments Funds (AIF) Investments in accordance with RBI circular dated 19th December, 2023 and 27th March, 2024.

- B.** The Bank and its subsidiaries held an aggregate COVID-19 related provision of ₹210.50 crore as of 31st March, 2025. Based on the improved outlook and on actual collections, the Bank and its subsidiaries have reversed provisions amounting to ₹64.40 crore during the year ended 31st March, 2026 and continue to hold provisions aggregating to ₹146.10 crore as at 31st March, 2026.



8. PROVISION MADE FOR TAXES DURING THE YEAR:

(₹ in crore)

Particulars	Year Ended	
	31 st March, 2026	31 st March, 2025
Current tax	6,992.52	7,296.60
Current tax expense related to Pillar Two income taxes	18.82	-
Deferred tax	(199.24)	(253.31)
Total	6,812.10	7,043.29

For taxes on income (Pillar Two income taxes) arising from tax law (Pillar Two legislation) enacted or substantively enacted to implement the Pillar Two model rules published by the Organisation for Economic Co-operation and Development (OECD), including tax law that implements qualified domestic minimum top-up taxes described in those rules the foreign subsidiaries of the Group have applied for the exception neither to recognise nor to disclose information about deferred tax assets and liabilities related to Pillar Two income taxes as provided in AS-22 as amended by Companies (Accounting Standards) Rules, 2026.

In Singapore and Mauritius jurisdiction, the effective tax rate is below 15 percent which is the minimum rate prescribed under the Pillar Two rules. Accordingly, the Group Companies in Singapore and Mauritius jurisdiction are subject to domestic Top-Up Tax, which is effective from 1st January, 2025 and have recognised a current tax expense of ₹18.82 crore related to the Top-Up Tax.

9. DESCRIPTION OF CONTINGENT LIABILITIES:

Sr. No.	Contingent Liability*	Brief Description
1.	Claims not acknowledged as debts	This includes liability on account of Direct and Indirect tax demands and legal cases filed against the Group. The Group is a party to various legal proceedings in the normal course of business. The Group does not expect the outcome of these proceedings to have a material adverse effect on the Group's financial conditions, result of operations or cash flows. In respect of appeals filed by the Income Tax department with higher authorities, where the matter was settled in favour of the Group at the first appellate stage, and where in view of the Management, it gives rise to an item of timing difference, no contingent liability is envisaged by the Group.
2.	Liability on account of outstanding forward exchange contracts	The Group enters into foreign exchange contracts with inter-bank participants and with its customers. Forward exchange contracts are commitments to buy or sell foreign currency at a future date at the contracted rate.
3.	Guarantees on behalf of constituents in and outside India	Primarily as part of its banking activities, the Group issues guarantees on behalf of its customers. Guarantees generally represent irrevocable assurances that the Group will make payments in the event of customer failing to fulfil its financial or performance obligations.
4.	Acceptances, endorsements and other obligations	Documentary credit such as letters of obligations, enhance the credit standing of the customers of the Group
5.	Other items for which the Group is contingently liable	These include: - Liabilities in respect of interest rate swaps, currency swaps, forward rate agreements, futures, options and other derivative contracts. The Bank enters into these transactions with inter Bank participants and its customers. Currency Swaps are commitments to exchange cash flows by way of interest/ principal in one currency against another, based on predetermined rates. Interest rate swaps are commitments to exchange fixed and floating interest rate cash flows. The notional amounts that are recorded as contingent liabilities are amounts used as a benchmark for the calculation of interest component of the contracts. - Liability in respect of capital commitments relating to fixed assets and undrawn commitments in respect of investments. - Bills re-discounted by the Group and cash collateral provided by the Group on assets which have been securitised. - Underwriting commitments in respect of Debt Syndication - Amount Transferred to RBI under the Depositor Education and Awareness Fund ('DEA Fund').

* Also refer Schedule 12-Contingent Liabilities

10. EARNINGS PER EQUITY SHARE:

Particulars*	Year Ended	
	31 st March, 2026	31 st March, 2025
Reconciliation between weighted shares used in the computation of basic and diluted earnings per share:		
Weighted average number of equity shares used in computation of basic earnings per share	9,943,428,400	9,940,484,350
Effect of potential equity shares for stock options outstanding	1,621,830	208,225
Weighted average number of equity shares used in computation of diluted earnings per share	9,945,050,230	9,940,692,575
Following is the reconciliation between basic and diluted earnings per share:		
Nominal value per share (₹)	1.00	1.00
Basic earnings per share (₹)	19.40	22.26
Effect of potential equity shares for stock options (₹)	0.00	0.00
Diluted earnings per share (₹)	19.39	22.26
Profit for the year after tax (₹ in crore)	19,287.89	22,125.99
Less : Preference dividend including tax (₹ in crore)	-	-
Earnings used in the computation of basic and diluted earnings per share (₹ in crore)	19,287.89	22,125.99

(*) The number of shares have been adjusted for split of the underlying equity shares from ₹5 paid up to ₹1 paid up per share in accordance with Accounting Standard (AS) 20, Earnings Per Share. The effect of the share split has been given effect in computing earnings per share for the previous periods (Refer Note 27).

11. EMPLOYEE SHARE BASED PAYMENTS:

Employee Stock Option Scheme (ESOP)

The shareholders of the Bank passed Special Resolutions on 29th June, 2015 and 22nd December, 2023, respectively, to grant options to the eligible employees of the Bank and its subsidiaries. Pursuant to these resolutions, the Kotak Mahindra Equity Option Scheme 2015 and Kotak Mahindra Equity Option Scheme 2023 have been formulated and adopted, respectively. The Kotak Mahindra Equity Option Scheme 2015 is operational only to the extent of treatment of options granted till 22nd December, 2023 and Kotak Mahindra Equity Option Scheme 2023 is currently in force.

Performance Linked Restricted Stock Units (PRSU)

The shareholders of the Bank passed Special Resolutions on 20th February, 2025, to grant performance linked restricted stock units to the eligible employees of the Bank and its concerned subsidiaries. Pursuant to these resolutions, the Kotak Mahindra Performance Linked Restricted Stock Unit Scheme 2025 has been formulated and adopted and is currently in force.

Equity-Settled Options/Units

The Bank has granted options/units to employees of the Group vide various schemes. During the year ended 31st March, 2026, the following schemes were in operation:

Particulars	ESOP Scheme 2015	ESOP Scheme 2023	PRSU Scheme 2025
Date of grant	Various Dates	Various Dates	Various Dates
Date of Board Approval	Various Dates	Various Dates	Various Dates
Date of Shareholder's approval	29 th June, 2015	22 nd December, 2023	20 th February, 2025
Number of options granted (since inception) (post split)	105,404,815	12,591,585*	3,757,500
Method of Settlement (Cash/Equity)	Equity	Equity	Equity
Vesting Period	0.01 - 4.16 years	1.01 - 4.11 years	1.45 - 4.68 years
Exercise Period	0.03 - 1.00 year	0.50-1.00 year	1 year
Vesting Conditions	Graded/Cliff vesting	Graded/Cliff vesting	Graded/Cliff vesting

*Net off 182,450 options which were unallocated and stood cancelled ab initio.



The details of activity (post split) under ESOP Scheme 2015 have been summarised below:

Particulars	Year ended 31 st March, 2026		Year ended 31 st March, 2025	
	Number of Shares	Weighted Average Exercise Price (₹)	Number of Shares	Weighted Average Exercise Price (₹)
Outstanding at the beginning of the year	7,608,315	373.38	13,498,645	365.11
Granted during the year	-	-	-	-
Forfeited during the year	359,905	374.09	583,405	374.33
Exercised during the year	3,330,660	369.07	1,432,755	304.08
Expired during the year	485,050	376.81	3,874,170	370.41
Outstanding at the end of the year	3,432,700	377.00	7,608,315	373.38
Out of the above exercisable at the end of the year	189,085	369.89	441,035	376.77
Weighted average remaining contractual life (in years)		1.00		1.33

The details of activity (post split) under ESOP scheme 2023 have been summarised below:

Particulars	Year ended 31 st March, 2026		Year ended 31 st March, 2025	
	Number of Shares	Weighted Average Exercise Price (₹)	Number of Shares	Weighted Average Exercise Price (₹)
Outstanding at the beginning of the year	9,288,730	343.69	542,085	364.60
Granted during the year*	2,701,700	414.48	9,347,800	342.83
Forfeited during the year	485,775	346.49	523,435	346.93
Exercised during the year	1,885,925	340.25	77,720	364.60
Expired during the year	46,740	339.40	-	-
Outstanding at the end of the year	9,571,990	364.23	9,288,730	343.69
Out of the above exercisable at the end of the year	358,935	366.02	31,670	364.60
Weighted average remaining contractual life (in years)		2.04		2.31
Weighted average fair value of options granted		94.12		85.18

* Net-off 12,500 (previous year 169,950) options were unallocated and stood cancelled ab initio.

The weighted average share price at the date of exercise for stock options exercised during the year was ₹423.85 (Previous year ₹364.31).

The details of activity (post split) under PRSU Scheme 2025 have been summarised below:

Particulars	Year ended 31 st March, 2026		Year ended 31 st March, 2025	
	Number of Shares	Weighted Average Exercise Price (₹)	Number of Shares	Weighted Average Exercise Price (₹)
Outstanding at the beginning of the year	-	-	-	-
Granted during the year	3,757,500	1.00	-	-
Forfeited during the year	169,150	1.00	-	-
Exercised during the year	-	-	-	-
Expired during the year	-	-	-	-
Outstanding at the end of the year	3,588,350	1.00	-	-
Out of the above exercisable at the end of the year	-	-	-	-
Weighted average remaining contractual life (in years)		3.67		-
Weighted average fair value of options granted		398.00		-

The details of exercise price for stock options (post split) outstanding at the end of the year are:

31st March, 2026

Range of exercise prices (₹)	Number of options outstanding	Weighted average remaining contractual life of options (in years)	Weighted average exercise price (₹)
320-360	7,534,535	1.63	343.65
>360-400	3,090,955	1.44	386.26
>400-440	2,379,200	2.63	419.21

31st March, 2025

Range of exercise prices (₹)	Number of options outstanding	Weighted average remaining contractual life of options (in years)	Weighted average exercise price (₹)
320-360	11,167,850	2.07	344.66
>360-400	5,497,495	1.44	379.21
>400-440	231,700	2.38	428.98

Stock appreciation rights (SARs)

On 29th June, 2015, the shareholders of the Bank had passed Special Resolutions to grant SARs to the eligible employees of the Bank and its subsidiaries. Pursuant to these resolutions, Kotak Mahindra Stock Appreciation Rights Scheme 2015 had been formulated and adopted.

Further, on 17th November, 2023, the Board of Directors of the Bank have formulated and adopted the Kotak Mahindra Stock Appreciation Rights Scheme 2023 effective from 1st December, 2023 in place of Kotak Mahindra Stock Appreciation Rights Scheme 2015. Kotak Mahindra Stock Appreciation Rights Scheme 2015 is operational only to the extent of treatment of SARs granted till 30th November, 2023.

The SARs granted under the Kotak Mahindra Stock Appreciation Rights Scheme 2015 and Kotak Mahindra Stock Appreciation Rights Scheme 2023 are settled in cash and vest on the respective due dates in a graded manner as per the terms and conditions of grant. The contractual life of the SARs outstanding range from 1.01 to 5.10 years.

Detail of activity under SARs (post split) is summarised below:

Particulars	Year Ended 31 st March, 2026	Year Ended 31 st March, 2025
Outstanding at the beginning of the year	20,886,575	15,883,365
Granted during the year*	8,653,120	11,939,850
Settled during the year	6,704,890	5,033,185
Forfeited during the year	2,386,355	1,903,455
Outstanding at the end of the year	20,448,450	20,886,575

* Net-off 26,950 (previous year 80,250) SARs which were unallocated and stood cancelled ab initio.

Fair value of Employee stock options

The fair value of the equity-settled options is estimated on the date of grant using Black-Scholes options pricing model taking into account the terms and conditions upon which the options were granted. The fair value of the cash-settled options is remeasured at each Balance Sheet date. The following table lists the inputs to the model used for equity-settled and cash-settled options:

Particulars	Year ended 31 st March,				
	2026		Cash-settled	2025	
	Equity-settled Options	Units		Equity-settled Options	Cash-settled
Exercise Price ₹	398.96-425.36	1.00	0-387.8	339.31-428.98	0-387.8
Weighted Average Share Price ₹	414.41	400.63	379.60	342.76	358.32



Particulars	Year ended 31 st March,				
	2026			2025	
	Equity-settled		Cash-settled	Equity-settled Options	Cash-settled
	Options	Units			
Expected Volatility	21.12%-24.62%	21.23%-24.49%	19.30%-42.58%	20.62%-30.5%	21.01%-34.86%
Historical Volatility	21.12%-24.62%	21.23%-24.49%	19.30%-42.58%	20.62%-30.5%	21.01%-34.86%
Life of the options granted (Vesting and exercise period)					
- At the grant date	1.51-4.61	1.95-5.18	-	1.26-4.55	-
- As at 31 st March	-	-	0.02-3.50	-	0.01-4.17
Risk-free interest rate	5.74%-6.24%	5.83%-6.57%	5.30%-6.72%	6.54%-7.22%	6.28%-6.62%
Expected dividend rate	0.12%-0.13%	0.12%-0.13%	0.13%-0.14%	0.09%-0.12%	0.09%-0.1%

The expected volatility was determined based on historical volatility data and the Bank expects the volatility of its share price may not differ from historical volatility. The measure of volatility used in the Black-Scholes options pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. For calculating volatility, the daily volatility of the stock prices on the National Stock Exchange, over a period prior to the date of grant for equity settled options and remeasurement date for the cash settled options, corresponding with the expected/residual life of the share-linked instruments has been considered.

The above number of ESOPs/PRSU/SARs, exercise price, fair value and share price have been adjusted for split of the underlying equity shares from ₹5 paid up to ₹1 paid up per share.

Effect of the employee share-based payment plans on the Profit and Loss Account and on the financial position:

(₹ in crore)

Particulars	Year Ended 31 st March,	
	2026	2025
Total Employee compensation cost pertaining to share-based payment plans	324.60	378.23
Compensation cost pertaining to equity-settled employee share-based payment plan included above	66.82	36.69
Liability for employee stock options outstanding as at year end	280.05	170.56
Deferred Compensation Cost	166.92	76.29
Closing balance of liability for cash-settled options	429.08	436.17

12. TIER II BONDS

Lower Tier II Bonds outstanding as at 31st March, 2026 ₹20.00 crore (previous year ₹20.00 crore).

13. Interest Expended–Others (Schedule 15.III) includes interest on subordinated debt (Lower and Upper Tier II) ₹1.67 crore for the year ended 31st March, 2026 (previous year ₹1.67 crore).

14. SEGMENT REPORTING

The summary of the operating segments of the Group are as given below:

(₹ in crore)

31 st March,	2026	2025
Segment Revenues:		
Treasury, BMU and Corporate Centre	13,774.96	16,666.22
Retail Banking*	34,434.33	33,829.72
(i) Digital Banking	2,407.59	2,171.33
(ii) Other Retail Banking	32,026.74	31,658.39
Corporate/Wholesale Banking	26,158.79	24,786.28
Vehicle Financing	4,357.79	4,100.64
Other Lending Activities	2,265.81	2,227.57
Broking	4,716.22	4,369.02
Advisory and Transactional Services	1,109.59	1,682.06

(₹ in crore)

31 st March,	2026	2025
Asset Management	3,358.52	2,893.67
Insurance	26,011.37	25,268.44
Sub-total	116,187.38	115,823.62
Add: Unallocated Income	-	-
Less: Inter-segment revenues	(8,239.79)	(8,921.38)
Total Income	107,947.59	106,902.24
Segment Results:		
Treasury, BMU and Corporate Centre	5,723.27	9,109.53
Retail Banking*	5,653.21	5,858.18
(i) Digital Banking	77.63	284.45
(ii) Other Retail Banking	5,575.58	5,573.73
Corporate/Wholesale Banking	8,269.11	7,890.16
Vehicle Financing	795.91	699.04
Other Lending Activities	651.58	737.75
Broking	1,505.71	1,524.47
Advisory and Transactional Services	241.80	294.98
Asset Management	2,062.46	1,721.47
Insurance	1,089.67	1,153.45
Sub-total	25,992.72	28,989.03
Add: Unallocated Income/(Expense)	-	-
Total Profit before tax, minority interest and associates	25,992.72	28,989.03
Less: Provision for tax	(6,812.10)	(7,043.29)
Net Profit before share of Associates and Minority	19,180.62	21,945.74
Segment Assets:		
Treasury, BMU and Corporate Centre	268,380.43	228,006.78
Retail Banking*	499,201.58	443,829.55
(i) Digital Banking	221.25	52.99
(ii) Other Retail Banking	498,980.33	443,776.56
Corporate/Wholesale Banking	308,807.68	274,494.22
Vehicle Financing	36,883.33	29,848.75
Other Lending Activities	22,665.82	24,726.19
Broking	31,103.15	20,970.01
Advisory and Transactional Services	1,248.85	1,301.64
Asset Management	9,981.69	8,253.15
Insurance	107,554.72	94,811.03
Sub-total	1,285,827.25	1,126,241.32
Less: Inter-segment assets	(283,859.29)	(247,876.32)
Total	1,001,967.96	878,365.00
Add: Unallocated Assets	1,384.83	1,409.34
Total Assets as per Balance Sheet	1,003,352.79	879,774.34
Segment Liabilities:		
Treasury, BMU and Corporate Centre	214,097.89	185,732.26
Retail Banking*	445,584.36	395,970.73
(i) Digital Banking	25,490.96	19,063.17
(ii) Other Retail Banking	420,093.40	376,907.56
Corporate/Wholesale Banking	272,372.91	244,021.51
Vehicle Financing	20,136.51	18,016.04
Other Lending Activities	23,772.07	19,157.39
Broking	26,584.97	16,943.98
Advisory and Transactional Services	318.34	252.40



(₹ in crore)

31 st March,	2026	2025
Asset Management	569.53	716.44
Insurance	99,361.09	87,317.44
Sub-total	1,102,797.67	968,128.19
Less: Inter-segment liabilities	(283,859.29)	(247,876.32)
Total	818,938.38	720,251.87
Add: Unallocated liabilities	3,301.66	2,127.38
Add: Share Capital, Reserves and Surplus and Minority Interest	181,112.75	157,395.09
Total Capital and Liabilities as per Balance Sheet	1,003,352.79	879,774.34
Capital Expenditure:		
Treasury, BMU and Corporate Centre	146.90	228.93
Retail Banking	559.98	641.50
Corporate/Wholesale Banking	113.75	78.06
Vehicle Financing	11.90	13.28
Other Lending Activities	1.99	9.77
Broking	63.15	64.69
Advisory and Transactional Services	8.55	12.54
Asset Management	56.43	35.13
Insurance	135.01	138.10
Total	1,097.66	1,222.00
Depreciation/Amortisation:		
Treasury, BMU and Corporate Centre	179.53	151.93
Retail Banking	560.10	518.39
Corporate/Wholesale Banking	72.29	59.19
Vehicle Financing	11.97	13.10
Other Lending Activities	1.75	3.57
Broking	57.22	65.14
Advisory and Transactional Services	14.20	12.45
Asset Management	26.48	25.53
Insurance	108.38	91.61
Total	1,031.92	940.91

Segment information is provided as per the management information system available for internal reporting purposes, which includes certain estimates and assumptions.

(*) RBI's Master Direction on Financial Statements–Presentation and Disclosures, requires to divide the 'Retail banking' into (a) Digital Banking (as defined in Reserve Bank of India (Commercial Banks- Branch Authorisation Directions, 2025 dated 28th November, 2025) and (b) Other Retail Banking segment.

15. ASSETS TAKEN ON LEASE

- The Group has taken various premises and equipment under operating lease. The lease payments recognised in the Profit and Loss Account are ₹1,032.59 crore (previous year ₹966.07 crore).
- The future minimum lease payments under non-cancelable operating lease not later than one year is ₹852.48 crore (previous year ₹840.51 crore), later than one year but not later than five years is ₹2,486.87 crore (previous year ₹2,429.99 crore) and later than five years ₹1,034.59 crore (previous year ₹988.52 crore).

The lease terms include renewal option after expiry of primary lease period. There are no restrictions imposed by lease arrangements. There are escalation clauses in the lease agreements.

16. ASSETS GIVEN ON LEASE

Details of gross investments, unearned finance income and present value of rentals in respect of assets given under finance lease are as under:

(₹ in crore)

As at 31 st March,	2026	2025
Gross Investments (A):		
(i) Not later than 1 year	99.78	87.99
(ii) Between 1-5 years	171.88	163.22
Total	271.66	251.21
Unearned Finance Income (B):		
(i) Not later than 1 year	24.07	22.36
(ii) Between 1-5 years	24.58	24.26
Total	48.65	46.62
Present Value of Rentals (A-B):		
(i) Not later than 1 year	75.71	65.63
(ii) Between 1-5 years	147.30	138.96
Total	223.01	204.59
Accumulated provision on the Gross Investments	0.11	2.86

17. In accordance with the IRDAI Financial Statements Regulations, the Life Insurance subsidiary revalues its investment property at least once in three years, the market value being the lower of valuations performed by two independent valuers. The real estate investment property is accordingly valued at ₹284.08 crore at 31st March, 2026 (previous year ₹239.16 crore). The historical cost of the property is ₹158.56 crore (previous year ₹158.56 crore). The revaluation gains have been included in policyholders' funds.

The life insurance subsidiary has entered into agreements for leasing out its real estate investment properties. These arrangement are in the nature of operating lease. There are no restrictions imposed by lease arrangement and the rent is not determined based on any contingency. The lease payments recognised in profit and loss account in the current year is ₹12.57 crore (previous year ₹15.24 crore).

18. The Group enters into various types of derivative contracts such as interest rate swaps, cross currency interest rate swaps, foreign currency swaps, forwards, forward rate agreements, index/equity futures and options. The details of such derivatives for subsidiaries (other than bank) are as under:

Derivative Instrument Outstanding as at 31st March, 2026

As at 31 st March,	2026	2025	Purpose
Particulars of Derivatives	Quantity	Quantity	
Futures			
S&P CNX Nifty Futures Short	455	225	Trading
Bank Nifty Futures Short	90	-	Trading
Stock Futures Long	-	-	Trading
Stock Futures Short	16,546,935	29,755,907	Trading
Options			
S&P CNX Nifty Options Long	-	162,600	Trading
S&P CNX Nifty Options Short	-	137,700	Trading
Stock option Long	-	128,400	Trading
Forward Exchange Contracts			
USD-INR Long	-	-	Hedging
USD-INR Short	-	-	Hedging
Forward rate agreement (₹ crore) [#]	9,264.61	10,256.84	Hedging

[#]Total outstanding notional principal amount of forward rate agreement entered by Life insurance subsidiary to hedge Interest rate risk on its liability side


Unhedged Forex Exposure Outstanding as at the Balance Sheet Date

(₹ in crore)

Particulars	As at 31 st March, 2026	As at 31 st March, 2025
Amount Receivable in foreign currency	7.78 (USD 820,175) 1.24 (GBP 98,452) 0.15 (EUR 14,000)	8.66 (USD 1,012,831) 0.32 (GBP 29,919) 0.32 (EUR 35,000)
Amount Payable in foreign currency	3.37 (USD 355,756) 2.84 (SGD 386,595)	2.29 (USD 267,460) 2.29 (SGD 359,569)

19. Additional information to consolidated accounts at 31st March, 2026, (Pursuant to Schedule III of the Companies Act, 2013)

(₹ in crore)

Name of the Entity	Net Assets*				Share in Profit or Loss			
	As at 31 st March, 2026		As at 31 st March, 2025		For the year ended 31 st March, 2026		For the year ended 31 st March, 2025	
	As % of Consolidated Net Assets	Amount	As % of Consolidated Net Assets	Amount	As % of Consolidated Profit or Loss	Amount	As % of Consolidated Profit or Loss	Amount
Kotak Mahindra Bank Limited	74.65%	135,198.59	74.43%	117,145.62	72.62%	14,007.70	74.35%	16,450.08
Indian Subsidiaries:								
Kotak Mahindra Prime Limited	6.16%	11,159.45	6.48%	10,195.53	5.22%	1,007.59	4.59%	1,015.47
Kotak Securities Limited	6.40%	11,596.81	6.36%	10,012.04	8.51%	1,641.90	7.41%	1,640.46
Kotak Mahindra Capital Company Limited	2.05%	3,716.95	1.04%	1,630.20	7.49%	1,444.28	1.63%	360.63
Kotak Mahindra Life Insurance Company Limited	3.72%	6,738.11	4.07%	6,403.07	3.26%	628.46	3.48%	769.47
Kotak Mahindra General Insurance Company Limited (up to 17 th June, 2024)	-	-	-	-	0.00%	-	(0.09%)	(20.56)
Kotak Mahindra Investments Limited	2.35%	4,252.17	2.44%	3,841.65	2.22%	428.48	2.27%	501.25
Kotak Mahindra Asset Management Company Limited	2.06%	3,723.94	1.87%	2,938.71	4.57%	880.59	3.60%	795.71
Kotak Mahindra Trustee Company Limited	0.53%	967.94	0.49%	766.64	1.04%	201.29	0.82%	180.79
Kotak Alternate Asset Managers Limited (formerly known as Kotak Investment Advisors Limited)	0.82%	1,481.96	0.75%	1,187.44	1.52%	292.31	0.63%	139.31
Kotak Mahindra Trusteeship Services Limited	0.03%	49.19	0.03%	40.84	0.04%	8.35	0.03%	5.84
Kotak Infrastructure Debt Fund Limited	0.35%	632.88	0.36%	572.62	0.31%	60.26	0.24%	53.20
Kotak Mahindra Pension Fund Limited	0.03%	57.03	0.04%	59.17	(0.01%)	(2.14)	0.01%	1.93
IVY Product Intermediaries Limited	0.00%	7.26	0.00%	6.93	0.00%	0.32	0.00%	0.25
BSS Sonata Microcredit Limited (Formerly known as BSS Microfinance Limited) (Refer Note 1a)	0.70%	1,265.25	0.59%	936.32	(0.38%)	(73.15)	(0.33%)	(73.67)
Sonata Finance Private Limited (Refer Note 1a)	0.00%	-	0.26%	402.07	0.00%	-	0.06%	12.66

(₹ in crore)

Name of the Entity	Net Assets*				Share in Profit or Loss			
	As at 31 st March, 2026		As at 31 st March, 2025		For the year ended 31 st March, 2026		For the year ended 31 st March, 2025	
	As % of Consolidated Net Assets	Amount	As % of Consolidated Net Assets	Amount	As % of Consolidated Profit or Loss	Amount	As % of Consolidated Profit or Loss	Amount
Foreign Subsidiaries:								
Kotak Mahindra (International) Limited	0.71%	1,283.80	0.71%	1,124.84	0.18%	33.91	0.42%	93.34
Kotak Mahindra (UK) Limited	0.37%	670.28	0.36%	570.03	0.19%	37.06	0.26%	57.84
Kotak Mahindra, Inc.	0.07%	120.00	0.07%	107.44	0.00%	0.74	0.02%	5.32
Kotak Mahindra Financial Services Limited	0.00%	4.36	0.00%	3.53	0.00%	0.41	0.00%	0.40
Kotak Mahindra Asset Management (Singapore) Pte. Limited	0.34%	616.38	0.30%	474.98	0.43%	82.93	0.44%	98.08
Minority Interests in subsidiary		-		-		-		-
Associates:								
Infina Finance Private Limited (up to 23 rd March, 2026)	-	-	-	-	0.55%	106.77	0.42%	93.80
Phoenix ARC Limited (Formerly known as Phoenix ARC Private Limited)	-	-	-	-	0.45%	84.07	0.40%	91.72
Zurich Kotak General Insurance Company (India) Limited (w.e.f 18 th June, 2024)	-	-	-	-	(0.43%)	(83.57)	(0.02%)	(5.27)
Inter-company and Other adjustments	(1.34%)	(2,429.60)	(0.65%)	(1,024.59)	(7.78%)	(1,500.67)	(0.64%)	(142.06)
Total	100.00%	181,112.75	100.00%	157,395.08	100.00%	19,287.89	100.00%	22,125.99

* Total assets minus total liabilities

20. The Group has recorded deferred tax asset which has been included in "Others-Other Assets" (Schedule 11.VI) and net deferred tax liability which has been included in "Others-Other Liabilities" (Schedule 5.VI).

The break-up of deferred tax assets and liabilities into major items is as follows:

(₹ in crore)

Particulars	Year ended 31 st March, 2026	Year ended 31 st March, 2025
Provision for non-performing and doubtful debts, general provisions and contingencies	1,104.55	867.56
Depreciation on assets	125.18	92.63
Unabsorbed business losses/Depreciation	73.37	58.58
Expenditure allowed on payment basis and others	236.50	216.61
Deduction u/s. 36(1)(viii) of the Income Tax Act, 1961	(391.78)	(281.77)
Fair Valuation of Investments	(1,682.74)	(910.74)
Others	(2.45)	(3.13)
Net Deferred Tax Assets/(Liabilities)	(537.37)	39.74



21. FIXED ASSETS

Fixed Assets as per Schedule 10 include intangible assets, details of which are as follows:

(₹ in crore)

Particulars	Year ended 31 st March, 2026	Year ended 31 st March, 2025
PURCHASED SOFTWARE AND SYSTEM DEVELOPMENT EXPENDITURE		
Gross Block		
At cost on 31 st March of the preceding year	1,728.57	1,535.81
Addition/(Reduction) due to Acquisition/stake sale	-	(35.91)
Add: Additions during the year	476.17	242.16
Less: Deductions during the year	(43.66)	(13.49)
Total	2,161.08	1,728.57
Amortisation		
As at 31 st March of the preceding year	1,385.65	1,174.01
Addition/(Reduction) due to Acquisition/stake sale	-	(30.36)
Add: Charge for the year	296.55	255.44
Less: Deductions during the year	(39.70)	(13.44)
Amortisation to date	1,642.50	1,385.65
Net Block	518.58	342.92
MEMBERSHIP CARDS OF STOCK EXCHANGE		
Gross Block		
At cost on 31 st March of the preceding year	4.66	4.66
Add: Additions during the year	-	-
Less: Deductions during the year	-	-
Total	4.66	4.66
Amortisation		
As at 31 st March of the preceding year	4.66	4.66
Add: Charge for the year	-	-
Less: Deductions during the year	-	-
Amortisation to date	4.66	4.66
Net Block	-	-
ASSET MANAGEMENT RIGHTS		
Gross Block		
At cost on 31 st March of the preceding year	15.90	15.90
Add: Additions during the year	-	-
Less: Deductions during the year	-	-
Total	15.90	15.90
Amortisation		
As at 31 st March of the preceding year	15.90	15.90
Add: Charge for the year	-	-
Less: Deductions during the year	-	-
Amortisation to date	15.90	15.90
Net Block	-	-

22. RELATED PARTY DISCLOSURES:

	Nature of relationship	Name of Related Party
A.	Individual having significant influence over the enterprise	Mr. Uday S. Kotak, Promoter along with the persons/entities forming part of the Promoter Group, holds 25.87% of the paid-up share capital of Kotak Mahindra Bank Limited as on 31 st March, 2026.
B.	Other Related Parties	
	Associates/Others	Phoenix ARC Limited (Formerly known as Phoenix ARC Private Limited) Zurich Kotak General Insurance Company (India) Limited (formerly known as Kotak Mahindra General Insurance Company Limited)-(Subsidiary up to 17 th June, 2024, Associate wef 18 th June, 2024) ING Vysya Foundation Kotak Karma Foundation
	Key Management Personnel (KMP)	Mr. Uday S. Kotak - Non Executive Director Mr. Ashok Vaswani - Managing Director & CEO Mr. KVS Manian - Joint Managing Director (up to 30 th April, 2024) Ms. Shanti Ekambaram - Deputy Managing Director (up to 31 st October, 2025) Mr. Jaideep Hansraj - Whole-Time Director (wef 11 th February, 2025) Mr. Paritosh Kashyap - Whole-time Director (wef 1 st September, 2025) Mr. Anup Kumar Saha - Whole-time Director (wef 6 th March, 2026)
	Enterprises over which KMP/ Individual having Significant influence over Bank relatives of such personnel; have control/ significant influence	Aero Agencies Private Limited Kotak and Company Private Limited Komaf Financial Services Private Limited Asian Machinery & Equipment Private Limited. Insurekot Sports Private Limited Kotak Trustee Company Private Limited Cumulus Trading Company Private Limited Palko Properties Private Limited Kotak Chemicals Limited Kotak Ginning & Pressing Industries Private Limited Kotak Commodity Services Private Limited Harisiddha Trading and Finance Private Limited Puma Properties Private Limited Business Standard Private Limited Business Standard Online Private Limited Allied Auto Accessories Private Limited Uday S Kotak HUF Suresh A Kotak HUF KF Trust Kotak Family Foundation Helena Realty Private Limited Doreen Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd August, 2024) Renato Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22 nd August, 2024)



Nature of relationship	Name of Related Party
	Pine Tree Estates Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22nd August, 2024) Meluha Developers Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22nd August, 2024) Quantyco Realty Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22nd August, 2024) Xanadu Properties Private Limited (step-down subsidiaries got amalgamated into Helena Realty Private Limited dated 22nd August, 2024) Laburnum Adarsh Trust Manian Family Trust (up to 30th April, 2024) Kotak Mahindra Group Employee Welfare Trust TML Benefit Trust Amrit Lila Enterprises Private Limited Manians Family Trust II (up to 30th April, 2024) USK Benefit Trust III Kudin Trusteeship Services Private Limited Shanti Family Trust (up to 31st October, 2025) Shivkaran Trust (up to 31st October, 2025) Oneleap Educonnect Private Limited (up to 23rd January, 2026) Niraant Aviation Private Limited (wef 29th June, 2024) Anukriya Foundation (wef 11th February, 2025) USK Capital Partners Amrit Lila (UK) Limited Infina Finance Private Limited (Associate up to 23rd March, 2026)
Relatives of KMP/Individual having Significant influence over the Bank	Ms. Pallavi Kotak Mr. Suresh Kotak Ms. Indira Kotak Mr. Jay Kotak Mr. Dhawal Kotak Ms. Aarti Chandaria Ms. Aditi Arya Ms. Seetha Krishnan (up to 30th April, 2024) Ms. Lalitha Mohan (up to 30th April, 2024) Ms. Shruti Manian (up to 30th April, 2024) Mr. Shashank Manian (up to 30th April, 2024) Mr. Ramesh Krishnan (up to 30th April, 2024) Ms. Vanathi Gopalakrishnan (up to 30th April, 2024) Ms. G. Saraswathi (up to 31st October, 2025) Ms. Shobha Srivastava (up to 31st October, 2025) Ms. Archana Jaideep Hansraj (wef 11th February, 2025) Mr. Rahul Jaideep Hansraj (wef 11th February, 2025) Ms. Sanjana Hansraj (wef 11th February, 2025) Mr. Sanjeev Hansraj (wef 11th February, 2025) Mr. Varun Dinkar Gogri (wef 11th February, 2025)

Nature of relationship	Name of Related Party
	Ms. Veena Vaswani
	Ms. Usha Kashyap (wef 1 st September, 2025)
	Ms. Aditi Kashyap (wef 1 st September, 2025)
	Ms. Vibhuti Kashyap (wef 1 st September, 2025)
	Mr. Ashutosh Kashyap (wef 1 st September, 2025)
	Ms. Sunita Soni (wef 1 st September, 2025)
	Mr. Ronak Saha (wef 6 th March, 2026)

Details of related party transactions as at/for the year ended 31st March, 2026:

(₹ in crore)

Items/Related Party	Associates/ Others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank/relative of such personnel have control/ significant influence	Relatives of KMP/Individual having Significant influence over Bank	Total
I. Liabilities					
Deposits	82.95 (177.33)	30.82 (7.68)	113.98 (221.59)	136.59 (161.07)	364.34 (567.67)
Interest Payable	0.01 (0.04)	0.02 (#)	0.88 (1.68)	0.43 (0.74)	1.34 (2.47)
Other Liabilities	2.46 (2.38)	- (0.15)	0.07 (0.02)	0.01 (-)	2.54 (2.55)
II. Assets					
Advances	# (10.31)	5.39 (5.77)	1.51 (1.35)	1.85 (1.37)	8.75 (18.80)
Investments-Gross	423.99 (425.10)	- (-)	0.04 (#)	- (-)	424.03 (425.10)
Diminution on Investments	- (-)	- (-)	# (#)	- (-)	# (#)
Commission Receivable	17.30 (19.68)	- (-)	- (-)	- (-)	17.30 (19.68)
Other Assets	6.08 (135.72)	0.03 (0.03)	43.70 (3.77)	0.01 (0.02)	49.82 (139.54)
Non Fund/Commitments					
Bank Guarantees	- (-)	- (-)	1.13 (1.13)	- (-)	1.13 (1.13)
III. Expenses					
Salaries (Include ESOP cost)/fees	- (-)	42.03 (22.95)	- (-)	0.65 (0.61)	42.68 (23.56)
Interest Paid	0.13 (1.14)	0.42 (3.73)	5.40 (6.01)	10.82 (12.28)	16.77 (23.16)
Other Expenses	105.99 (6.67)	0.08 (-)	3.87 (2.79)	- (0.01)	109.94 (9.47)
IV. Income					
Interest Income	0.46 (1.89)	0.44 (0.08)	0.01 (0.06)	0.10 (0.03)	1.01 (2.06)
Other Income	147.15 (127.50)	0.65 (0.82)	15.63 (1.41)	-0.03 (0.13)	163.40 (129.86)



(₹ in crore)

Items/Related Party	Associates/ Others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank/relative of such personnel have control/ significant influence	Relatives of KMP/Individual having Significant influence over Bank	Total
V. Other Transactions					
Dividend Paid	-	128.15	0.13	0.83	129.11
	(-)	(102.47)	(0.10)	(0.67)	(103.24)
Reimbursement to companies	-	-	-	-	-
	(0.28)	(-)	(-)	(-)	(0.28)
Reimbursement from companies	0.02	-	(0.01)	-	0.01
	(1.04)	(-)	(-)	(-)	(1.04)
Loan Repaid	10.31	-	-	-	10.31
	(15.00)	(-)	(-)	(-)	(15.00)
Sale of Investments	-	-	375.36	-	375.36
	(-)	(-)	(-)	(-)	(-)
Purchase of Fixed assets	-	-	-	-	-
	(0.25)	(-)	(-)	(-)	(0.25)
Swaps/Forwards/Options Contracts	43.63	3.90	69.69	19.30	136.52
	(0.38)	(3.50)	(26.34)	(23.97)	(54.19)

Material transactions/outstanding with related parties:

(₹ in crore)

Items/Related Party	Associates/ Others	Key Management personnel	Enterprise over which KMP/Individual having Significant influence over the Bank/relative of such personnel have control/ significant influence	Relatives of Key Management Personnel	Total
I. Liabilities:					
Other liabilities					
Zurich Kotak General Insurance Company (India) Limited	2.46	-	-	-	2.46
	(2.33)	(-)	(-)	(-)	(2.33)
Others	#	-	0.07	0.01	0.08
	(0.05)	(0.15)	(0.02)	(-)	(0.22)
II. Assets:					
Investments					
Zurich Kotak General Insurance Company (India) Limited	321.82	-	-	-	321.82
	(321.82)	(-)	(-)	(-)	(321.82)
Phoenix ARC Limited	101.18	-	-	-	101.18
	(101.18)	(-)	(-)	(-)	(101.18)
Others	1.00	-	0.04	-	1.04
	(2.10)	(-)	(#)	(-)	(2.10)

(₹ in crore)

Items/Related Party	Associates/ Others	Key Management personnel	Enterprise over which KMP/Individual having Significant influence over the Bank/relative of such personnel have control/ significant influence	Relatives of Key Management Personnel	Total
Diminution on investments					
Business Standard Private Limited	-	-	#	-	#
	(-)	(-)	(#)	(-)	(#)
Commission Receivable					
Zurich Kotak General Insurance Company (India) Limited	17.30	-	-	-	17.30
	(19.68)	(-)	(-)	(-)	(19.68)
Other Receivable					
Kotak Commodity Services Private Limited	-	-	42.42	-	42.42
	(-)	(-)	(3.76)	(-)	(3.76)
Zurich Kotak General Insurance Company (India) Limited	3.22	-	-	-	3.22
	(134.53)	(-)	(-)	(-)	(134.53)
Others	2.86	0.03	1.28	0.01	4.18
	(1.19)	(0.03)	(0.01)	(0.02)	(1.25)
Non Fund Commitments					
Bank Guarantees					
Aero Agencies Private Limited	-	-	1.00	-	1.00
	(-)	(-)	(1.00)	(-)	(1.00)
KF Trust	-	-	0.13	-	0.13
	(-)	(-)	(0.13)	(-)	(0.13)
III. Expenses:					
Salaries (Includes ESOP cost)					
Mr. Uday Kotak	-	2.07	-	-	2.07
	(-)	(1.57)	(-)	(-)	(1.57)
Mr. Ashok Vaswani	-	19.34	-	-	19.34
	(-)	(14.14)	(-)	(-)	(14.14)
Mr. Jaideep Hansraj	-	8.74	-	-	8.74
	(-)	(0.76)	(-)	(-)	(0.76)
Mr. Paritosh Kashyap	-	3.28	-	-	3.28
	(-)	(-)	(-)	(-)	(-)
Mr. Anup Kumar Saha	-	1.08	-	-	1.08
	(-)	(-)	(-)	(-)	(-)
Ms. Shanti Ekambaram	-	7.51	-	-	7.51
	(-)	(7.01)	(-)	(-)	(7.01)
Others	-	-	-	0.65	0.65
	(-)	(-0.53)	(-)	(0.61)	(0.08)
Other Expenses					
Zurich Kotak General Insurance Company (India) Limited	105.99	-	-	-	105.99
	(6.67)	(-)	(-)	(-)	(6.67)
Aero Agencies Private Limited	-	-	3.78	-	3.78
	(-)	(-)	(2.37)	(-)	(2.37)



(₹ in crore)

Items/Related Party	Associates/ Others	Key Management personnel	Enterprise over which KMP/Individual having Significant influence over the Bank/relative of such personnel have control/ significant influence	Relatives of Key Management Personnel	Total
Others	- (-)	0.08 (-)	0.09 (0.42)	- (0.01)	0.17 (0.43)
IV. Income:					
Other Income					
Zurich Kotak General Insurance Company (India) Limited	146.14 (126.12)	- (-)	- (-)	- (-)	146.14 (126.12)
Others	1.01 (1.38)	0.65 (0.82)	15.63 (1.41)	-0.03 (0.13)	17.26 (3.74)
V. Other Transactions:					
Dividend Paid					
Mr. Uday S. Kotak	- (-)	127.76 (102.20)	- (-)	- (-)	127.76 (102.20)
Others	- (-)	0.40 (0.27)	0.13 (0.10)	0.83 (0.67)	1.36 (1.04)
Reimbursements from companies					
Zurich Kotak General Insurance Company (India) Limited	0.02 (1.03)	- (-)	- (-)	- (-)	0.02 (1.03)
Others	# (0.01)	- (-)	-0.01 (-)	- (-)	-# (0.01)
Reimbursement to companies					
Zurich Kotak General Insurance Company (India) Limited	- (0.28)	- (-)	- (-)	- (-)	- (0.28)
Loan Repaid During the Year					
Phoenix ARC Limited	10.31 (15.00)	- (-)	- (-)	- (-)	10.31 (15.00)
Purchase of Fixed Assets					
Zurich Kotak General Insurance Company (India) Limited	- (0.25)	- (-)	- (-)	- (-)	- (0.25)
Sale of Investments					
KF Trust	- (-)	- (-)	375.36 (-)	- (-)	375.36 (-)
Swaps/Forwards/Options Contracts					
Mr. Dhawal Kotak	- (-)	- (-)	- (-)	14.98 (14.06)	14.98 (14.06)
Ms. Aarti Chandaria	- (-)	- (-)	- (-)	0.27 (6.25)	0.27 (6.25)

(₹ in crore)

Items/Related Party	Associates/ Others	Key Management personnel	Enterprise over which KMP/Individual having Significant influence over the Bank/relative of such personnel have control/ significant influence	Relatives of Key Management Personnel	Total
Insurekot Sports Private Limited	-	-	0.81	-	0.81
	(-)	(-)	(10.64)	(-)	(10.64)
Niraant Aviation Private Limited	-	-	64.23	-	64.23
	(-)	(-)	(11.17)	(-)	(11.17)
Zurich Kotak General Insurance Company (India) Limited	43.63	-	-	-	43.63
	(0.31)	(-)	(-)	(-)	(0.31)
Others	-	3.90	4.65	4.06	12.61
	(0.07)	(3.50)	(4.53)	(3.66)	(11.76)

In the above table denotes amounts less than ₹50,000

Note: Figures of previous year (FY 2024-25) are given in bracket.

Maximum balance outstanding

(₹ in crore)

Items/Related Party	Associates/ Others	KMP/Individual having Significant influence over Bank	Enterprise over which KMP/Individual having Significant influence over the Bank /relative of such personnel have control/ significant influence	Relatives of KMP/Individual having Significant influence over Bank
I. Liabilities				
Deposits [^]	456.57	129.90	804.51	184.54
	(471.12)	(132.36)	(435.00)	(239.28)
Other Liabilities*	2.48	0.15	1.71	0.74
	(3.71)	(0.15)	(1.71)	(0.74)
II. Assets				
Investments-Gross*	425.10	-	#	-
	(425.10)	(-)	(#)	(-)
Advances*	10.31	5.77	1.51	1.85
	(25.31)	(5.77)	(1.35)	(1.37)
Other Assets*	135.72	0.03	43.70	0.02
	(135.72)	(0.03)	(10.49)	(0.03)
Commission Receivable*	19.68	-	-	-
	(19.68)	(-)	(-)	(-)
Non Funded Commitments				
Bank Guarantees*	-	-	1.13	-
	(-)	(-)	(1.13)	(-)

[^]Maximum balance is determined based on comparison of total daily outstanding balances at party level during the financial year.

* Based on maximum of opening and closing balances for the year.

In the above table denotes amounts less than ₹50,000.

Note: Figures of previous year (FY 2024-25) are given in bracket.

Previous year figures are re-grouped re-arranged wherever required.



23. ITEMS EXCEEDING 1% OF TOTAL ASSETS/TOTAL INCOME

- There are no items under Others (including provisions) (Schedule 5–Other Liabilities and Provisions) exceeding 1% of total assets of the Group.
- There are no items under Others (Schedule 11–Other Assets) exceeding 1% of the total assets of the Group.
- There are no items under Miscellaneous Income (Schedule 14–Other Income) exceeding 1% of total income of the Group.
- Details of items under Other expenditure (Schedule 16–Operating Expenses) exceeding 1% of total income of the Group are given below:

(₹ in crore)

Particulars	Year ended 31 st March, 2026	Year ended 31 st March, 2025
Professional Charges	1,345.02	1,161.99
Brokerage	2,314.52	2,108.45

- 24.** The Group, as part of its normal banking business that is conducted ensuring adherence to all regulatory requirements, grants loans and advances, makes investment, provides guarantees to and accept deposits and borrowings from its customers, other entities and persons.

Other than the transactions described above which are carried out in the normal course of business, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or deposits or any other sources or kinds of funds) by the Group to or in any other persons or entities, including foreign entities ("intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Group ("Ultimate Beneficiaries"). The Group has also not received any funds from any parties (Funding Party) with the understanding that the Group shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

- 25.** On 24th March, 2026, Kotak Mahindra Capital Company Limited ("KMCC"), a wholly owned subsidiary of the Bank divested 30.99% out of its total stake of 49.99% in its associate Infina Finance Private Limited ("Infina") for a total consideration of ₹1,293.91 crore. In the consolidated financials a pre tax gain of ₹367.79 crore (net of expenses) is recognised for this divestment after considering the carrying value of this investment till the date of sale. Consequent to this sale, Infina ceases to be an associate company of the Bank with effect from 24th March, 2026.

On 18th June, 2024, the Bank completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹4,095.82 crore resulting in net gain from such sale of ₹3,803.40 crore (pre-tax) considering the carrying value of investment in consolidated financials. Consequent to this sale, KGI ceases to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024. The Bank continues to hold the remaining 30% of the share capital of Zurich Kotak General Insurance Company India Limited (ZKGI) (formerly known as Kotak Mahindra General Insurance Company Limited) as at 31st March, 2026.

- 26.** Pursuant to the provisions of the Reserve Bank of India (Commercial Banks – Undertaking of Financial Services) Directions, 2025 (as updated and amended from time to time) ("RBI Directions") and in the interest of group simplification and to drive operations synergies, the business activities of Kotak Mahindra Investments Limited ("KMIL"), a wholly-owned subsidiary of the Bank, will be conducted departmentally within the Bank on and from 1st April, 2026.

Accordingly, the Board of Directors of KMIL at its meeting held on 24th March, 2026 approved that KMIL shall not sanction any new loans with effect from 1st April, 2026, while continuing to service its existing facilities including honouring its obligations under facility agreements executed on or prior to 31st March, 2026 and to comply with applicable regulatory and disclosure requirements. KMIL, in consultation with the Bank is finalising, a comprehensive roadmap including evaluation of various options to implement the aforesaid decision.

The management has evaluated the impact of the above on the going concern assumption and has concluded that the same does not have any impact on its debt-servicing capacity considering the cash flow forecasts for the next twelve months from the balance sheet date. In view of the above, the preparation of the financial statements on a going concern basis remains appropriate with no impact requiring adjustment in the consolidated financial statements as at the reporting date. The management will continue to review and update its assessment based on the future events.

27. Basis the shareholders approval received on 26th December, 2025, the sub-division (split) of 1 (one) existing equity share having a face value of ₹5/- (Rupees Five only) each, fully paid-up, into 5 (five) equity shares having face value of ₹1/- (Rupee one only) each, fully paid up was effective from 14th January, 2026 (the record date).
28. The Board of Directors of the Bank have a proposed a dividend of ₹0.65 per share having a face value ₹1 for the year ended 31st March, 2026 (Previous Year ₹2.50 per share having a face value of ₹5 per share)). The Bank is obliged to pay dividend to those shareholders whose names are appearing in the register of members as on the book closure date. The dividend will be paid after the approval of the shareholders at the Annual General Meeting.
29. During the quarter ended 30th June, 2024, the Bank implemented the Master Direction – Classification, Valuation and Operation of Investment Portfolio of Commercial Banks (Directions), 2023 dated 12th September, 2023 which was applicable to banks from 1st April, 2024. Consequent to the transitions provisions, the Bank's net worth and investments had increased by ₹2,905.46 crore (post tax) and ₹3,283.11 crore (pre-tax) respectively as on 1st April, 2024 on account of revision in the carrying value to the fair value as on such date.

Further during the quarter ended 31st March, 2025 for purpose of Consolidation, the Group entities (other than the insurance entities which continue to follow the IRDAI guidelines applicable to them), have aligned with the aforesaid RBI Directions. Consequently the Group's net worth and investments had further increased by ₹772.09 crore (post tax) and ₹928.03 crore (pre-tax) respectively on account of revision in the carrying value to the fair value as on 1st April, 2024 on account of transition provisions.

Subsequent changes in fair value of performing investments under Available for Sale ("AFS") and Fair Value Through Profit and Loss ("FVTPL") (including Held For Trading ("HFT")) categories were recognised through AFS reserve and Profit and Loss Account respectively.

30. ADDITIONAL DISCLOSURE

Additional statutory information disclosed in the separate financial statements of the Bank and Subsidiaries having no material bearing on the true and fair view of the consolidated financial statements and the information pertaining to the items which are not material have not been disclosed in the consolidated financial statement.

Figures for the previous year have been regrouped/reclassified wherever necessary to conform to current year's presentation.

As per our report of even date attached.

For and on behalf of the Board of Directors

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration No. 117365W

C S Rajan
Chairman
DIN: 00126063

Ashok Vaswani
Managing Director and
Chief Executive Officer
DIN: 10227550

G. K. Subramaniam
Partner
Membership No.109839

Jaideep Hansraj
Whole-time Director
(Executive Director)
DIN: 02234625

Ashu Suyash
Independent Director
DIN: 00494515

For **M M NISSIM & CO LLP**
Chartered Accountants
Firm Registration No. 107122W/W100672

Sanjay Khemani
Partner
Membership No. 044577

Devang Gheewalla
Group President and
Group Chief Financial Officer
Membership No. 045993

Avan Doomasia
Senior Executive Vice President and
Company Secretary
FCS. No. 3430

Mumbai
2nd May, 2026



FORM AOC - 1

Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules 2014

Statement containing salient features of the financial statement of subsidiaries/associate companies

PART "A" : SUBSIDIARIES

(₹ in crore)

Particulars	Kotak Mahindra Prime Limited	Kotak Mahindra Investments Limited	Kotak Infrastructure Debt Fund Limited	Kotak Securities Limited	Kotak Mahindra Capital Company Limited	Kotak Mahindra Life Insurance Company Limited	Kotak Mahindra Asset Management Company Limited	Kotak Mahindra Trustee Company Limited	Kotak Alternate Asset Managers Limited	Kotak Mahindra Trusteeship Services Limited	Kotak Mahindra (Inter-national) Limited	Kotak Mahindra (UK) Limited	Kotak Mahindra, Inc.	Kotak Mahindra Asset Management (Singapore) Pte. Limited	Kotak Mahindra Financial Services Limited	Kotak Mahindra Pension Fund Limited	BSS Sonata Microcredit Limited (Formerly known as BSS Microfinance Limited) ¹¹	IVY Product Inter-medaries Limited	Kotak Karma Foundation ¹²
Share Capital ¹ Reserves & Surplus Total Assets ³ Total Liabilities Investments (excluding investment in subsidiaries) ² Turnover ³ Profit before taxation Provision for taxation Profit after taxation Proposed Dividend (Equity) % of Shareholdings ⁵	3.50	5.62	310.00	1.60	3.44	510.29	29.80	0.05	8.97	0.09	16.16	7.01	0.14	9.40	8.45	60.00	31.84	2.21	1.00
	11,155.95	4,246.55	322.88	11,595.21	3,713.51	6,227.82	3,694.14	967.89	1,472.99	49.10	1,267.64	663.27	119.86	606.98	(4.09)	(2.97)	1,233.41	5.05	(0.25)
	49,519.66	14,906.45	1,951.19	39,362.79	4,046.40	107,475.22	4,075.88	999.19	2,120.82	53.63	1,317.70	748.98	130.06	666.34	8.22	60.93	1,371.32	7.30	0.76
	38,360.21	10,654.28	1,318.31	27,765.98	329.45	100,737.11	351.94	31.25	638.86	4.44	33.90	78.70	10.06	49.96	3.86	3.90	106.07	0.04	0.01
	2,681.24	3,350.38	616.19	2,274.91	2,553.84	102,933.53	3,856.08	977.83	1,755.13	39.36	1,245.38	568.39	108.65	554.12	-	59.11	97.58	-	-
	5,544.63	1,410.95	170.24	5,537.73	689.19	26,016.71	1,753.07	268.26	854.84	23.11	73.91	189.33	45.43	149.32	6.09	8.79	558.88	0.52	-
	1,342.09	570.64	60.26	2,183.92	1,724.10	1,089.66	1,167.38	262.52	382.17	10.94	52.30	53.35	0.83	96.49	0.41	(1.56)	(88.17)	0.35	(0.04)
	334.50	142.16	-	542.02	279.82	461.20	286.79	61.23	89.86	2.59	18.39	16.29	0.09	13.56	-	0.58	(15.02)	0.03	-
	1,007.59	428.48	60.26	1,641.90	1,444.28	628.46	880.59	201.29	292.31	8.35	33.91	37.06	0.74	82.93	0.41	(2.14)	(73.15)	0.32	(0.04)
	33.20	16.87	-	-	-	273.01	178.80	-	-	-	-	-	-	-	-	-	-	-	-

Note:

- Share Capital includes Preference Share Capital.
- Investments include investments and stock-in-trade reported by the above entities and also include investments held to cover policy holders' liabilities and unit linked liabilities.
- Turnover/Total Assets is the total income/assets as reported by each of the entities in their financial statements prepared for the purpose of consolidation.
- As per Accounting Standard 4 "Contingencies and Events Occurring After the Balance Sheet Date" (AS 4(Revised)), the Company is not required to create provision for dividend declared after the balance sheet date but before financial statements are approved by the shareholders.
- % of Shareholding includes direct and indirect holding through subsidiaries.
- The financial statements of subsidiaries located outside India i.e. Kotak Mahindra (UK) Limited, Kotak Mahindra Financial Services Limited and Kotak Mahindra Asset Management (Singapore) Pte. Limited are prepared in accordance with accounting principles generally accepted in their respective countries. For the purpose of preparation of the consolidated financial results, the results of these subsidiaries are prepared under Generally Accepted Accounting Principles in India ("Indian GAAP"). The reporting currency of these subsidiaries is USD and exchange rate as on the last day of the financial year ending 31st March, 2026 is USD 1 = 94.83 INR.
- The financial statements of Indian subsidiaries (excluding insurance companies) and associates are prepared as per Indian Accounting Standards in accordance with the Companies (Indian Accounting Standards) Rules, 2015. For the purpose of preparation of the consolidated financial results, the results of subsidiaries and associates are in accordance with Generally Accepted Accounting Principles in India ("Indian GAAP") specified under Section 133 and relevant provision of Companies Act, 2013.
- On 28th April, 2026, the Board of Directors of Kotak Mahindra Life Insurance Company Limited have proposed a final dividend of ₹5.35 per share amounting to ₹273.01 crore in respect of the year ending 31st March, 2026 subject to the approval of shareholders at the Annual General Meeting.
- On 28th April, 2026, the Board of Directors of Kotak Mahindra Asset Management Company Limited have proposed a final dividend of ₹60 per share amounting to ₹178.80 crore in respect of the year ending 31st March, 2026 subject to the approval of shareholders at the Annual General Meeting.
- On 29th April, 2026, the Board of Directors of Kotak Mahindra Investments Limited have proposed a final dividend of ₹30 per share amounting to ₹16.87 crore in respect of the year ending 31st March, 2026 subject to the approval of shareholders at the Annual General Meeting.
- On 29th April, 2026, the Board of Directors of Kotak Mahindra Prime Limited have proposed a final dividend of ₹95 per share amounting to ₹33.2 crore in respect of the year ending 31st March, 2026 subject to the approval of shareholders at the Annual General Meeting.
- On 26th June, 2023, the Bank has incorporated "Kotak Karma Foundation" ("the Foundation") under Section 8 of the Companies Act, 2013, as a wholly owned subsidiary for setting up a Centre of Excellence (CoE) of the Bank for furtherance of part of its Corporate Social Responsibility (CSR) initiatives. Being a Section 8 company and as per terms of articles, the Foundation would operate with restrictions to transfer funds to the parent, hence in accordance with the requirements of Accounting Standard 21 on "Consolidated Financial Statements", the Company shall be excluded from consolidation. The numbers mentioned above for this entity are unaudited.
- The National Company Law Tribunal (NCLT) has approved the Scheme of Amalgamation ("Scheme") of Sonata Finance Private Limited ("Sonata") with BSS Microfinance Limited ("BSS"), both, wholly-owned subsidiaries of the Bank, on a going concern basis, under the provisions of Sections 230 to 232 of the Companies Act, 2013 and the rules made thereunder. The scheme has been made effective on and from 11th October, 2025 with appointed date of 1st April, 2025. Consequently, Sonata has merged with BSS with effect from 11th October, 2025. Pursuant to the implementation of the Scheme, the name of BSS Microfinance Limited has been changed to BSS Sonata Microcredit Limited as approved by the Registrar of Companies, and the amalgamated entity operates under the new name with effect from 21st November, 2025.

PART "B" : ASSOCIATES

(₹ in crore)

Particulars	Phoenix ARC Limited (Formerly known as Phoenix ARC Private Limited)	Zurich Kotak General Insurance Company (India) Limited (Previously known as Kotak Mahindra General Insurance Company Limited) ¹	Infina Finance Private Limited ²
Latest Audited Balance Sheet date	31 st March, 2026	31 st March, 2026	23 rd March, 2026
Shares of Associate held by the Group on the year end			
No. of Equity Shares	83,832,000	321,818,405	-
Amount of Investment in Associates	100.02	321.82	-
Extent of Holding %	49.90%	30%	
Description of how there is significance influence	Ownership of 20% or more of the voting power	Ownership of 20% or more of the voting power	NA
Reason why the associate is not consolidated	Ownership of less than 50% of the voting power and no control over the Board	Ownership of less than 50% of the voting power and no control over the Board	NA
Net worth attributable to Shareholding as per latest audited Balance Sheet	638.49	474.62	-
Profit for the year	168.47	(278.57)	213.59
i) Considered in the Consolidation	84.07	(83.57)	106.77
ii) Not considered in the Consolidation	84.40	(195.00)	106.82

Note:

(1) On 18th June, 2024, the Bank has completed the divestment of 70% stake in its subsidiary Kotak Mahindra General Insurance Company Limited ("KGI") to Zurich Insurance Company Limited ("Zurich"). The Bank continues to hold the remaining 30% of the share capital of KGI as at 31st March, 2026. Consequent to this sale, KGI ceases to be a subsidiary of the Bank and became an Associate with effect from 18th June, 2024.

(2) On 24th March, 2026, Kotak Mahindra Capital Company Limited ("KMCC"), a wholly owned subsidiary of the Bank divested 30.99% out of its total stake of 49.99% in its associate Infina Finance Private Limited ("Infina"). Consequent to this sale, Infina ceases to be an associate company of the Bank with effect from 24th March, 2026.

For and on behalf of the Board of Directors

C S Rajan

Chairman
DIN: 00126063

Ashok Vaswani

Managing Director and
Chief Executive Officer
DIN: 10227550

Jaideep Hansraj

Whole-Time Director
(Executive Director)
DIN: 02234625

Ashu Suyash

Independent Director
DIN: 00494515

Devang Gheewalla

Group President and
Group Chief Financial Officer
Membership No. 045993

Avan Doomasia

Senior Executive Vice President and
Company Secretary
FCS. No. 3430

Mumbai

2nd May, 2026Basel III (Pillar 3) Disclosures (Consolidated) as at 31st March, 2026

In accordance with the RBI guidelines, Banks are required to make consolidated Pillar 3 disclosures including leverage ratio, liquidity coverage ratio and Net Stable Funding Ratio (NSFR) under the Basel III Framework. These disclosures are available on the Bank's website at the following link: <https://www.kotak.bank.in/en/investor-relations/financial-results/regulatory-disclosure.html?source=website>. These disclosures have not been subjected to audit.